Indian Overseas Bank (IOB)

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[redacted],
[redacted] ,
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360 | investor@iobnet.co.in

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The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd.,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Update On Analyst Meet: Transcript

In continuation to our earlier intimation IRC/56/2024 -25 dated May 21, 2024 and Pursuant to Regulation 30 read with Clause 15 (b) of Para A of Part A of Schedule III and Regulation 46(2)(o a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended re ad with the guidance note of stock exchanges dated July 29, 2022 on disclosures pertaining to Investors meet , we wish to inform that the Bank has conducted an Analyst Meet on Friday , May 24, 2024 at 04.00 pm (IST) to discuss the financial performance of th e Bank for the Quarter and Year ended March 31, 2024 .

The Transcript of aforementioned Analyst meet is furnished herewith and same is also uploaded on Bank's website and same can be accessed through following link:

https://iob.in/UPLOAD/CEDocuments/iobTranscript_Analyst_Meet_24052024.pdf

Please take t he above information on record and arrange for dissemination.

Yours faithfully

(Ram Mohan K)
Compliance officer

Transcript

"Indian Overseas Bank Q4 FY'24 Analyst Meet"

May 24, 2024

Organized by

Management: Mr. Ajay Kumar Srivastava, MD & CEO, Indian Overseas Bank,
Mr. Joydeep Dutta Roy, Executive Director, Indian Overseas Bank,
Mr. Dhanaraj T, Executive Director, Indian Overseas Bank

Presenters: Mr. S P Mahesh Kumar , General Manager & Chief Financial Offi cer, Indian Overseas Bank
Mr. Lakshmi Venkatesh, General Manager, Indian Overseas Bank

Moderator : Mr. Aryan Rana – Veritas Reputation

BSE: 532388 | NSE: IOB | SECTOR: Financial Services

Moderator: Good evening and warm welcome to everyone. Thank you for gracing us with your presence today as we meet to discuss Indian Overseas Bank's financial performance for Q4 and the year -ended financial year 2024 as on March 31st, 2024. I am Aryan Rana and I am truly honoured to guide you through today's presentation. Before we begin, I want to extend our sincere appreciation to each one of you for taking time to join us in person today.
Founded on February 10, 1937, Indian Overseas Bank embarked on a mission t o specialize in foreign exchange business with a vision to expand our global footprint. I OB was one of the 14 major banks that were nationalized in 1969. Over the years, we have not only met but surpassed our initial objectives as evidenced by our impress ive market capitalization of Rs 1,26,000 crore today . Indian Overseas Bank has seen an impressive surge of nearly 175% in the last year and about 800% over the past five years in its market capitalization. With overseas presence in four countries such as Singapore, Hong Kong, Thailand, and Sri Lanka, Indian Overseas Bank's total business has surged to over Rs 5,04,923 crore as of March 31, 2024.
Despite several external challenges the global economy facing, our impressive growth solidifies Indian Overseas Bank's position as one of the top banks in the financial sector. The financial results are available on our website and stock exchanges. Before we begin the presentation, I must remind you that our discussion may contain forward -looking statements that inv olve risks, uncertainties, and other factors.
These statements should be viewed in conjunction with our business risks that could affect future results, financial performance, and achievements. To discuss results and address analyst queries, we have our ma nagement team with us, including S hri Ajay Kumar Srivastava, Managing Director and CEO of Indian Overseas Bank, seated in the middle, and next to him on the right is S hri Joydeep Dutta Roy, Executive Director, and in the left we have S hri Dhanaraj T , Execu tive Director, we will begin with our overview of Q4 and year -ended

financial year 2024, followed by presentation on our digital banking business and conclude with Q&A session. Now, I will hand over the floor to Sri S P Mahesh Kumar, Chief Financial Office r and General Manager, IOB.
Over to you, Sir. Thank You.

SP Mahesh Kumar : Thank you Mr Aryan. Ladies and Gentlemen, Good Evening to all. As already described the journey of IOB, the bank has competed 88 years of successful existence, making it one of the strong PSBs in India.

During the current financial year 23 -2024, the B ank has achieved remarkable milestone of exceeding Rs 5 lakh crore business mix as on 31st March 2024 and this is the vision and mission statement of our bank. Basically, the vision s tates about to emergence of IOB as the preferred bank connecting generations with high standards of ethics and governance. That generation is now GenX and then with old customers also who are preferring to the brick -and-mortar type of branches. That gener ation as well as the new tech -savvy GenX.

And now I present you the overview of the bank's performance during financial year 2023 -24.

CASA grown in absolute terms to Rs 1,26,000 crores and also in te

rms
of percentage, 16 bps increase to 43.90% over previous year. Total deposit growth achieved Rs 2.86 lakh crores as on 31st March 2024 with impressive growth rate of 9.59% over previous yea r. Gross advances grown by 15.88% over previous year now stood at Rs 2.19 lakh crore. Annual operating profit registered an improvement of 13.83% over last year and it has at Rs 6,764 crore and net profit grown by Rs 26.54 crores over previous year. Now it is Rs 2,656 crores for the year ending March 2024. And provision coverage ratio is one of the

highest as 96.85%. Capital adequacy ratio also 17.28% against the regulatory requirement of 11.5%.
This is the overall business composition. Deposit consists o f SB account growth is there of Rs 1,02,000 and current account deposit was at Rs 22,919 crores. Total CASA recording Rs 1,26,000 crores and Term deposits Rs 1,60,000 crores and Total deposits is Rs 2.86 lakh crores. On the advances front retail loans was Rs 48,514 crores. Agri loans is Rs 55,636 crores, MSME loans is Rs 41,552 crores and Total RAM segment here is Rs 1,45,702 crores. Corporate and overseas is Rs 73,316 crores and total advances was at Rs 2,19,000 crores.

Now coming to the performance highlights in key parameters. CASA registered 9.99% growth over the previous year. And year on growth in % terms that is 16% as 16 bps has increased to 43.90%. Total deposits grown by 9.59 % over the previous year. Home loans growth is 14.53%. Jewel loan growth is 29.61%. Total advances registered a growth of 15.88% and stood at Rs 2,19,000 crores. Total business growth mix achieved was Rs 5,05,000 crores with an improvement of 12.23% over previous year.

Credit to deposit rati o improved by 416 bps that is 76.61% over previous year it was 72.45%. Net interest income improved over 19%. Net interest margin improved by 35 bps over previous year to 3.28%. Operating expenses increased by 35.81% mainly due to increase in interest expe nse and staff cost due to revision in salaries and retirement benefits after 12th bipartite settlement. However, there is a considerable increase in operating profit by 13.8% over previous year and it is stood at Rs 7,764 crores.

Gross non -performing adva nces reduced by 51.72% over previous year it is at now Rs 6,794 crores reducing 434 bps over previous year and stood at 3.10%. Similarly, net NPA reduced by Rs 62.74 % to Rs 1,217

crores and percentage terms reduced by 126 bps and stood at 0.57%. Capital ad equacy ratio improved by 118 bps over previous year and strong at 17.28%. Return on assets improved by 13 bps over the previous year and that is at 0.81% of total assets. Return on equity improved by 69 bps over the previous year at 16.24%. Customer touch points is almost equally distributed among the rural, semi -urban, urban and metro cities and we have presence of 3,236 branches across the country. 28% in rural, 30% in semi -urban, 20% in urban and 22% in metros.

Same way 3,5 06 ATMs spread across the coun try and we have strong force of 6, 379 business correspondents to cater to the needs of the customers predominantly in rural areas. In addition to the strong domestic presence bank has four overseas branches one situated in Hong Kong, Singapore, Sri Lanka a nd Thailand.

This is financial performance.

Overall interest income grown by 23.96% mainly due to growth in advances. Interest expenses increased by 27.60% due to increased deposit levels as well as the borrowings to meet the credit demand. Non-interes t income improved by 37.68% due to recoveries in return of accounts, improvement in investment provision and other income.

Total provisions reduced by 6.79% mainly on account of reduction in NPA provisions by 5.32%. Total expenses incurred due to reversa l of deferred tax asset amounting to Rs 734 crores and also we have made provision of Rs 22.67 crores towards our overseas branches towards In

come Tax . The bank has posted an impressive net profit of Rs 2656 crore for the financial year 2023 -24 with an imp rovement of 26.54% over the previous year. Cost to deposit increased to 4.7% over

previous year due to offering of competitive interest on one of the term deposit , i.e. 444 days deposit scheme offered by IOB.

Cost of funds increased due to increase in borrowings to meet the surging demand for the credit. Yield on investment improved from 5.83% to 6.39% and yield on advances improved by 99 bps, 7.81% to 8.80%. Annual improvement positions mainly due to improved margins under RAM segment and in addition to marginal increase in MCLR during the year. Considerable improvement in yield on funds by 113 bps to 8.03%. Return on assets improved by 13 bps i.e. 0.81%. Cost to income ratio increased from 51.94% to 56.32% mai nly due to increase in staff cost.

Without considering the increase in superannuation benefits on account of bipartite settlement, the cost to income ratio would have been lower at around 44%. Overall growth registered under retail by 14.42% mainly due to improved credit growth under home l oans, vehicle loans, personal loans and other retail loans like jewel loan, deposit loan etc. Agri credit growth by 26.48%. MSME grow n by 19.21% mainly due to credit growth under medium enterprises.

Credit to corporate, there main focus in corporate cred it is towards A and above rated corporate borrowers constituting 65.53% of the total lending. Unrated accounts represent 30 accounts out of which 29 accounts represent state government entities. In case of restructured, there is a considerable reduction in restructured accounts by 23.64% over last year.

SLR investments holding increased by 7.51% in order to churn the portfolio towards better yielding securities. Average coupon yield is at 6.61% per annum. Gross NPA reduction by Rs 7278 crore i.e. 7.44% last year and now it has come down to 3.10%. Net NPA reduced by Rs

2049 crore to Rs 1217 crore and in terms of percentage 1.83% to 0.57%. Total recovery from NPA during the year was Rs 4549 crore.

Provision coverage ratio improved from 92.63 to 96.85 regis tering an increase of 422 bps. PCR excluding technical write off also improved from 76.79% to 82.09%. Robust and continuous monitoring system has improved in controlling slippages and Slippage ratio reduced by 200 bps from 2.87% to 0.87%. Slippages for FY2 2-23 was Rs 4029 crore , now it is reduced to Rs 1516 crore during FY23 -24.

The focus is given towards capital light advances. Despite increase in the advances level, the credit risk weight set to advances ratio reduced to 54.05%. Earlier it was 56.46% on e year ago.

Further, improved profitability added to common equity tier 1 capital. Thus, CRAR CET1 has increased to 14.47%. Overall, CRAR improved by 118 bps to 17.28%. Significant improvement in return on equity, earnings per share and performance has i mproved valuation to the shareholders also. For the past 5 years, the growth you can see on the increase trajectory in terms of CASA absolute terms as well as CASA in % terms, term deposit in absolute terms and % terms and retail advances. Growth you can see in terms of Rs 30,423 was there. Now it has grown up to Rs 48,514 crore. Similarly, agriculture advances, MSME advances, corporate advances and overseas advances.

In this journey CD ratio also achieved 76.61%. Personal loan segment also improved, hom e loan segment, vehicle loans, other retail loans also increased. Overall, total retail loans portfolio has improved. In this journey gross NPA has come down drastically and net NPA also has come down.

In terms of net NPA ratio also it has come down dras tically. On the other side, provision coverage ratio has improved. PCR excluding technical write -off also improved from 76.79% last year to 82.09% in the current year.

Book value per share

valuation also you can observe that what is the share value we ar e providing to the shareholders. One terms of book per share has improved, share price has also improved and then market capitalization also improved to Rs 1,13,377 crores which making IOB in the 5th in PSBs and earnings per share earlier it was negative i n 2020. The journey you can see sir 1 rupee 40 paisa per share that earnings per share also has improved.

Now I request my colleague Mr. Lakshmi Venkatesh to tell you about the technology and digital initiatives.

Lakshmi Venkatesh: Good evening to all ladies and gentlemen. I am Lakshmi Venkatesh, General Manager heading Information Technology and Digital Banking of the bank and as our mission document says our mission is to provide best banking solution through digital and physical e xperience for customer delight with skilled manpower. So we stick to that mission document and accordingly we day by day improve and innovate our digital services and technological services and we have got a robust and resilient tech platform and we are fi rst slide please.

So we have got a robust and resilient tech platform and we are committed to digital transformation journey and digital innovations with clear strategy to bring customer delight and we are pioneering various digital initiatives through a spectrum of digital banking products which will match the evolving customer needs at industry standards and our base focus areas are technological resilience, customer centricity, digital innovation, operational efficiency and on the technology

resilience area we have got the industry's best core banking solution and our capabilities are to process about 5000 transactions per second. Our scalable private cloud and container platform are handling our digital process in a leading way and we have got a strong network of dual connectivity with a good speed at 3200 branches across the country and we have got a very strong ATM network of 3500 plus which is growing day by day and we have got one of the best uptime in the industry about 98 percentage uptime and tot al availability with the continuous availability of cash which is the basic requirement of a customer and we stand one among the top banks in providing continuous cash availability in our ATMs and we have got integrated payment hub for providing our paymen t solutions like PFMS, N EFT and

RTGS solutions which makes the transactions super fast and make the customer to feel very satisfied.

On the customer centricity we have got secure and user -friendly internet and mobile banking applications. Now we are upgr ading to a newer platforms where the experience will be much better in the coming days and our aim is to provide self -service centric solutions to the customers like digital banking unit and also various straight through process for customer experience whe re the end -to-end credit application and sanction disbursement utilization everything will be through straight through process and at any time anywhere services are delivered by us by opening account at any point in time of the day through tab banking and in this regard I am very happy to inform that our bank is one of the pioneering banks in introducing the facial authentication through Aadhar integration for account opening others are using only thumb impression and our bank will be only one of the two banks that will be using the facial authentication for opening of accounts and frictionless digital journey by leveraging digital public infras tructure like Aadhar UPI these things will facilitate minimum inputs by the customer auto filling of the forms and instantaneous

opening or processing of the SB or loan accounts and digital banking kiosks also in the line to come and we will be introducing digital banking kiosks across the country at the select centers to begin with. The first point I have covered already and one of t

he very innovative products
of our bank is my account my name which will empower the customers to have their own VAN for thei r account which is a combination of seven characters alpha , numero or alpha numero through which they can send the money through which they can get the money from other banks this virtual account number is a very innovative product of Indian Overseas Bank and we are the first to introduce this in the banking sector and we are one of the top banks in issuing bank guarantees through electronic mode in tie -up with NESL and up to date we have issued about some 2200 e-BGs since we introduced and we are the numbe r two among the banks in issuing the number of highest number of e-BGs and online instant safe deposit locker allotment is another innovative product of Indian Overseas Bank which we had introduced in the year of reporting that is 2023 -24 where a customer can browse through find out in which branch of his choice locker facilities available of which size of which category and of what cost and he can choose and he will instantaneously get the locker allotted and he has to go and just get the keys from the bra nch after complying with the KYC requirements within a period of 10 days and online account number portability across the branches of the bank is also introduced to our website so for a person who is frequently moving from one place to another place it is a very big problem for him to go and get his account transferred from one branch to another branch here we have provided the facility to instantaneously transfer his account from one branch to another branch and this gives a very very fantastic experience to the customers at the least difficulties or inconvenience to him and we have got a secure interbank and mobile banking facilities and the security levels are at the industry level best and our bank also provides a digital application for collection and r ecovery of the customer borrowers

dues which has enhanced the collection efficiency and we have introduced the customer relationship management tool for widening and deepening customer engagement where we can identify the customer's preferences through A I/ML based analytics and we will be able to provide the exact customer need through this platform and we have also introduced a loan originating system for various RAM segment credit products and in this we have also introduced the straight through processes for availing loans and that is also a very good customer experience for our customers and whom to be boarded on and digital journeys for seamless customer onboarding is a daily innovation process and digital document management system provides the office note automation which eliminates the paperwork across the branches and the administrative offices of the bank and the documentation loan documentation other documentation will also be slowly ported to the automated mode and sir as i already told our value deliveries are at enhanced customer satisfaction , productivity enhancement and our business growth agility and adaptability and during the year 2024 our bank has bagged five important awards out of the total seven categories available from Indian banks ass ociation banking technology awards we had won the winner in best technology talent , best digital financial inclusion categories and we had won the special mention prizes in best technology bank and best A I/ML adoption and we are runners in best fintech and DPI adoption and Government of India has also recognized our bank as the top improver in the east 5.0 citation during the last year and this showcases the way we are taking forward our digital initiatives and technological capabilities. Thank you, sir , for giving me an opportunity.

Moderator : Thank you very much. We will now begin the 'Question & Answer' session. Please raise your hands , one by one, request you to let us know your name and the orga

nization you represent.

Ashok Ajmera: Market Cap has increased from Rs 12,000 to Rs 1,20,000 crores, 10 times in 5 years. Fantastic performance. Jaise bolte hain na ki hum laaye hain tufan se kasti nikalke, isko rakhna mere doston sambhalke. So , compliments to you for the fantastic performanc e over the last 5 years. The bank was indeed in a very difficult shape. In fact, RBI had to put it under monitoring just like some of the other few banks also. I must compliment everyone, top management of the bank, especially for the performance in 23 -24. I have some couple of observations and some questions. If you look at the other income has gone up from Rs1262 crores last quarter to Rs 2477 crores, Rs 900 crores is the recovery from the written -off account. But there is another Rs 900 crores which has been shown as other other income, all other income, Rs 943 crores as against Rs 235 crores in the last quarter. So, what is that in other, all other income which has gone up by Rs 600 crores? So, this i s, I mean I have some couple of others .

Ajay Kumar Srivastava : That consists of treasury income and all other incomes like processing fee we charge on whatever loans we sanction, exchange commission, non-fund business. We are focused on all other areas f rom where income can be generated. So, all these areas have attracted our attention. We have worked systematically for generating income from those sources.
Ashok Ajmera: The point is only in March quarter because investment is separately shown, income. S o almost about Rs 500 to Rs 600 crores is only as compared to the last quarter to the March quarter. So, whether any one-off which we can you know like discount or reduce for the future this thing or it is going to be the regular phenomena?

Ajay Kumar Sr ivastava : It is more or less the same thing. One -off is not like that is which is very substantial or it is going to make substantial impact on that.

Ashok Ajmera: So similarly, sir in the employees cost, though every bank employee cost has gone up because of the wage revision. But in many of the banks up to December most of the amount was taken care of and in March also there was some increase. But in our case emplo yee cost has gone up from Rs 1270 crores to Rs 2517 crores. So almost about Rs 1300 crores, Rs 1250 crores in only in one quarter only. So can the breakup or some explanation and also what will be the ballpark number going forward per month of the wage bi ll, employee cost?

Ajay Kumar Srivastava : Everything we booked in Q4 only and it was not only increase in wage but terminal dues also, pension, gratuity, requirement arising out of this wage revision for future payment that also have impacted into that.

Ashok Ajmera: That revision in pension I think that Rs 255 crores also you have, all the balance amount you have written off in this.

Ajay Kumar Srivastava: We have done everything whatever was required.

Ashok Ajmera : Sir, one is on the cred it side that overall for the year we have grown well on the credit but if you look at this quarter, I think it was totally a muted quarter.

Ajay Kumar Srivastava: It was not a muted quarter because the figure is conveying that message to you but it was not a muted quarter. What happened around Rs 5,000 crores of credit which was lent on a lower rate of interest or some negotiation was happening, that was paid back. So that is why Q4 because of this Rs 5,000 crores coming back into the system, the growth appears to be muted but otherwise growth was there.

Ashok Ajmera: So now in the coming quarters that will be recouped?

Ajay Kumar Srivastava: Absolutely, it will be recouped.

Ashok Ajmera: And what is our growth target for the 24 -25? We are targeting around 13% growth in credit.
Ajay Kumar Srivastava: Yes, In credit.

Ashok Ajmera: Sir, the last one on this DTA,

just a clarification because going forward,
I mean we have Rs 5,300 crore DTA credit because we are still in the old tax regime. So , what are we planning going forward about the tax?

Ajay Kumar Srivastava: May be around Year 2027 - 28 we will be shifting.

Ashok Ajmera: After entire writing -off DTA. Okay, I will come back again if time permits. Than k you very much.

Manoj Alimchandani: Excellent performance and good to see that you are interacting with us. Hats-off to you. Its good to see you are the forefront of technology. Today there are concerns about technology disruptions happening. Suddenly RB I inspection and the share price collapsed by 10% overnight. So you have been forefront and even recognition by the credible agencies. Now couple of specific issues. What is our capital requirement for the next 3 years growth? Can you quantify? Do we have a strategic plan? And what are our plans for fundraising? Because there is huge demand now with this new economic super cycle which is started on Capex. And other banks have announced fundraising plans. Indian bank just announced Rs 12,000 crores fundraisi ng. So we should not be left behind and lose market share. Like it is very easy to sit on laurels. We have done well. But what next? These specific issues, because you have been very clear in strategy right from the beginning. Our friend who is now in RBL, he turned around Indian Overseas Bank. You know, he put lots of efforts and brought it to this stage. And the whole team has really worked hard. More NPAs, more recoveries. It shows that. And the second thing is, would like to know what are the plans for growth? You mentioned 13% corporate total loans. Specifically, you have shown excellent performance in home loans and jewel loans in the last year. So apparently, and it is not on a small base, it is a reasonable size. And we are growing. So at what rate w e plan to grow the home loans and jewel loans? If you can indicate, I think our rate should grow even faster compared to the opportunities. Number three, if you can share the person handling digital, our experience on the RBI inspections, and which are the red flags we should be concerned about. And so this is not a time to relax. Technology is evolving. And we don't have any issues in respect of technology, particularly with RBI is apparently doing a great job on it. So these three issues.

Ajay Kumar Srivastava: Yeah, Manoj, thank you. So capital requirement for credit growth going forward, you are asking. See, in the last two years, if you see, we have grown in 22 -23, credit growth was around 24%. Last year, it is around 16%. This year, we are targeti ng 13%. But we are very hopeful that we will be surpassing that. Bank's CR AR ratio is at 17.28 %. Over last quarter , it has increased by 4 8bps. If we grow at 13, 14% for next three years at least, for that growth, my capital is sufficient. I do not need any additional growth capital to grow at the rate of 13% in credit for next three years. So that is one part. And second part is about capital raising. We have already taken board approval. I think it missed out from your attention. It came all over in the ne wspaper also. Rs 5,000 crores we are going to raise. The board has already approved. And we are in the process of getting all other approvals. And that is the plan. Maybe later half of Q2 or Q3 we will be raising that. And credit growth, as I said, that ho me loan or vehicle loan or all these products are part of the overall credit growth. And whatever we have been growing at the rate over last two years, we will be matching that. And the fourth question, if you can repeat, I am forgetting. On the technology experience of regulators. Yes, because certain things happen in the banking landscape.

As far as I OB is concerned, we are absolutely safe. The regular inspection and oversight happens from all

regulatory authorities. And there is nothing, I will say, any significant remark or observation from the auditors or the regulators. Thank you.

Sushil Choksey: Sir, you have done a great performance over the number of years to recover from where we were to today. The transformation journey is applauded. And the seco nd request is a consistent dialogue. I think I have not seen anybody from IOB other than H.O. in Bombay. Last meeting was with Mr. R Subramania kumar possibly in 16 -17 at IOB BKC office. So if you keep consistent dialogue, that would be helpful or a con call. My first question is, sir, we have written off lots of assets by provision or technical assets. What is the pool of assets available over a period of years and what percentage of recovery are you estimating in this year?

Ajay Kumar Srivastava: Sir Last year if you see we have recovered Rs 4,700 crores, this year we are targeting Rs 6,000 crores . Out of this Rs 4,700 crore s, almost 51% of the recovery came from technically written off accounts which we have earlier 100% provided for and out of that we did that recovery . The total GNP A is around Rs 6,700 crore, percentage wise is 3.10 only and out of that, the regular slippage happens, including that we are targeting that Rs 6, 000 crores will be able to recover in this financial year.

Sushil Joksi : What are the total assets that has been written of in the books?

Ajay Kumar Srivastava: That is around Rs 38,000 crores. Out of this, Rs 31,000 crores is fully provided, 100%.

Sushil Joks i: Are you estimating any recovery out of that?

Ajay Kumar Srivastava: That is what I said . Last year also 51% of my recovery came from those accounts only. Almost Rs 2,400 crores. So naturally that is going to be

a part of the strategy. And this year also around 50 -60% we are targeting.

Analyst : Sir, your RAM growth is comparable to peer banks, pretty healthy. And what is your plan between that , digital spend and connectivity because most of your products on MSME or retail needs a lot of digital initiative. So what is the CAPEX targeted to achieve that sustainable growth and even gain mar ket share because of your equity permits? And a question connected as you are not raising equity, how are we going to rectify the position of balance between book value to market cap? You are the most expensive bank if you go by that. And what is the direc tion you are getting from the bank on the equity side?

Ajay Kumar Srivastava: No, we are raising equity. We have already taken approval. So, we are working on that. And regarding digital spend, you are talking. Last year data I remember, last year we tar geted to spend around Rs 1,100 crores on digital and IT infrastructure and digital software hardware including everything capital and revenue. And this year the approval which we have got from the board is around Rs 1,650 crores. Around 50% spend we have i ncreased on IT and digital infrastructure.

Moderator: Any further questions?

Sumer Choks ey: Sir, just one clarification. You had mentioned, I think, about the Rs . 5,000 crore pre -payment on the corporate side. So, if I look at your advance s, optically it was Rs 52,000 at 23 fiscal ended. It is around about 54. So just to gain some clarity, it would be around Rs 60,000 figure if not for the Rs 5,000 that you mentioned would be pre -paid?

Ajay Kumar Srivastava: Almost, yes.

Sumer Choks ey: So, a follow -up on that is, when I look at the split between corporate and RAM, it was about 70 -30 last year. This year optically it has fallen to 27 and 73. But you would like to maintain that 70 -30 split or how are you looking at the corporate?

Ajay Kumar Srivastava: No, we have already taken a call. We have done a lot of study and we are shifting gear as far as RAM and corporate mix is concerned. So corporate RAM we are targeting around

65 -66%. And corporate from 30% we are going to increase t o around 34 -35%.

Sumer Choksi : Okay. And I would think, sir, optically I think you presented this slide in terms of the rating that you were trying to look upon. So, are we trying to seize upon that slightly lower rated in the AA, BBB category to get bet ter pricing on our yield?

Ajay Kumar Srivastava: Yes, See, you have to strike a balance. In fact, if you are going for triple and double rated, everyone knows the pricing becomes very challenging. So, we have to strike a balance where the quality and heal th of the portfolio is also supposed to be ensured. And we need to earn also. So, depending on whatever is available on the market and where on the table and where we are at that point of time when we are taking a call on any entity or any unit, based on t hat we price it and take a call. Having said that, I have to say that last full year as far as corporate is concerned, the slippage from corporate sector was nil. So that shows the level of underwriting, the improvement which we have ensured that whatever corporates we are onboarding, they are not giving any challenge to us.

Sumer Choks ey: Thank you, sir, and commendations on a good result.

Analyst : Thank you. Sir, what is your outlook on treasury after RBI dividend payout plus the inclusion in bond i ndex? I am sure the windfall gain to most of the PSU and private banks is likely to happen in the current

quarter. How are you going to balance between your HTM and AFS and the overall book? Would you share assets if the yield is nearing 680 or you will ho ld on instead of lending?

Ajay Kumar Srivastava: See, there is a full -fledged treasury for all these basic things and the specific points which we are raising. But overall, of course, we would like to book in Q1, whatever we can do. And going forward, we will see depending on the portfolio, what sort of portfolio we are having and what opportunities are available in the market, we will try to encash .

Analys t: Sir, you answered my previous round question about digital spend of Rs 1,100 crores. Are we targeting, because your digital initiatives are larger pie for 5 -year, 10 -year, 20 -year vision, this Rs 1,000 crore, Rs 1,100 crore, what you are saying, is the per centage of the total spend you would think over a period of 5 years. The technology spend cannot be visualized on a yearly basis. So, what is the kind of a capex you all have assumed for doing cloud or node digital initiatives, Rs 3,000, Rs 5, 000 or migra tion of technology?

Ajay Kumar Srivastava: That detailed information we can, in fact, but rea dily it is not available with us. But having said that, I can assure you that digital and IT infrastructure and the software and the cyber, all these things are catching the topmost attention of the management. And whatever needs to be done, including increased spending also, we are prepared to do that.

Analyst : Sir, most of your gold loans are agriculture advances or it is pure gold loan?

Ajay Kumar Srivastava: It is gold loan only being used for agriculture activities. It is gold loan retail also, MSME also, depending on what type of uses the borrower is doing.

Analyst: Sir, how is your international operation?

Ajay Kumar Srivastava: We are ha ving 4 centers only, Hong Kong, Singapore, Colombo and Bangkok. And all 4 are doing exceedingly well.

Analyst: So, you have healthy margins coming, because I didn't see the breakup.

Ajay Kumar Srivastava: Margin is not very high, but it is satisfactory.

Karthik Solanki : This is Karthik Solanki from Elara Capital. Congrats to the team on a good set of numbers. Sir, there are couple of questions from my side. After the total written -off pool, what would be the component of NCLT and the non -NCLT?

Ajay Kumar Srivastava: NCLT and non -NCLT, the exact figu re

I may not be having, but I think around Rs 18,000 to Rs 19,000 crores. It may not be exactly accurate. That is NCLT NPA, around Rs 19,000 crores.

Karthik Solanki : And in the interest income component, what would be the proportion of dummy interest, li ke the interest income on recovery of NPAs? What would be that component?

Ajay Kumar Srivastava: Around 10 to 12 percent, I think.

Karthik Solanki : That's it from my side.

Ashlesh : Hi, sir. Ashlesh here from Kotak Securities, at the extreme end here. Sir, two questions from my side. Firstly, I am just referring to Q4

presentation. You have given out two numbers. One is on slide number 7, about recoveries from written -off accounts, that is Rs 908 crores. And for the same item, you have given a different number, Rs 936 crores in slide number 22. So, I just wanted to understand what's the difference. Slide number 7 and slide 22. Recoveries from technically written -off accounts. Slide 7 says Rs 908 and slide 22 says …Yeah. The Q4 presentati on which was on your website.

Ajay Kumar Srivastava: Mr. Mahesh, slide number 7. Slide number 7, something else is there. Results PPT.

Ashlesh: That is the results PPT. Sir, if you don't have it handy, I will come back to you on this question. S ir, second question is on your cost of deposits. In this quarter, the cost of deposits has not increased much. What is the outlook that you have for the next few quarters?

Ajay Kumar Srivastava: We will try to maintain at that level. As you will see, it is directly related to the amount of CASA we are having. So, if you see, CASA percentage and CASA in absolute terms also, both it has increased. CASA percentage from 43.74 to 43.90 and it is one of the best in the system. And in absolute terms also, growth has been there. And CASA, everyone knows that it is cheaper cost of funds. And we deliberately and as part of the strategy, we did not go back high bulk deposit rates. And that is too costly also. So, going forward, focus on CASA will be there. Last year, we have onboarded around 25 lakh new customers as far as CASA is concerned. And in those newly onboarded 25 lakh customers, we are having a balance of around Rs 10,000 crores CASA balance as on date. So, the focus will be on mobilization of cheaper deposi t, CASA new customers onboarding and cost of deposit, we will try to keep it below 5 only. It is at 4.88. For the full year, it is 4.70. So, around this range only, we will try to keep it.

Ashlesh : Perfect, sir. Thank You.

Analyst: Sir, a couple of points for, mainly for discussion, may not be for, in detail, you can elaborate, sir. Lot of things in this bank have been cleared. You know, the old, lot of legacy, backlog, there were so many. But still, there are some points, f or which even the auditors have also made, in the emphasis. Generally, they don't modify the report, they don't put any emphasis. But here, there are certain items, where they have given the emphasis. One is, they said that, there are, old tax liabilities, and of huge amount, for which, the cases must have been, I mean, the appeal must have been filed, and this thing. But in most of the other banks, if you see, even all other 12, 11 public sector banks, I mean, this kind of things, are no more there, in any bank, today. They are all cleaned up. So, first of all, can you give the colour, over this 5, 6 thousand crores, or may be more, I think, of this, disputed tax liability, and, where do we stand there? Are we, how are we pursuing it, so that, we get over o f it? Because you have not provided anything, as per

auditor.
Ajay Kumar Srivastava: Yeah, because, it is still sub judice, and whatever claims, have been raised, we have gone for, appeal against that. And we are having, very solid, reasons to justify, th at why, this tax demands are, are not, required, I will say. And, this

is, going on, and in fact, in, recently, whatever, earlier 4, 5 years back, the files which were closed, against that also, some demands have been raised, and some, allowances which were allowed, at that point of time, that is being challenged. So, it is an ongoing process, I do not see, any, I will say, seriousness in this. It is part of the process, only that is what I can say.

Analyst: My humble submission is that, nowadays, even the department is also very proactive, I mean, only thing, we should reach, to the right level. There are all online complaints, raising the flags, and everything.

Ajay Kumar Srivastava: Having said that, it is, it is, it has, caught our attention already, we are working on it, and, and it will be taken care of.

Analyst : These various liabilities, and it also says that, there are lot of, otherwise, auditor will not emphasize, if there are only few entries, there are lot of inter -branch, reconciliation entri es, which are also now, nowadays, it is no more there, in any other, so, maybe some old, this thing, but, you know, since it invited auditor's attention.

Ajay Kumar Srivastava : Yeah, we have, we have legacy issues, when we shifted from, our own, in-house, CROWN system, to C BS (Finacle) , in 2015 -16, without much preparedness, I will say, so, because of that, only, certain entries are still there, which we are, struggling to reconcile, but nothing alarming, that is what I can say.

Rohit : Good afternoon, sir. On the left side, sir. I am Rohit from MMW. My first question is, sir, regarding your, NTC, new to credit customers, so, for this current year, how many new customers, you have onboarded for, new to credit?

Ajay Kumar Srivastava: That data will not be readily available with me, but, mostly whatever, RAM, credit happens, retail, Agri and MSME, I will say, 98 -99% of that, is new to, credit customers only. So, that exact number, my CFO will share with you, after that.

Rohit: Yeah, I will take it later on. And sir, second question is, your loan portfolio, for your agriculture, agri lending, loan portfolio is . Rs 55,000 crores, so, what kind of credit, underwriting parameters, you do, like, is it standard, something like, because, CIBIL, Equifax and Experian , these kind of benchmarks, won't be applicable to this firm?

Ajay Kumar Srivastava: That benchmarks are there, may not be the entire, on the entire portfolio, but these benchmarks are applicable, and, and credit, agriculture, credit does not mean, nowadays, only, tractor lending, or crop lending, lot many other activities, are also covered, into agriculture. So, all credit writing, parameters, whatever are applicable, to other sectors also, it applies there also.

Rohit : Thank you, sir.

Ashok Ajmera : Thank you. Sir, in fact, I don't want to come, in the way of anybody else, if they have, their questions, but, if the time permits, I have certain, please, more of a discussion, because, you have come after a, long, long time, some clarity. Sir, if you loo k at the, note number 33, of the, notes to the account, there is a big change, in the method of provisioning, note number 33, of the accounts, audited accounts, and, because of that, for the MTM provision, you have taken, hit of, in this quarter, of Rs 576 .96 crores, which has been put, under the, provisions and, contingencies. So, if that is the case, in that case, whether the provision, otherwise, would have been only Rs 150 crores, out of Rs 768 crores?

Ajay Kumar Srivastava: Not really, in fact, it wa s part of, regulators observation, some accounting, I will say, the inaccuracies, were there, that accounting, inaccuracies, were rectified, by this voucher, so that is why, it has come. But, material impact, on provision, or profit, is not there.

Ashok A jmera : So, it says that, in this quarter, it has been, this MTM loss, has been, taken in this quarter .

Aja

y Kumar Srivastava : It is, yes, it is only, an accounting entry, and, if detailed information, you want, I will ask my CFO, to give you separately .
Ashok Ajmera : Because, I just wanted, to have the clarity, that in future….

Ajay Kumar Srivastava : There were certain, inaccuracies, which were going on, in the system, for last so many years, and, as part of, yearly inspection, these things were pointed out, to rectify, and it was rectified. it has got no material impact, on any of the figures

Ashok Ajmera: One good thing, is that, one good thing, is that, in this quarter, there is no RBI penalty. But, in the earlier quarters, in this current year, ther e are three and a half, to four crore rupees of, I think, penalties, which have been put, on the bank. So, whether it is, because of this, some of these irregularities, or, it's a?

Ajay Kumar Srivastava: Not really, those were, those were different issues , and, those, whatever penalties, three crores or four crores, have been given, that were related to, some corporate accounts, and, it was applied to, many other banks also, in which, IOB was also, one of the banks.

Ashok Ajmera: Sir in case of this acquisition, sale of assets, to ARC, Rs 1,842 crore, has been sold, to ARC, consideration is, Rs 660 crore, and, reversal, in the provision, is Rs 161 crore. So, I believe, this Rs 161 crore, may be the cash component, and, the remainin g component, from the consideration, is the SRs, and, whether it is NARCL, or other ARCs.

Ajay Kumar Srivastava: Both. It includes NARCL also, and other ARCs also.

Ashok Ajmera: Can there be some, some breakup, out of Rs 1,842 crore?

Ajay Kumar Srivastava: Yes, that we can give you, separately

Ashok Ajmera: I'll come back, again

Moderator: Any other questions?

Analyst: Sir, as, as already been said, earlier also, you are given, the valuation slide, also here, in this slide. But, if you look at, or compare with, any other bank, including, even the, some of the, even private sector bank, our market price, vis -a-vis, many of those parameters, of the stock, are, of course, it's not of your concern, but just for, discussion purpos e, is, too high, than, some of this, benchmark, figures, which are available. So, one is that, the book value, to, so our adjusted book value, is eight and a half, or nine, and if you take, plain net worth, and divide by, number of shares, then it is comin g around, 14, 13 and a half to, 14. But still, the multiple is too high. So, one is that, raising the capital, and putting it, proper use, and reducing that, second is, to, definitely, increase the, overall performance of the Bank , including ROA and the en tire profitability and also the loan book because higher income, higher ROA leads to profitability, now a days everything has come under the NIM now, so operational efficiency requires to be increase d in a proper use of the money is to be done to justify the 65 rupees or whatever is the stock price now vis v some of these parameters, otherwise it may not sustain, one more reason is government holding, so what is the plan for the dilution so that more equity gets in the hands of the r etail and institutional players and the right price discovery can take place, your thoughts on this Sir?

Ajay Kumar Srivastava: Sir for the government holdings of 96% we have started the process. And in this year, we are planning to raise Rs 5,000 cror e rupees of Equity and the dilution that will happen so the government holding can come down to about 82% that is what we are expecting.

Second thing about share price what is in our hand is to perform that we are seriously trying, and we are delivering on quarter on quarter . We have to grow organically we have to grow healthy ; we have to increase income and we have to reduce expenditure so that more and more profit is generated . My asset book has to be h

ealthy , slippages should not be there , digitally and cyber all things should be absolutely

perfect and so all these things are i n our hand and we are focusing and delivering , remaining things are for the market to decide.

Thank you, sir , thank you madam and thank you everyone for coming and spending time wi th us and as all of you have noticed that we are performing consistently well that is what I can say quarter on quarter , year on year and that is going to be the hallmark. And o n behalf of the management and board of directors of the Bank I do assure all of you that going forward the performance will be even bett er. Thank you, thanks for coming .

Moderator: Thank you. Ladies and gentlemen, on behalf of IOB and Veritas Reputation we conclude this meeting, please join us for Hi -Tea.

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Call: Jul 2024

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60 0 002
Indian Overseas Bank, Investor Relations Cell , Central Office, 763 , Anna Sala i, Chennai 600 002
044 – 7172 9791 , 2888 9360 | www .iob.in | investor@iobnet .co.in

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INDIAN OVERSEAS BANK

Ref No. IRC/149/2024-25 26.07.2024

The General Manager,
Department of Corporate Services ,
BSE Limited ,
Floor 1, P .J. Towers, Dalal Street ,
Mumbai 400 00 1 The Vice Pre sident,
National Stock Exchange Ltd. ,
Exchange Plaza , C-1 Block G ,
Bandra -Kurla Complex, Bandra (E) ,
Mumbai – 400 051
BSE SCRIP CODE : 532388 NSE SCRIP CODE : IOB

Dear Sir / Madam ,

Transc ript of Analyst Conference Call

Pursuant to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022 , we enclose the transcript of Analys t Conference Call held on 22.07.2024 .

The transcript of the Analyst Con ference Call is uploaded on Bank's website and the same can be acc essed through below link :

https://www.iob.in/UPLOAD/CEDocuments/IOB_Analyst_Conference_Call_Tran
script_22 -07-2024.pdf

Please take the above information on record and arrange for dissem ination.

Yours faithfully,

Ram Mohan K
Compliance Officer

"Indian Overseas Bank Q1 FY 202 5 Earnings
Conference Call "

July 22, 2024

MANAGEMENT : SHRI AJAY KUMAR SRIVASTAVA – MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER - INDIAN OVERSEAS
BANK
SHRI JOYDEEP DUTTA ROY – EXECUTIVE DIRECTOR -
INDIAN OVERSEAS BANK
SHRI DHANARAJ T – EXECUTIVE DIRECTOR - INDIAN
OVERSEAS BANK
MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Indian Overseas Bank, arranged by Veritas Reputation.
At this moment, all participant lines are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time if you have a question, please press “*” and “1” on your touchtone keypad. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you. And over to you, sir.
Aryan Rana: Thank you, Siddhant. Good evening and thank you all for joining this Conference Call with Indian Overseas Bank to discuss our financial results for the 1st Quarter of FY 2025 ending June 30, 2024.
Indian Overseas Bank was founded on February 10 th, 1937, with the primary objective of specializing in foreign exchange business and expanding its global footprint. Today, Indian Overseas Bank has an overseas presence in four countries, Singapore, Hong Kong, Thailand, and Sri Lanka.
As of March 31, 2024, the Bank’s total business has surged to Rs. 5,04,923 crores and its operating profit stood at Rs. 6,724 crores , and net profit at Rs. 2,656 crores as on 31st March last year.
Since our previous Analyst Meet in May this year, IOB ’s market valuation has crosse d the Rs. 1,28,000 crores mark. The Bank has seen an impressive surge of nearly 150% in the last one year and about 468% over the past five years in its market capitalization.
The Financial Results are available on our website and the Stock Exchanges.
Before we begin the discussion, I m ust remind you that our discussion may contain forward -looking statements that involve risk, uncertainties, and other factors. These statements should be viewed in conjunction with our business risks that could affect future Results , Performance , or Achiev ements .
To discuss the results and address any analyst queries, we have our management team with us on the call, including Shri Ajay Kumar Srivastava – MD and CEO, Indian Overseas Bank; Shri Joydeep Dutta Roy – Executive Director, Indian Overseas Bank; Shr i Dhanaraj T – Executive Director, Indian Overseas Bank.
We will begin with an overview of our Q1 results followed by Q&A session.
Now, I will hand over the floor to Shri S.P. Mahesh Kumar, Chief Financial Officer and General Manager, Indian Overseas Bank. Over to you, sir. Thank you.

Mahesh Kumar: Thank you, Mr. Aryan. Thank you, MD, sir. Good evening to all.
During the current Q1 2024-2025, the Bank has achieved a remarkable growth in business mix of Rs. 5,28,773 crores as on 30 June 2024, recording a year-on-year growth over 16% and 4.72% over previous quarter.
I will present overview of the Bank ’s Performance during Q1 2024-2025:
CASA grown in absolute terms to Rs. 1,26,000 crores, with year -on-year growth of 7.93%. Total deposits growth achieved at Rs. 2,99,000 crores as on 30 June 2024, with an impressive year -on-year growth rate of 12.97% and 4.4% over previous quarter.
Gross ad vances gr ew year-on-year by 20.30% and by 5.06% over previous quarter and stood at Rs. 2,30,000 crores. Operating profit registered year -on-year improvement of 24.57% at Rs. 1,676 crores. Net profit gr ew year -on-year by 26.47% at Rs. 633 crores. Provision Coverage Ratio improved to 96.96% as on 30th of June, 2024. Capital Adequacy Ratio was higher at 17.82% against the regulatory requirement of 11.5%.
Now, Financial Performance:
Total income increased year -on-year by 21.52% to Rs. 7,568 crores. Overall interest income grew year -on-year by 20.48% , mainly due to growth in the advances level. Interest expenses increased year -on-year by 32.02% due to growth in deposit levels and the b orrowings increased to meet the credit demand. Net interest income increased year -on-year by 5.08% at Rs. 2

,441
crores.
Non-interest income improved year -on-year by 28.52% due to recoveries in return of accounts, sale of PSLC and accrual of discount on se curities and other fee income. Provisions on NPA reduced during the quarter mainly on account of reduction in the NPAs and arresting fresh slippages. Tax expense increased due to reversal of deferred tax asset and provision for income tax at overseas branc hes amounting to Rs. 5 crores. Thus, the Bank has posted an impressive net profit of Rs. 633 crores for 1st Quarter , with improvement year -on-year by 26.6%.
Cost of deposits increased to 4.95% due to offering of competitive interest rate on one deposit product of 444 days, which is attracting more deposits. Cost of funds increased due to increase in borrowings to meet the surging demand for credit. Yield on investments improved to 6.84% due to planned investments in high yielding securities.
Yield on advances improved to 8.75%, mainly due to improved margins under RAM segment , in addition to marginal increase in the MCLR. There is an improvement of yield on funds to 8.11%. Return on assets improved year -on-year to 0.70%. Return on equity improved year -on-year to 14.10%. Cost to income ratio reduced to 51.76% and year -on-year reduction by 520 bps. Total advances registered a growth of 5.06% over quarter and year -on-year growth of 20.30% and stood at Rs. 2,30,000 crores.

Credit deposit ratio improved by 43 bps over previous quarter and year -on-year by 470 bps at 77.04%. Retail gr ew by 16.69%, these are all year -on-year figures, mainly due to improved credit growth under home loans, vehicle loans, personal loans, and other retail loans like jewel loans, deposit loans, et cetera. Agri gr ew by 35.52%, MSME gr ew by 18.62% mainly due to credit growth under medium enterprises.
Credit to corporate gr ew at 15.82%. The main focus in corporate credit is towards A -rated and above -rated corporate borrowers constituti ng more than 65% and unrated accounts representing state government entities. Overseas credit gr ew by 5.89%.
There is a reduction in the restructured accounts by 12.5% compared to March quarter.
Regarding NPA management, gross NPA reduced by Rs. 6,980 cro res to Rs. 6,649 crores as on 30th of June , 2024. Net NPA reduced by Rs. 1,436 crores to Rs. 1,154 crores . And gross NPA ratio is reduced from 7.13% last year to 2.89%. Similarly, net NPA ratio reduced from 1.44% to 0.51%. Credit cost reduced to 0.29% compared to previous quarter.
Total recovery from NPA s during the Q1 was Rs. 582.27 crores. Total recovery from technical written off accounts was Rs. 364.23 crores. Provisions coverage ratio improved from 94.03% to 96.96%, th at is 293 bps has increased. And provision coverage ratio excluding technical write -off also improved from 81.02% to 82.65%. And robust and continuous monitoring system has improved in controlling slippages . And slippage ratio reduced year -on-year from 0.3 1% to 0.13%. Slippages during Q1 2024 -2025 is Rs. 277 crores.
Regarding capital adequacy, the focus is given towards capital -light advances. Thus, despite increase in advances level, the credit risk weight asset to advances ratio reduced to 53.91% from 54.05% last March. Overall , capital adequacy ratio improved year -on-year by 126 bps to 17.82%. And there is significant improvement in return on equity.
Now, thank you very much. I now request Mr. Aryan to take it forward.
Aryan Rana: Yes. Hi, Siddhant , we can now open the floor for the question -and-answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: On the whole, if you look at the performance and compare it year -on-year, it ’s definitely a very excellent performance. But sir, if you talk about quarter -on

-quarter, and especially on the
profitability front, our operating profit has gone down from Rs. 1,961 cro res to Rs. 1,675 crores. Mainly, one of the reason is that other income has gone down from Rs. 2,477 crores to Rs. 1,033 crores , but part of it was offsetted by the employees cost of Rs. 1,124 crores from Rs. 2,517 crores. And it also contributed lesser re covery. I mean, in the other income, the lesser recovery from the written -off account as against Rs. 908 crores to Rs. 308 crores.

So, sir, now there are a couple of questions on this . Number one, whether the same pattern will continue in the coming, I mean, three quarters that we are having pressure on the overall operating profit, because of the lesser recovery as compared to the last quarter?
And secondly, whether the employees cost, which has come down substantially, so the run rate of tha t is going to be in the same fashion, like if you divide it by three, so about Rs. 375 crores per month. So, that we can get some idea of going forward where do we stand on this, sir?

Ajay Kumar Srivastava: Thank you, Mr. Ajmera. Very pertinent question s. So, operating profit sequentially you are talking about , it has come down by Rs. 200-odd crores. The main reason being, of course, part of the solution you yourself have covered. Major reason is that , if you remember, in the third or fourth week of Q1 in this financial year, we came out for an open auction of around 91 NPA accounts, NCLT, non -NCLT, and sole banking accounts amounting to Rs. 13,000 crores. And the plan was that we started in the month of April itself because we wanted to finish the deal in Q1 itself, which unfortunately could not happen because of the various ARCs having different requirements and a few of them, or I will say most of them were not inclined for NCLT accounts for obvious reasons. And they were rather interested more in individual accounts rather than on pool.
So, all these issues are still under discussion and negotiations are going on. And since it could not happen, it got delayed. I am not saying that it could not happen, it got delayed. And that has got its impact in Q1, but certainly that will be covered in Q2. And other than that, also, the normal business growth will generate operating income more than the expenses. And going forward, I do not see any reason to be worr ied on that front. And substantial, I will say handsome growth on operating profit and net profit, both you will be able to see in coming quarters.
Ashok Ajmera: Yes. On this other income, you see Rs. 160 crores as compared to Rs. 943 crores, it said all other income . In the other income there is another head, all other income. So, how it has substantially come down to Rs. 160 crores ? I do not remember exactly what happened in the last quarter, when it was Rs. 943 crores. What is the component ?
Ajay Kumar Srivastava: Other income you are talking about?
Ashok Ajmera: Yes, that all other income, like Rs. 160 crores as compared to Rs. 943 crores.
Ajay Kumar Srivastava: Rs. 943 crores versus Rs. 160 crores.
Ashok Ajmera: Yes.
Ajay Kumar Srivastava: We will have to go through that . We will come back to that break up of Rs. 943 crores. But year-end what happens, all of us know that many, many charges, and many things which in few other quarters we have not been able to recover, but all these things happen in Q4, that may be one of the reasons. Or maybe a one-off incident will be, what I can recollect is that maybe it will be part of, but recovery separa tely given Rs. 908 crores. So, we will come back to you regarding that Rs. 943 crores. And if you see year -on-year from Rs. 23 crores, of course, it has gone to Rs. 160 crores. Maybe from treasury also something we would have got as part of Rs. 943 crores.

Ashok Ajmera: Sir, my next question

comes on treasury only, that because of the change in the RBI stance, like on the reclassification and the valuation side of the investment book.
Ajay Kumar Srivastava: I would just stop you. In Q4, MTO of Rs. 589 crores was there , because of that only this Rs. 943 crores has happened. Yes, please go on, please continue.
Ashok Ajmera: So, sir, now in the 1st Quarter , we started with that new system and the auditor has also given the note that, you know, general reserve would have been higher by Rs. 1,413 crores and the ASF reserve would have been lower by Rs. 442 crores. Investment income is lower by Rs. 74 crores. So, I am not g oing into the details of it, but net -net, whatever income which otherwise would have come as a treasury income, like in the other income, as a treasury gain, now a part of it is coming as an interest income, which is now with this. And other adjustments ar e made in the reserves only, not affecting the P&L. So, what I want to know is that net -net, is there any effect on the profit and loss for the quarter, in the profit or loss of the quarter, because of this change?
Ajay Kumar Srivastava: Nothing, nothing h as changed. Nothing substantial.
Ashok Ajmera: Okay. I mean, it is only basically from the accounting perspective.
Ajay Kumar Srivastava: Exactly , it has happened according to that only. So, it has not impacted my P&L.
Ashok Ajmera: And sir, one question is on the advance book. If you look at the medium enterprises, book has increased by 74.81% in this quarter from Rs. 8,960 crores to Rs. 15,662 crores. Is it because of some reclassification or is it some group of accounts which have come together ? Or what is the reason for such a large, I mean, high increase in the ….
Ajay Kumar Srivastava: Medium enterprises you are talking ? Medium enterprise is part of MSME.
Ashok Ajmera: Yes, it is a part of MSME, but if you look at it, on the slide --
Ajay Kumar Srivastava: Yes. 74% growth you are talking, 74.81%.
Ashok Ajmera: Yes. So, is it a normal feature ?
Ajay Kumar Srivastava: Yes, it’s a normal feature. Two things are there. First thing is that base is low, so that is why percentage is looking high. And second thing is that we have started going very aggressively on TReDS . The TReDS platform you must be knowing, discounting of bills of MSME suppliers. Because of that, this 74% growth is visible and major part of that has come from TReDS , apart from normal growth.
Ashok Ajmera: Okay. So, as like figure looks, can we expect the total credit book to grow by about 20%, 22%?
Moderator: Sir, we request that you return to the question queue for follow -up questions.

Ashok Ajmera: Let this question be answered. Let this question be answered. So, should we expect that overall credit growth maybe 20%, 22% for the way you are going in the 1st Qua rter itself?

Ajay Kumar Srivastava: No, we are looking at 13% to 14% of credit growth in this financial year.
Ashok Ajmera: So, in the remaining three quarters only about 8% to 9% , isn't it?
Ajay Kumar Srivastava: Yes. Overall I am talking about. The overall it will be, because many repayments will also happen, so around 13% to 14% is the figure which we are looking at as far as credit growth is concerned.
Moderator: Thank you. The next question is from the line of Priyesh Jain from HSBC. Please go ahead.
Priyesh Jain: Sir, my first question is to do with deposits. Could you share the split of term deposits between retail and bulk deposits?
Ajay Kumar Srivastava: Bulk we have been traditionally , at IOB, we maintain it at around 6 % to 7% of our total deposits. See, we are having around 42%, 43% of CASA, continuously we are maintaining at that level. And we are having a very strong retail deposit book, retail term deposit book. Bulk, traditionally we have not been depending on that , and need -based only we go

into that market, we are not very aggressive. So, overall , at any point of time you will see that the bulk deposit percentage varies around 5%, 6%, 7% of my total deposit, not more than that.
Priyesh Jain: Sir, could you also giv e the Y -o-Y growth for the retail term deposits and the bulk deposits?
Ajay Kumar Srivastava: Retail term deposits separately, okay , we will come back, separately I am not having right now or anyone can give me? See, almost 16 to 17 months back, 18 months back, we started a special term deposit of 444 days , retail term deposits . And since February this year we increased rate of interest on that to 7.30%, which today also is the highest . And we have been successful in garnering around Rs. 40,000 crores of retail term deposits over a period of last 18 to 19 months, which is very much stable and is going strong. Retail term deposit year-on-year growth, give me some time, I will come back, the department is working on that. But growth will be in double - digit only, that is what I can tell you.
Priyesh Jain: Okay sir, fair enough. Also, like I just wanted to understand, why has the borrowings increased by 9% this quarter year-on-year on retail term deposit?
Ajay Kumar Srivastava: Yes. Obviously, in fact, we all know there is scarcity of deposits in the market and the entire industry is struggling with , as far as deposit growth is concerned. And since we have to meet our credit requirements and there are certain ratios which are supposed to be main tained as per regulatory prescriptions. So, need-based, wherever we see that some gap is there, some requirement is there, need -based we go to market and do that borrowing, that is need -based.
Priyesh Jain: Sir, you shared the loan growth guidance , could y ou also share the guidance for FY 2025 for the deposits growth, the margins?
Ajay Kumar Srivastava: Yes. Deposits growth, we are looking at around 11% to 12% of growth. The entire focus, in fact, that is the guidance we have given. But internally, we are w orking for deposit growth more than credit growth. So, that is the plan for this year, and hopefully we will be able to do that. For

margin, the same thing that pressure is there because of increased cost on deposit, and our NIM for Q1 is at 3.06%. We intend to maintain it at around 3.10%.
Moderator: Thank you. The next question is a follow -up question from Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Thank you. Thank you for giving the opportunity again. Sir, we have been I think talking about it, even earlier also we had covered this point on note number 17 about the contingent liability on account of the income tax and the indirect tax. Now, the amount seems to be very high, very large, Rs. 8,450 crores and Rs. 1,146 crores. So, my p oint has always been that, you see, in most of the other public sector banks or even some of the private banks also, if you see, this kind of item is never there anywhere. It's huge as compared to the size of the bank.
So, what is the status? I mean, can it be not taken at the top level with the department, with the authorities or with the court and this matter can be settled , because no provision has been made against this, as we are expecting a favorable decision on this ? So, can we not expedite, bec ause when the ECL kind of thing comes, I do not know what will be the treatment required of this kind of contingent liabilities.
Ajay Kumar Srivastava: Yes. See, first thing is that, this type of things are across banks, because the income tax department i s common for everyone. And I will say that, it will be incorrect to say that it only pertains to IOB. We also interact amongst ourselves and we do know that most of the banks are struggling with this. That is one part.
Second part is that , in all these is sues we have filed an appeal, and in seven to eight cases,

we are
having a strong indication that our appeal will be considered favorably. So, provision has not been made because we do not foresee any challenge. We do not foresee any challenge that whateve r demand has been raised by the authorities, the entire 100% will fall back on the bank. That is not going to happen. We are having our own reasons and justifications to believe that. So, accordingly we do not feel that it 's anything of concern going forwa rd.

Ashok Ajmera: Okay. Of course, because we did not find this kind of thing in the auditors note in some of the banks. I mean, you study, you can also look at it. It 's very clearly mentioned in the note by the auditors in the accounts, which we somehow know because we also keep track them very closely. Anyway.

Ajay Kumar Srivastava: Yes. Sorry, only one minute I will take. Maybe we are trying to be more transparent as compared to other banks. That is what I can tell you.

Joydeep Dutta Roy: Yes. Just to add Ajmera ji, this is Joydeep here. I think we have a lot of interaction with other banks also and such disputed income tax liabilities are there in each bank. The amount may vary.

Ashok Ajmera: May not be pointed out by the auditors in the notes in th e accounts or I might have missed it. Sir, going forward, there is some pressure suddenly on the agriculture loans, in fact, there is some kind of farm waiver or loan waiver started with Tamil Nadu and some other states, and some

few other states are also, I think, Madhya Pradesh, they are also considering. So, what do you expect the fallout of that on our bank? And whether the hit has to be taken by the Bank in case it happens? And are we insulated from that as far as our bank is concerned or our exposure is very small?

Ajay Kumar Srivastava: Sir, generally, whatever, it 's not a new phenomenon. When I was a junior officer , at that point of time, 15 years earlier also all these things were in place. And things have been like this that everyone knows in the s ystem. When everything or th ese type of things when come in writing, mostly it is like this that the loans up to Rs. 1 lakh or loans up to Rs. 50,000, that too which has been taken by the cooperative bank, only they will be eligible for waiver and all this. So, many ifs and buts, and many hidden conditions are there in that . So, unless or until anything comes out on paper in black and white, it will be difficult to comment on that. But having said that, since it 's phenomena which is going on for last ma ny years, and we have not faced much challenge on that direction . If at all it happens in any of the states, we are having that capability to withstand that.

Ashok Ajmera: Okay. Sir, this CD ratio is already at 77.04%, and we are trying to grow our book al so very well, credit book. So, going forward, will you be comfortable with the higher CD ratio, because there is a pressure on the deposit side also? So, what is your stand on that, sir?

Ajay Kumar Srivastava: Yes. CD ratio we will be maintaining at this l evel around 76%, 77%. When we met last in the month of May, at that point of time also I conveyed this. Focusing more on deposits growth, deposit growth will happen. We are having a strategy in place, and it is happening also. But whatever guidance has bee n given of 13% around credit growth, 11% to 12% of deposit growth, we are looking at these numbers with complete seriousness. And we do hope that we will be able to achieve that. And CD ratio, we will be able to maintain at around 76%, 77%, that will continue.

Moderator: Gentlemen, that was the last question. If you have any queries, please email us at sonali.pandey@veritasreputation.com. I would now like to hand the conference over to Mr. Aryan Rana for closing comments. Mr. Rana, please go ahead.

Aryan Rana: Thank you so much, Siddhant, and thank you to the management team present in the con

ference.

Indian Overseas Bank is going through a significant phase of growth, and we are hopeful of a fantastic year ahead. On behalf of our Board of Directors and Management, we thank you all for your participation in this call. Have a great time ahead. Thank you .

Ajay Kumar Srivastava: Thank you, everyone.

Moderator: On behalf of Indian Overseas Bank and Veritas Reputation, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Jan 2025

[redacted],
[redacted],[redacted] ,
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360 | investor@iobnet.co.in

Ref No. IRC/ 311/2024 -25 24.01.2025

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd.,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Transcript of Analyst Conference Call

Pursuant to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022, we enclose the transcript of Analyst Conference Call held on 20.01.2025 .

Please take the above information on record and arrange for dissemination.

Yours faithfully ,

(Ram Mohan K)
Compliance Officer

“Indian Overseas Bank
Q3 FY '25 Results Conference Call”
January 20, 202 5

Management: Mr. Ajay Kumar Srivastava , Managing Director & CEO
Mr. Joydeep Dutta Roy – Executive Director
Mr. T. Dhanaraj – Executive Director
Mr. Mahesh Kumar S.P. – Chief Financial Officer

Moderator: Ms. Sonali Pandey – Veritas Reputation PR Private Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Overseas Bank Q3 FY '25 Results Conference Call h osted by Veritas Reputation PR Private Limited. As a reminder, all participant

lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Sonali Pandey from Veritas Reputation PR Private Limited. Thank you, and over to you, ma'am.
Sonali Pandey: Good evening, and welcome to Indian overseas Bank conference call to discuss our financial results for quarter 3 FY 2025 ended December 31, 2024. Indian Overseas Bank IOB, headquartered in Chennai continues to strengthen its pres ence with 3,322 branches, eight retail loan processing centers, 3,503 ATMs and 9,041 business correspondents across India as of December 31, 2024.
IOB also provides services in four countries, Singapore, Hong Kong, Thailand and Sri Lanka with a trust of 41 million active customers in banks fold. Our comprehensive suite of services spans personal, corporate and agricultural banking along with credit cards, loans and insurance products .
In 2024, IOB was among the top -performing public sector banks, contributing to the Nifty PSU Bank index 14.48% annual gain. IOB delivered strong earnings growth driven by improved asset quality and reduced provisions, reflecting the broader resilience o f the PSU banking sector. Our financial results are available on our website and stock exchange platform.
Before we proceed, please note that today's discussion may include forward -looking statements subject to risks and uncertainties that would impact fu ture outcomes. We encourage you to consider these factors when evaluating our performance. Joining us today are Mr. Ajay Kumar Srivastava, Managing Director and CEO; Mr. Joydeep Dutta Roy, Executive Director; Mr. Dhanaraj T, Executive Director. We will beg in with an overview of Q3 FY '25 performance followed by a Q&A session.
I now invite Mr. Mahesh Kumar S.P. , Chief Financial Officer, to present the financial highlights. Over to you, sir.
Mahesh Kumar S.P. : Thank you, Sonali. Good evening to all. Wish you all analysts, investors and the stakeholders a very Happy and Prosperous New Year 2025. Regarding the bank during the current Q3 2024 - '25, bank has achieved a remarkable growth in business mix of INR 5.43 lakh crores as on 31st December 2024 recording year -on-year growth over 9.82%.
I present an overview of the bank's performance during Q3 2024 -'25. CASA grown in absolute terms to INR1.32 lakh crores with year -on-year growth rate of 9.45%. Total deposits growth achieved at INR3.05 lakh crore s as on 31st December 2024 with a year -on-year growth rate of 9.74%. Gross advances grown year -on-year by 9.93% and stood at INR2.38 lakh crores.

Operating profit registered year -on-year improvement of 27.30% at INR2,266 crores. Net profit grown year -on-year by 20.89% at INR874 crores. Provision coverage ratio improved to 97.07% as on 31st December 2024. Capital adequacy ratio at 16.97% against the regulatory requirement of 11.50%.
Financial performance. Total income increased year -on-year by 13.07% to INR8,409 crores. Overall, interest income grown year -on-year by 15.16%, mainly due to growth in the advances level. Interest expenses increased year -on-year by 14.43% due to growth in deposit levels and the borrowings in creased to meet the credit demand. Net interest income increased year -on-year by 16.31% at INR2,789 crores.
Non-interest income improved year -on-year by 2.85% due to recoveries in written -off accounts

and increase in other fee income. Provisions on NPAs m arginally increased by 9% due to migration provision that is aging related. And all efforts are made to reduce the slippage -- to arrest of the slippages and reduce the NPAs by robust recovery system.
Tax expense increased due to reversal of deferred tax assets and provision for income tax at overseas branches amounting to INR3 crores. Thus, the bank has posted an impressive net profit of INR874 crores for Q3 2024 -'25 with improvement year -on-year by 20.89%. Cost of deposits increased to 5.08%. Previous ye ar, it was 4.82% due to offering of competitive interest on one deposit product that is 444 days scheme, which is attracting more deposits.
Cost of funds increased due to increase in borrowings to meet the surging demand for the credit. Yield on investmen ts improved to 6.86% due to planned investments in high -yielding securities. Yield on advances improved to 9.02%, mainly due to improved margins under RAM segment in addition to marginal increase in the MCLR.
There is an improvement in yield on funds to 8 .45%. Return on assets improved year -on-year 0.93%. Return on equity improved year -on-year to 17.86%. Cost -to-income ratio reduced to 44.55% and year -on-year reduction, if you see, it is 680 bps it has reduced. Total advances registered a growth of 3.25% o ver previous quarter and year -on-year growth of 9.93% and stood

at INR2.38 lakh crores.
Credit deposit ratio improved by 379 bps over previous quarter and year -on-year by 14 bps at 77.88%. Retail improved by 25.73% mainly due to improved credit growth und er home loans, vehicle loans, personal loans and other retail loans like jewel loans, deposit loans, et cetera.
Agriculture sector has grown by 37.38%. MSME growth registered by 6.11%. Corporate credit declined by 19.63%. Main focus is on corporate credit is towards A and above rated corporate borrowers, which is constituting right now at 65%. Overseas credit growth at 0.28%.
Restructuring accounts -- restructured accounts, there is a reduction in restructured accounts to INR4,307 crores as on 31st December 2024.
NPA management. Gross NPA reduced from INR8,441 crores to INR6,071 crores. Net NPA reduced from INR1,303 crores to INR976 crores. Total recovery from NPA during Q3 was INR957 crores and total recovery from technical written -off acco unts was INR677 crores.
Provision coverage ratio improved from 96.85% to 97.07%. Provision -- the PCR including

technical write -off, is at 83.92%. Robust and continuous monitoring system has improved in controlling slippages.
Slippage ratio reduced year -on-year from 0.17% to 0.13%. Slippages during Q3 is INR284 crores. Capital adequacy. The focus is given towards capital -light advances. Overall, capital adequacy ratio is at 16.97% that is without including the current year profits whatever we have earned o n quarterly basis. And valuations like, there is a significant improvement on equity, earnings per share, written -on assets. And this is what I submit to you. Thank you.
Moderator: Sir, should we begin the question -and-answer session?
Mahesh Kumar S.P.: Yes, please.
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera : I'm Ashok Ajmera, Chairman of Ajcon Global. Compliments to you, sir, and the entire team of Indian Overseas Bank for a good set of numbers even in this quarter also. You have excelled on many fronts, especially at the end of the day, everybody is concerned about your PAT, which is of course very goo d. You improved on the -- everyone is bothered nowadays on the bottom line, so you improved your bottom line a lot even in this quarter also. Good control on the gross NPA and net NPA, good ROA number. Having said this sir, I have got som

e observations and some
questions and some data points to ask.
So number 1 is -- in the other interest income, in the interest income, there is one INR218 crores in this quarter, whereas in the last quarter, it was zero. So I might have got the full details, but what it co uld be? This is one. If you can -- otherwise, I can ask my other questions also.
Ajay Kumar Srivastava : Yes, welcome back. That is a recovery from technical written -off of accounts. That goes to other income.
Ashok Ajmera: Technical written -off is recovery from written -off it's a -- that INR635 crores is in addition to this INR218 crores.
Ajay Kumar Srivastava : Sorry, I will give that clarification. The recovery from technical written -off it's already shown separately. That is income tax income and income t ax refund, interest refund.
Ashok Ajmera: Interest on income tax. Yes, that's what only I was wondering this is there. And we have -- if you look at the -- or this Note number 18, about the tax liability, which is coming, I think, every quarter, and which is the old disputed liability about tax. Direct tax INR3,560 crores, indirect tax INR1,455 crores, which the auditor has given in the Note number 18.
So I would just like to know, and there was also one recent, I think, tribunal decision also about the banking on the MAT credit also that yes, your MAT was not applicable or something. So what is the impact on this? And where do we stand on this big almos t about INR5,000 crores of liability hanging on on which there is no provision. So can you throw some light on that?

Ajay Kumar Srivastava : Yes. In fact, if you remember, Mr. Ajmera, you raised this question in our last meet also. At that point of time, this contingent liability on tax was around INR10,000 crores. And in that meeting also, it was conveyed to you by me is that, of course, there is no provision because we expect that almost 100% of our demand is genuine, and we are going to get it back.
Today that INR10,000 crores, we are standing at INR5,014 crores only and giving effect orders from income tax authorities of around INR4,100 cro res is already released and that is how that INR10,000 crores has got reduced to INR5,000 crores. This goes on to -- let me finish, which

goes on to show that whatever we say and whatever belief was that our demands are genuine
and it will be acceptable. I t has been accepted, 50% has been already been reduced giving effect
orders we have got.
Remaining INR5,000 crores also, it is under discussion and under consideration. Hopefully,
going forward, also, we are not required to make any provision against that . And we are 100%
hopeful that this will also be settled in our favor.
Ashok Ajmera: Sir, while you are talking about this, can we also get the clarification on AS 23, the loss in the
value of the investment, which we have made in our books or other compan ies. There, there is a
I think a loss of INR373 crores, which has directly been reduced from the reserve as per the note.
So what is that? And whether other banks are also doing that because somehow I missed or I
have not noticed such note in the other ban ks? That's not on AS 23 either?
Ajay Kumar Srivastava : This is a consolidation effect.
Mahesh Kumar S.P.: Mr. Ajmera, good evening. This is when consolidating the both accounts. It is stand -alone, we
do not have any effect on this. While consolidating the accounts, this effect has been taken
pertaining to our RRB, that is an associate in there. So that is the effect sir.
Ashok Ajmera: That RRB is this thing. And in consolidation, we don't include Universal Sompo, where we are
holding 18.06%. What is our pla n on that sir? Are we -- do you want to increase the stake or you
want to hiv e up this stake? Keeping 18.06%?
Ajay Kumar Srivastava : Right now we want to continue with that. In the immediate future we want to cont

inue with that.
Ashok Ajmera: Because I did not adding to the consolidation also. It is just a plain investment. It's your call.
Now sir on the credit and deposit front.
Moderator: Sorry to interrupt, Mr. Ashok...
Ashok Ajmera: So -- just a minute -- just give me one minute. Yes. Sir o n the credit and deposit, I mean, on the
business front, even though annualized fourth quarter, we are saying that 9%, 9.5% growth on
the credit. In these 3 quarters, we have grown 8.49%. So what is our -- are we achieving our
target on the credit and depo sit side also, Even in the last quarter, we have slowed down rather
negative by 1.78%. So overall, in the 3 quarters, it is 6.72% only, even though we are maintaining
good CASA. So what is your views around this, the credit expansion, the credit growth for FY
'25 total overall. Similarly, the deposit.

Ajay Kumar Srivastava : See, both things credit and deposit in the beginning of the year, we gave that guidance that we
intend to grow by around 13% both deposit and credit. Nine months, we have turned almost
around 10%, 9%, 9.5% in deposit as well as credit. And we are pretty confident that by the end
of this financial year deposit and credit growth both will be thereby at least above 13%. That is
what we are working at. Having come to deposit degrowth we are t alking about.
So there are three components of deposits. That is CASA, retail term deposit and bulk deposit.
So CASA, we have increased. Retail term deposit we have increased. Bulk deposit because of
high cost -high rate of interest, we have as a part of the strategy deliberately, we have shed our
bulk deposit which was the high cost to the bank.
So that was a deliberate attempt. And because of that only deposit you are showing a negative
growth. But having said that, the bulk deposit consists of only 5% of my total deposit portfolio,
remaining 90%, 95% is CASA and retail term deposit. And in both these CASA and retail term
deposits, we have grown.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the
conference over to the management for closing comments.
Ajay Kumar Srivastava : So thank you, everyone, for joining. As you can see, quarter -on-quarter improvement in all key
parameters, all key ratios there has been -- there we are ensuring that quarter -on-quarter,
whatever is supposed to improve, that is getting improved. And quarter -on-quarter, whatever is
supposed to reduce, that is getting reduced.
We want to be known as a consistent bank, a bank which consistently performs and if you go
through over last 8 or 9 quarters of our performance, you can see that quarter -on-quarter, there
has been steady growth, which is sustainable. And that is what we intend to do going forward
also.
And this is the intention. This is the intent. And for achieving th at, we at IOB with the entire
team is working for that. So thank you all for joining and raising your questions for clarification.
Thank you so much.
Moderator: On behalf of Veritas Reputation PR Private Limited, that concludes this conference. Thank you
for joining us and you may now disconnect your line.

Call: May 2025

[redacted],
[redacted],[redacted] ,
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360 investor@iobnet.co.in

Ref. No. IRC/ 35/2025-26 07.05.2025

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd.,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Transcript of Analyst Conference Call

Pursuant to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022, we enclose the transcript of Analyst Conference Call held on 02.05 .2025 .

Please take the above information on record and arrange for dissemination.

Yours faithfully ,

(Ram Mohan K)
Compliance Officer

“Indian Overseas Bank
Q4 FY '2 5 Earnings Conference Call”
May 02, 202 5

MANAGEMENT : MR. AJAY KUMAR SRIVASTAVA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDIAN OVERSEAS BANK
MR. JOYDEEP DUTTA ROY – EXECUTIVE DIRECTOR – INDIAN OVERSEAS BANK
MR. DHANARAJ T – EXECUTIVE DIRECTOR – INDIAN OVERSEAS BANK
MR. MADHAW CHANDRA JHA – CHIEF FINANCIAL OFFICER – INDIAN OVERSEAS BANK

MODERATOR : MS. SONALI PANDEY – VERITAS REPUTATION PR

Moderator: Ladies and gentlemen, good day and welcome to Earnings Conference Call of Indian Overseas Bank arranged by Veritas Reputation PR. At this moment, all participant lines are in the listen -

only mode, later we will conduct a question and answer session. At tha t time, if you have a question, please press star and one on your touchtone keypad. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sonali Pandey from Veritas Reputation. Thank you, and over to you, ma'am.

Sonali Pandey: Thank you, Michelle. Good evening and welcome to Indian Overseas Bank Conference Call to discuss the financial results for the fourth quarter and full year ended March 31, 2025. Indian Overseas Bank, headquartered in Chennai continues to str engthen its footprint across India with a robust network of over 3,335 branches and about four overseas branches, approximately with 3,497 ATMs and 10,135 business correspondents.

Internationally, IOB serves customers in Singapore, Hong Kong, Thailand and Sri Lanka, proudly catering to a growing base of 41 million active customers. Our comprehensive range of services includes personal, corporate and agricultural banking, along with credit cards, loans and insurance products. The financial results and relat ed disclosures are available on our website and have also been filed with the stock exchanges.

Before we begin, please note that today's discussion may include forward -looking statements, which are subject to risks and uncertainties that may impact actual outcomes. We encourage you to keep these factors in mind while evaluating the Bank's performance. Joining us today are Mr. Ajay Kumar Srivastava, Managing Director and CEO; Mr. Joydeep Dutta Roy, Executive Director; Mr. Dhanaraj T., Executive Director. We will start with an overview of the bank's performance for Q4 and FY 2025, followed by a Q&A session.

Now I invite Mr. Madhaw Chandra Jha, Chief Financial Officer of Indian Overseas Bank to present the financial highlights. Over to you, sir.

Madhaw Chandra Jha: Yes. Thank you, madam -- Sonali madam. Good evening to all. I am pleased to present the overview of the bank's performance during the quarter and year ended 31st March 2025.

Regarding the performance of the bank during the year ended 31s t March 2025, bank has achieved a business mix of INR5,61,000 crores. First time, it has crossed INR5,50,000 crores and recording a year -on-year growth of 11.30%. Then CASA also grown by INR1,36,161 crores with year -on-year growth of 8.49%.

Total deposit growth achieved at INR3,11,939 crores as on 31st March with a growth percentage of 9.11%. So gross advance grown year -on-year basis by 14.15% is INR2,50,019 crores against the INR2,19,018 crores last year -- last time. So bank has shown an operating profit of INR8,688 crores, registering a growth of 28.44%. And net profit of the bank year -on-year basis, it has increased by 25.56% to INR3,335 crores.

PCR, provision coverage ratio has increased to 97.30% as on 31st March as compared to 96.85% last year. Capital adequacy ratio due to that we had gone for QIP, first we had generated INR1,437 crores. So this has increased to 19.74% as against the 11.50% ma ndatory requirement from the earlier. Total income increased by 13.36% to INR33,63 6 crores overall. Net interest income for the quarter for March has increased to INR3,123 crores showing a year -on-year growth of 13.03% and cost of deposit increased to 5.08 % for this year.

Cost of fund increased due to the increase of the borrowing to meet the rising demand of credit. After that this yield on investment improved to 6.83% due to planned investment in high yield security. And yield on advances improved to 8.8 2%, mainly due to the improved margin from the RAM segment.

So, RAM s

egment we are doing that we have to -- return on asset of March '25 is 1.12%. So first time we had crossed 1%. Earlier, it was less than 1%. So first time we had increased to 1.12%, that is 11 bps [inaudible 07:18]. Return on equity also inched up to 16.28%. Cost -to-income ratio was 47.14% as compared to last year, so that 918 bps. Gross NPA reduced from INR 6794 Crores to INR 5348 Crores year on year basis.

So net NPA reduc ed from INR 1,217 crores to INR 912 crores . So percentage -wise, it has come to 0.37% this time . So total recovery from NPA during the quarter is INR 992.33 crores and the year-on-year, it is INR4,014 crores.

Sonali Pandey : Thank you, sir. Thank you very much. We will now begin the question -and-answer session.

Moderator: Thank you very much, ma'am. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Good evening, sir and compliments to you for the fantastic set of numbers for the quarter and the year. My compliments to you for the good set of numbers . You have crossed ROA for the first time, 1% in this quarter, 1.12%. And the overa ll business also has -- business growth has also been good in this difficult environment, especially on the front of the deposit and the credit both in many other banks, people are facing, whereas you have done well on the advances front

of 14.15% and depo sit 9.11% in this. So on the whole, it's a good set of results.
I have some couple of some questions and some observations, some data points. Sir, my first point is on the fresh slippages, which have gone up to INR2,756 crores. Would you like to elaborate on that fresh slippage to NPA c ategory? What kind of accounts and what is the reason for it a nd something -- can you give some color on this? Th at is my first question, please?
Ajay Srivastava: Yes, sir. In fact, all along, we have been consistently mainta ining slippage ratio around 0.15%, 0.16%, 0.17% . This quarter also, we always maintained it, but one account of MTNL that is already there in the public d omain, all of you know that. So, INR2,332 crores of MTNL account became NPA in February this year in Q 4. And because of that only total slippages has gone up to INR3,568 crores, sir. If you take that out, then total slippage for the entire year is INR1,200 crores only, which is lower than the previous year slippage of INR1,500 crores.

Ashok Ajmera: So sir, what will be the state of MTNL now like there must be talk going on to bring it back to the standard category or what is the process now to be followed to bring down our NPA, though you -- though the gross NPAs are under control because there is a heavy w ritten -off of INR3,043 crores write -off in this quarter, but still it's a matter of concern only. So what is -- what generally happens in this kind of case now?
Ajay Srivastava: Sir, discussions are happening amongst Ministry official, sir. Some resolution we are expecting in this quarter. And hopefully, we will get our entire money back. That is what we are expecting.
Ashok Ajmera: Yes. You must get the entire money and in fact as why on the MTNL you should lose any money when it is a government undertaking. Anyway sir, there is -- we have an investment in Universal Sompo General Insurance of 18.06%, which is basically a minority int erest and it is not coming in our consolidation books also because of less than 25%. So any plan on this either h aving off or increasing the stake?
Ajay Srivastava: In fact, increasing the stake can be considered, sir. That is not under active consideration, I will say, but we'll go to the Board and discuss about that. But hiving off is certainly not on the card, sir. We'd like to maintain it.
Ashok Ajmera: Okay, sir. And there is a loss in the other investment in associat

e books. So what is exa ctly is
that INR331 crores adjusted against the reserves and surplus. So this belongs to which associate company, which we have to write off?
Ajay Srivastava: INR331 crores.
Ashok Ajmera: No. This is note number 9 in investment in associate. Yes, AS 23?
Ajay Srivastava: Okay. That was JV, we are having -- in fact, the new definition of treasury revaluation, the treasury thing one circular came from RBI last year.
Ashok Ajmera: Yes.
Ajay Srivastava: So as a part of that, only the entire thing was restructure d last time also it was discussed. It's only an accounting entry sir, it is not having any impact on the balance sheet. It was part of the compliance of the guidelines issued by RBI as a result of that, only it has happened.
Ashok Ajmera: Okay, sir. Sir, m y next question is on the -- which I have been raising in earlier meetings also is about the disputed tax liability. So that continues to be there in the notes, which auditors have given notes to the account. And even las t time also, we had -- I think one or two quarters back also, we had a discussion on this that it is there with all other banks also. But we have not seen this kind of note in any other -- most of the other public sector banks.
There is a huge disputed tax liability of INR4,062 crores and plus there is income tax and service tax INR265 crores and GST, INR1,615 crores. So where do we stand today? I mean, why is it taking so much of time to settle the liabilities? And there is a process in the -- all these tax laws where you can press for early disposal of the cases ?

Ajay Srivastava: Yes, sir. So two, three things, sir. First thing is that we have gone through the notes on accounts of some of the banks whose results have come recently. And I think that this is there also as part of disclosu re. That is one part, sir. But last time when we discussed, if you remember, the total disputed tax liability was INR9,700 crores almost. And during last 4 to 5 months, we have of course, against all those demands, we went for appeal.
And last 4 months, g iving effect orders from the appellate authorities, we have got to the tune of INR4,402 crores. That was, of course, disclosed also and it came in the newspapers. So from INR9,700 crores, it has come down to INR5,900 crores as on date. Why I'm giving -- sharing these numbers with you is that the appeal which we made against the claim by the respective authorities, our appeal and our justification has been accepted by the appellate authority.
And as a result of that, only INR4,402 crores of giving effect or ders came to us and the disputed

tax liability has come down to INR5,933 crores. So depending on the demand and nature of demand and our conviction that these demands are not justified, we have gone for appeal. And we are 100% sure that this for remaining amount also, we are going to get the giving effect orders and liability against this will not arise.

That has been proved as the numbers which I gave to you. And depending on the facts and discussion with the experts, we are sure that this liability, this demand will not crystallize on the bank. But as a matter of corporate governance, as a matter of 100% transparency, we make it a point that we disclose this for the benefit of everyone.

Ashok Ajmera: That's very good, sir. On this IT refund of INR4,402 cr ores, you must have received good amount of interest also. What is the in terest amount of the IT returns which has gone to the income?

Ajay Srivastava: It has gone to current account, sir. Interest amount is yet to be decided or maybe I will come back with the details. I'll come back with the details.

Ashok Ajmera: So no credit has been taken in P&L on accou nt of that interest, whatever is there in this month?

Ajay Srivastava: Something will be there t he exact numbers, I don't remember, we'll come bac

k, sir.

Ashok Ajmera: Okay. All right, sir. I will take it now on the -- coming back on the business and the credit growth and as well as the deposit growth, we are sitting on a CD ratio of global is around almost about 80% and domestic is 76.96%. So go ing forward, what is your target, sir, now for FY '26 or maybe one or two quarters next quarter on the credit growth, you want to continue it at 14%, 15%? Or is there any change? And the same, what is the target for the deposit sir?

Ajay Srivastava: Sir, c redit growth for this year also, we would like to grow at around 14% to 15%. That will continue. And to demand that and to match that growth, to address that growth, we need to grow our deposit also. This year, we have grown by 9.11%. We have got our strat egy in place and our plan is to grow deposit to the tune of 12% to 13% in this financial year.

Ashok Ajmera: 12% to 13%.

Ajay Srivastava: Yes.

Ashok Ajmera: Alright. I have some couple of data points also to be discussed. But if time permits, I'll come back again, sir.

Ajay Srivastava: Sure, sir. Welcome.

Moderator: Thank you. Th e next question is from the line of Niteen Dharmawat, CFA from Aurum Capital. Please go ahead.

Niteen Dharmawat: Thank you for the opportunity. S ir, my first question is what is the plan to expand the branch network during the next financial year? And what will be the guidance for the cost -to-income ratio? Last year or last quarter, rather, it went down to 44%. And for the year, it remained at around 47%. So can you provide some m ore details about this?

Ajay Srivastava: Yes, sir. So branch opening the last year, last financial year, we opened 101 branches against a targeted number of 88. And this year also, the guideline -- the guidance is that we will try to open new branches at new centers, which should be matching to t his number above any -- it can be any number above 100.

So that is the plan that will happen. And regarding the cost to income, we are at 44.35% for quarter ended March '25. Year -on-year, if you see it has come down from 56% to 47%, so reduction of 918 bp s. And going forward, since income is increasing, we are expecting to maintain it at around 44% or maybe 100 or 200 bps lower than that, around 42% by the end of this year. That is what we are looking at.

Niteen Dharmawat: And in segmental NPA and MSME seg ment is still close to 3%. So do we see any stress over there? What is your reading for the sector?

Ajay Srivastava: There is no stress as such as a product, I will say. As MSME sector, there is no stress as such. There are individual accounts and because of their own individual peculiarity, some of the accounts are under stress. It's not high value. And that is the nature of business. It keeps happening. What I am trying to say is that it's nothing unusual. We do not see any stress in MSME portfolio as suc h.

Niteen Dharmawat: Let me rephrase now. Where do you see the stress in the economy in general? Do you see anywhere stress in the economy, any specific sector where you see -- whether we are lending there or not is a different question, but in general?

Ajay Srivastava: Yes. MSME continues to play a major part in economy and the growth of the economy also. And our MSME exposure, I think, around 29% to 30% of our total exposure in MSME, and it is one of the most important parameters for the bank to grow in t hat sector. So focus is there and MSME constitutes a lot of government schemes also apart from that, what we are focusing a t is mid-level MSME, closer to three digit or double -digit, higher end of double -digit MSME numbers that we are looking at that we ar e focusing at. And in addition to that, we are focusing on those sectors where government PLI scheme is operational.

Niteen Dharmawat: I understand sir. No, I was not looking only at MSME sector per se, but in general sense an

ywhere you see in the economy, whether it is MSME, rural or micro lending or gold loan or anywhere actually in any of the sectors you see any stress...

Ajay Srivastava: We are growing in all sectors, if you see, retail, agri, MSME and we are having 3,400 branches almost across the geog raphy. So depending on the geography and depending on the activity happening in that geography, lending is happening and growth is happening. So I cannot pinpoint one particular sector or product.

Overall, wherever opportunity is there, geography -wise or one district, one product concept is there, we are growing. All our branches are doing that lending. And RAM sector growth is happening. Of course, corporate sector, there are 6 large corporate branches from where large corporate sanction happens. And that is how we are managing our credit growth.

Niteen Dharmawat: Okay. My final question is about what are the top three accounts other than MTNL where you have seen or where you see any possible NPAs of provisioning during the quarter?

Ajay Srivastava: During the quarter and during the year also, we do not see any other account under stress, corporate. Whatever slippages a re happening it is happening every quarter around INR200 crores, INR250 crores of slippage happening and it's mostly in RAM only, a small value.

Niteen Dharmawat: I got it. Thank you so much, sir and wishing you best.

Moderator: Thank you. We'll take the n ext question from the line of Aryan Rana an Individual Investor. Please go ahead.

Aryan Rana: Yes. Congratulations to the IOB for a good set of numbers and also all the best for the fundraising plans that the company has. I have a couple of questions, sir . One is regarding RBI penalty and the other one is about lending rate reduction. So first, I will just ask you about lending rate reduction. So reason for rate cut, what prompted the company to 25 bps RLR cu t despite unchanged repo rates, w hat was the rea son to drive this credit growth o r respond to the market trends, t hat's the first question?

And the second is regarding your impact on NIM and profitability, how will this cut affect margins in FY '26? And what measures are in place to mitigate the impact ? So this is on lending rate and then I will come back to you on RBI penalty that was [inaudible 26:07]?

Ajay Srivastava: So rate reduction happened because repo rate was reduced by RBI. And as a policy as per guideline, all retail and MSME products of all banks are linked to repo. So whenever repo gets reduced by the regulator, the automatic transmission happens. And our rate of interest also gets adjusted accordingly immediately. That is real -time transmission. So this 25 bps reduction happ ened because of reduction by RBI repo rate. That is one part.

Second part is that how we are going to mitigate this. So of course, the interest income will get impacted. So there are two ways to cover it and which we are doing. One thing is that the other 50% of the lending is on MCLR and base rate. So those accounts which can be covered under MCLR, we are focusing on that part so that this loss can be covered.

And second thing is that since repo rate is going down, inflation is under control, so deposit rate will also get moderated. So deposit rate will also be reduced and accordingly, the loss will be offset. Regarding penalty, I have to convey is that it is jewel loan and the classification of jewel loan was -- there was some, I will say, wrong calculat ion on the part of the bank regarding

classification of jewel loan and that was corrected. And because of that technical issue, this penalty of INR31 lakhs has come on the bank.

Aryan Rana: Okay, sir. So any steps -- corrective steps that the bank will tak e to strengthen the compliance and internal controls post RBI ?

Ajay Srivastava: Yes,

all things are in place as far as compliance is concerned. And there is a full -fledged compliance department in the bank. And there is a vertical at a regional office level also compliance officers are there and their main job is to ensure that compli ance of RBI guidelines, rules, regulations, banks internal policies, everything are meticulously followed. And there are committees at central office, which monitor this. And at central office level, we ensure that compliance function -- compliance departm ent functions independently.

They have not been given any business vertical or business targets so that they can focus on only compliance issue a nd the system is working very fine. And compliance level of the bank on all parameters is, I will say, in the top bracket.

Aryan Rana: Okay, sir. Thank you so much. And coming back to lending rate this thing. So how will the bank asset liability mismatches given the loan lending rate.

Moderator: Mr. Rana I'm sorry to interrupt you, sir. I would request you to kindly rejoin the queue for follow -
up questions, please.
Aryan Rana: Okay. Thank you.
Moderator: There are others who are waiting for their turn .
Aryan Rana: I will come back.
Moderator: Thank you so much, sir. W e'll take the next question from the line of Rajakumar Vaidyanathan
from RK Investments. Please go ahead.
Rajakumar Vaidyanathan : Yes. Congrats for the good set of numbers. Sir, just a few questions. First on the capital raise. I just wa nt to know, is it an enabling provision or you're looking at raising the real capital because
we just made a capital raise a few months back. So just wanted to know why we are looking at
further capital raise given that our CD ratio is also very good ?
Ajay Srivastava: Yes. You are absolutely right that we do not need capital as well as growth capital is concerned.
Our CRAR is at 19.74%. And this CRAR can take care of our 3 years credit growth comfortably.
So for CRAR purpose, we do not need capital that is very true. The fact is that the Government
of India shareholding is -- was 96% in the bank.
And in the month of February, we raised INR1,400 crores of capital through QIP process, and
that reduced Government of India shareholding to 94%. And going forward , to comply with the
SEBI guideline of minimum shareholding, we are raising capital from the market to bring down
Government of India shareholding further. That is the objective.

Rajakumar Vaidyanathan : Yes. Because see, that will dilute the capital measures. That is the reason that I'm asking why government is not selling its stake instead the bank is raising the capital when w e don't need the
growth capital?
Ajay Srivastava: That is not for us to decide or comment. But whatever we can do as a bank, we are doing that.
We are raising capital going to the market, raising capital. And it shows the level of comfort and
trust of the market, of the market participants on bank's growth story. And that is how INR1,400
crores of fresh capital will be mobilized .
Rajakumar Vaidyanathan : Okay, sir. Sir, the next question is, what is the recovery that you are -- the NPA recovery and the write -off recovery that you are projecting for the next 2 to 3 years and particularly for the
financial year '25 -'26?
Ajay Srivast ava: I can comment on this year, current year only. For this year, our recovery target is around
INR4,500 crores for the entire year. And out of this recovery from technically return of account,
if you ask, it will be around 40% to 45%.
Rajakumar Vaidyanat han: Okay. But what is the total pool of NPA and recovery from which you're recovering the sort of spend? I just want to know what is the total pool size?
Ajay Srivastava: GNPA is INR9,700 crores and net NPA is INR912 crores only.
Rajakumar Vaidyanathan : And what is the write -off portfolio?
Ajay Srivastava: Write -off portfolio is around

INR30,000 crores.
Rajakumar Vaidyanathan : INR30,000 crores. Okay. And sir, what is the guidance for ROA for the financial '25 -'26?
Ajay Srivastava: ROA this quarter, we cro ssed 1%. So we are standing at 1.12%. And going forward, the plan is
to improve it further.
Rajakumar Vaidyanathan : Okay. Will you maintain it or will you improve it in the coming financial year?
Ajay Srivastava: We will try to maintain it. And by the end of this financial year, we'll try to improve it by an
additional some few basis points.
Rajakumar Vaidyanathan : Okay , sir. All the very best. Thank you.
Moderator: Thank you. T he next question is from the line of Sushil Choksey from Indus Equity Advisors.
Please go ahead.
Sushil Choksey: Sir, congratulations to team IOB on an excellent result and a stable outlook. Second is
congratulations also on the QIP. Sir, this dilution, which you answered to the previous question,
if I assume that you do INR1,400 crores to INR2,000 crores of QIP, it will take at least another
four, five rounds before you get to 75%, which will destroy value of the existing shareholders.
So I would urge that the government should consider and the request should go out from the
bank that we let the OFS happens so retail participant rather than doing QIP.

Second thing, sir, what is the outlook on treasury because this year may be a bumper harvesting
year for all banks in India where treasury profits are concerned? And how would you utilize that
for growth, the profits? And second thing is, will this lead to that you will diversify to corporate
bond, which yield higher and how would you also sustain CASA at the same time with falling
interest rate regime, CASA would be a good enab ler for growth. What is our strategy to increase

the saving deposits?
Ajay Srivastava: So I will start from CASA only, sir, CASA and S B. If you see consistently, we have been able to maintain CASA percentage above 43%. As of March '25, also, it is 43.65% a nd with growth of term deposit and retail term deposit, we have increased CASA also to that extent in absolute terms also and in percentage terms also. So there is a well thought out plan and strategy for mobilizing S B deposit and CASA, which is working fi ne as on date.
And the same strategy we intend to continue in this year also. The plan which is there for CASA growth is around 10%, that is what we are looking at. And regarding what was your other question, sir? I forgot the other question.
Sushil Choks ey: Treasury profit.
Ajay Srivastava: Yes, treasury profit this year looks good, sir. It's falling interest rate scenario now going forward. So I think it will give us good numbers, sir. And the profitability and all these things, of course, will not be under stress. Whatever we are going to lose or some margin impact will be there because of repo rate reduction. The profitability will be managed with treasury income. Of course, it will be noninterest. But overall, profitability and income will be maintai ned and can be improved further also. So looks good, sir, this year.
Sushil Choksey: Sir, looking good from that perspective, I understood. But this treasury harvest, which you -- will you invest in corporate bonds or you utilize for growth in RAM ?
Ajay Sr ivastava: We'll take it also depending on the situation, depending on the market because you know that it's a very dynamic market. Everything something new happens, it changes. So depending on that particular, we will take a call. But of course, whatever w e are going to get, we are not going to keep that money idle. Of course, we'll be reinvesting relending.
Sushil Choksey: No. Sir I understand the money is not idle. But as on today, out of your treasury total portfolio, what would comprise of equity and co rporate bonds other than PSU and treas ury, government Gsec ?
Ajay Srivastava: Breakup is not readil

y available, sir. We'll share that detail with you. We'll send it separately.
Sushil Choksey: Okay. Second thing, sir, on the CD ratio, what is your outlook?
Ajay Srivastava: We'll try to maintain it around 80%, 81%, sir. See, we are having 4 overseas branches. If you look at domestic CD, it is around 76% only CD ratio. And global, it becomes 80% because global, there is no deposit concept as sir. They don't ha ve any deposit. And we'll try to maintain at this level, sir, we will grow deposit and against that lending will happen. So CD ratio, we will like to maintain it at around 80%, the same level.

Sushil Choksey: And what is the outlook on NIM where global bus iness is concerned?
Ajay Srivastava: NIM, we are looking at maintaining at around 3.50%. There will be some pressure. And I think around 3.5% we'll be able to maintain at year -end.
Sushil Choksey: But that is global NIM -- total NIM. I'm not asking on an i nternational book?
Ajay Srivastava: International, there will be an impact of around 8 to 10 bps only.
Sushil Choksey: So you're saying your NIM on international book would be 3.42%.
Ajay Srivastava: 3.42% to 3.43%, yes, around that, yes, almost.
Sushil Choksey: Can I understand what product is bringing us this kind of NIMs on international book?
Ajay Srivastava: International book -- see, international book NIM is low only. International book lending happens at SOFR, that is not much. And that is why the global NIM also gets impacted.
Sushil Choksey: No, no, getting impacted, I understand, but which product is corporate lending giving you those kind of NIMs in international book I want?
Ajay Srivastava: Corporate lending, trade finance, wherever th e opportunity to lend is there, where money is safe and income -generating capability of the unit is there, will end, including corporates, yes.
Sushil Choksey: What is the strategy on digital spend for technology upgradation, co -lending, retail products, corporate banking? And what is the total budget for this year? And what are the new enablers which you're trying to roll out?
Ajay Srivastava: Yes. So almost for last 3 years, every year, the IT budget is to the tune of INR1,200 crores, INR1,400 crores. This year, we have got the budget approved from the Board amounting to INR1,700 crores plus. And it includes everything right from the new products, the digital initiatives, the IT infrastructure, the ATMs, the entire gamut of IT -- it is getting u pgraded on a regular basis.
And the products and the services which we provide on digital front, it is at par with the best in the industry. And we are not shy of investing in IT. We are very aggressive. The best of the software and technology available i n the market, we are onboarding. And that is how budget investment also it gets on increasing year -on-year. So this year, it is INR1,700 crores plus.
Sushil Choksey: My last question to Joydeep , what are we doing in HR to make bank future ready?
Joydeep Dutta Roy : HR also, I think we have launched a lot of transformation programs. So there is a lot of activities happening on the HR front also. There's a Lakshya project, which has been started, which is

revamping the entire performance management system, u pgrading the skills, leadership development. A lot of work is going on in HR. And hopefully, that skill upgradation will reflect in the increasing business that is happening and the growth that the bank is showing and going forward in this year also.

Sushi l Choksey: What is the average age of our staff?

Joydeep Dutta Roy : That could be around 38 or 39 approx.

Sushil Choksey: 30 to 39 okay.

Joydeep Dutta Roy : That is 38 to 39.

Sushil Choksey: Okay. Good luck and best wishes for the year and years to come.

Joydeep Dutta Roy: Thank you.

Sushil Choksey: Than

k you for answering all my questions.

Moderator: Thank you. Th e next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thanks for the opportunity again. S ir, my one question is on the little update on the DTA assets. And by what time do you think that we may go in -- I mean, take advantage of all that old losses benefit is available and we will go to the new tax regime. Any calculation on that?

Ajay Srivastava: Yes, calculation we have done, sir. We will be maybe last quarter of this financial year. In this year, we will be shifting to new tax regime. That calculation on a monthly basis, we are doing. And I think that will be the ideal time when we can say it.

Asho k Ajmera: So the entire DTA benefit, which accrues on INR3,864 crores will be utilized in FY '26 and then we will be ready for the new tax regime, isn't it?

Ajay Srivastava: Exactly, yes.

Ashok Ajmera: And sir, one small data point, some information in the noninterest income, there is another column of, again, other income, that is miscellaneous income or something, which has gone up in this quarter to INR466 crores. Any major item in that o r is that interest on refund or something? What is that INR466 cror es miscellaneous income in noninterest income?

Ajay Srivastava: PSLC, private sector lending certificate, we have sold. Income generated out of...in this quarter.

Ashok Ajmera: How much of that, sir, commission earned?

Ajay Srivastava: INR287 crores in thi s quarter. For a year, it was INR431 crores. I think, around INR430 crores.

Ashok Ajmera: Okay, sir. So this INR466 crores included INR287 crores.

Ajay Srivastava: INR287 crores. Yes.

Ashok Ajmera: Sir, coming back to that one earlier question on this that we have expanded now we hav e started globally and we have four centers there to serve the people there down abroad. What are our basically the plan going forward on the overseas book because our scale is very, very small today. And do we have any -- that kind of corporate clients here in India, which may require the credit down there so that we fund part of our exposure there to the Indian customers and clients. Any study on our overseas operation, expanding the operation there, sir?

Ajay Srivastava: See, overseas business over all these four overseas centers, they are doing good business. They are growing around 12%, 13%, 14% year -on-year. We do not want to be very aggressive there. So the moderate growth, which we are growing domestically here the sam e growth percentage will also be visible there. And a few of the clients, of course, are there, not many, but selected few who have taken exposure from overseas centers also.

Ashok Ajmera: All right, sir. Thank you very much and all the best to you.

Moderator: Thank you. Th e next question is from the line of Rajakumar Vaidyanathan from RK Investments. Please go ahead.

Rajakumar Vaidyanathan : Thanks for the follow up opportunity. So, j ust two housekeeping questions. First one is the other operating costs have gone up almost INR200 crores this quarter compared to the December quarter. So is there any one -off in this?

Ajay Srivastava: That was staff provision. First 9 months of this quart er, as per the actual valuation, provision requirement, what was required, we have done more than that. So this year, it was slightly adjusted accordingly this quarter.

Rajakumar Vaidyanathan : Sir, I'm talking about the other operating expense, not the emp loyee cost.

Ajay Srivastava: What numbers you are talking?

Rajakumar Vaidyanathan : INR955 crores this quarter vis -a-vis INR753 crores in December.

Ajay Srivastava: We'll get back. In fact, readily is not available, but other o perating includes the staff ex pansion and a major part of this has come from that only, but we will come back to you.

Rajakumar Vaidyanathan : Okay.

And sir, did we get any gain because this quarter, the Gsec gains have come down significantly. So did we -- when we restated our employee liabilities and pension and other retirem ent benefits, did we get any benefit, I mean, get any one -off gain?
Ajay Srivastava: No.
Rajakumar Vaidyanathan : Okay. So can we take this as a steady -state cost -- employee cost from a line item perspective?
Ajay Srivastava: Yes. That we will send it to you separately. Right now, it is not readily available with me.
Rajakumar Vaidyanathan : Okay, sir. Not a problem, sir. Thank you so much.
Moderator: Thank you. L adies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Ajay Kumar Srivastava, MD and CEO for closing comments. Thank you, and over to you, sir.
Ajay Srivastava: Yes. Thank you. So thank you, everyone for asking additional information about IOB, the guidance and the growth plan for next year and some of the answers, some of the questions which I could not answer the numbers I could not share. My team will come back to all of you and share those numbers with all of you. And only one thing I have to te ll to all who are connected here that Bank is on a growth path, consistently bank is growing.

If you see performance of last 8 quarters, consistent growth in all parameters is happening. December quarter's net profit was INR874 crores. That was the highes t for the bank in its history. And this quarter, we have gone -- we have done better than that and INR1,051 crores of net profit has happened.
And one more thing which I would like to add here is that we added a fresh NPA of INR2,332 crores of MTNL. We ma de 100% provision. And despite addition of INR2,332 crores of fresh NPA and 100% provision also, we have been able to show good growth in all parameters. The net profit has gone to INR1,050 crores the highest. The GNPA has come down, the NNPA has come down . All ratios have improved.
And what I'm trying to convey by conveying this is that the balance sheet, the strength of the bank is to that extent that INR2,332 crores of additional provision we have made in one shot. And still all other ratios, all number s everything including net profit has improved. So that is where we stand.
And before closing, while thanking all of you, I request all of you to go through the bank's performance over the last four, five, six quarters and the numbers which we have generated for this financial year. And I will say, look at IOB with a positive intent and take into account the growth story of IOB. Thanks a lot. Thank you, everyone.
Moderator: Thank you, sir. On behalf of the Boar d of Directors and the management team, we sincerely thank you for your participation and continued support. Wishing you all a successful and prosperous year ahead. On behalf of Indian Overseas Bank and Veritas Reputation PR, that concludes this conference . We thank you for joining us and you may now disconnect your lines.
Thank you .

Call: Aug 2025

[redacted],
[redacted],
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360 | investor@iobnet.co.in

Ref No. IRC/ 123/2025-26 05.08.2025

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Update On Analyst Meet: Transcript

In continuation to our earlier intimation IRC/112/2025 -26 dated 23.07.2025 and Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended read with the guidance note of stock exchanges dated 29.07.2022 on disclosures pertaining to Investors meet, we wish to inform that the Bank has conducted an Analyst Meet on Tuesday, 29.07.2025 at 04.00 pm (IST) to discuss the financial pe rformance of the Bank for the Quarter ended 30.06.2025. We herewith attach the transcript of the Analyst Meet.

Please take the above information on record and arrange for dissemination.
Yours faithfully,

(Ram Mohan K)
Compliance officer

Indian Overseas Bank
TRANSCRIPT
Q1 FY 2026 Analyst Meet
July 29, 2025
Organized by

MANAGEMENT TEAM OF INDIAN OVERSEAS BANK :
MR. AJAY KUMAR SRIVASTAVA, MD & CEO,
MR. JOYDEEP DUTTA ROY, EXECUTIVE DIRECTOR,
MR. DHANARAJ T, EXECUTIVE DIRECTOR, INDIAN OVERSEAS BANK

MODERATOR : MS SONALI PANDEY – VERITAS REPUTATION

Opening Script – Indian Overseas Bank Analyst Meet
Sonali Pandey (Veritas Reputation)
Good evening ,

A warm welcome to everyone. Thank you for joining us today to discuss Indian Overseas Bank's financial results for the quarter ended June 30, 2025.
Before we begin, I would like to extend our sincere appreciation to each one of you for taking the time to join us in person today .
I am Sonali Pandey from Veritas Reputation, and I am truly honored to guide you through today's presentation.
Indian Overseas Bank (IOB), headquartered in Chennai, continues to strengthen its footprints across India with a robust network of over 3,34 5 branches, approximately 3,478 ATMs/CDMs, and a network of 11,064 Business Correspondents.
Internationally, IOB serves customers in Singapore, Hong Kong, Thailand, and Sri Lanka, proudly catering to a growing base of over 41 million active customers.
Our bank offers a comprehensive range of financial services, including personal, corporate, and agricultural banking, along with credit cards, loan products, and insurance products.
The financial results, investor presentation, and related disclosures are avai lable on our website and have also been filed with the stock exchanges.
Before we begin, please note that today's discussion may include forward - looking statements which are subject to risks and uncertainties that may impact actual outcomes. We encourage y ou to keep these factors in mind while evaluating the bank's performance.
Joining us today is the distinguished leadership panel from Indian Overseas Bank.

It is my privilege to welcome:
• Shri Ajay Kumar Srivastava, Managing Director and CEO, Indian Oversea s Bank
• Shri Joydeep Dutta Roy, Executive Director, Indian Overseas Bank
• Shri Dhanaraj T , Executive Director, Indian Overseas Bank
We will begin with an overview of the bank's performance for Q1 FY2025 –26, followed by a Q&A session.
Now, I would like to inv ite Shri Ajay Kumar Srivastava, Managing Director and CEO of Indian Overseas Bank, to present the financial overview. Thank you. Over to you, sir.
Financial Overview – Shri Ajay Kumar Srivastava, MD & CEO
Good afternoon, everyone, and hearty welcome to all of you.
We've traveled from Chennai to Mumbai for this analyst meet, and I will now provide a brief synopsis of our performance numbers. Following that, we are open to any further questions or discussions you may have.
Let me begin with total business. As on June 30, 2025, the total business of the bank stood at ■5,93,000 crore.
• Year -on-year (YoY) growth was 12.19%.
• Quarter -on-quarter (QoQ) growth on sequential basis was 5.56%.
Total deposits registered a YoY growth of 10.75% and a QoQ growth of 6.04%.
Total advances (credit) grew by 14.05% YoY, and by 4.96% QoQ.
Moving to profitability and key ratios:
• Net profit grew 75.57% YoY. In absolute terms, it stood at ■1,111 crore. On a QoQ basis, growth was 5.71% over March 2025 .

• Operating profit increased 40.70% YoY, though there was a negative growth QoQ of approximately 10%.
• Net Interest Income (NII) grew 12.50% YoY, rising from ■2,441 crore last year to ■2,746 crore this year.
GNPA and N NPA is consistently coming down for last three years.
• Gross NPA (GNPA) stood at 1.97% as of June 2025.
• Net NPA (NNPA) declined to 0.32%, down from 0.51% a year ago.
• Provision Coverage Ratio (PCR) remained consistently above 96% -97%. As of June 2025, it sto od at 97.47%, reflecting a YoY improvement of 51 basis points.
Credit cost remained stable at 0.29%, the same level as June 2024. Slippage ratio was 0. 10% in the June 2025 quarter, compared to 0. 13% a year ago. We have been consistently maintaining slippag e ratio within this narrow range only.
The CASA ratio continues to remain strong at 43.78%, sustaining our position above 43% for several quarters.
Net Interest Margin

(NIM) was 3.04% for June 2025, compared to 3.06% in June
2024. Sequentially, NIM decline d from 3.58% in March 2025 due to industry -wide margin pressure.
Cost -to-Income Ratio remains controlled at 44.22%.
Return on Assets (ROA) improved from 1.12% in March 2025 to 1.14% in June 2025, showing a 2 basis point increase.
CRAR stands strong at 18.2 8%.
So overall, if you look at the performance across business parameters , efficiency ratios , asset quality, and provisioning, I can confidently say that Indian Overseas Bank has been delivering consistent and balanced growth across all key areas

and param eters. I am very happy to share that we are very consistently showing the performance.
We have already shared our growth guidance for the year, and I am pleased to inform you that we are well -positioned to meet those targets. Significant activity is underw ay across the bank — especially on the digital front — as we focus on enhancing systems, processes, and product lines for better customer delivery.
I'm extremely happy to share that approximately 98% of our total transactions are now happening digitally, a nd this number continues to improve quarter -on-quarter. From 96% digital share, we've moved to 98%, and as of June 30 (and in the latest data), we are comfortably above 98%.
We are making continued investments in IT and digital infrastructure, including onboarding of key vendors and partners. We are actively working on advanced technologies such as AI, WhatsApp banking, and CBDC integration. Across all major technology and digital parameters, IOB is on par with industry standards and peers.
In terms of phys ical expansion:
• Last year, we opened approximately 110 new branches in different geographies.
• This year, we plan to open around 120 branches, especially in geographies where we currently do not have a presence and where profitability is achievable.
This process is being closely monitored at the Central Office level.
To man those branches, the additional manpower whatever is needed, the recruitment process is being carried out for the last more than two years. To support this expansion, we have been undertaking need -based recruitment — not only generalist officers but also specialists in areas such as IT, cybersecurity,

chartered accountancy, information security, Official Language and security officers, wherever required.
We continue to take a judicious and targeted approach on recruitment.
This year, we plan to recruit around 900 young officers, including a mix of fresh hires and lateral entrants.
Overall, I can confidently say the bank is on a clear growth path . The past two years' numbers speak for themselves. In addition, we are simultaneously investing in the infrastructure and capabilities required to sustain and take it forward .
Our aspiration is to take Indian Overseas Bank to a level where it is rated among the best - banks in the country.
Let me share one additional data point.
We analyzed the performance of 12 public sector banks as of March 2025, comparing our bank's performance against 11 other PSBs across 21 critical financial ratios and parameters.
I'm very happ y to share that IOB ranked in the top three positions across 16 of those 21 parameters.
While we weren't in the top rankings last year, we've made strong improvements and consistently maintained our position across critical metrics this year.
Going forward , our aspiration is to improve even further.
That was a brief overview of the bank's performance, growth strategy, and future plans. We now welcome any questions you may have, and I request both our Executive Directors to add anything further if they wish to.
Thank you.
Remarks by Executive Director (Digital Initiatives)
Thank you, sir. I would like to briefly add to what our MD has already shared regarding our technology and digital initiatives.

As mentioned,

the bank has been consistently investing in bot h capital
expenditure (capex) and operational expenditure (opex) in the technology space. We are almost at par with the industry in terms of our digital transformation roadmap. Our Bank’s endeavour is to provide a best -in-class customer experience by enabl ing anywhere, anytime banking, with a strong emphasis on self-service centered channels.
As part of this digital push, the bank has deployed nearly 4,100 tab banking devices. These tabs offer several advantages:
• Accounts can be opened within 2 –3 minutes
• Accessible anytime and anywhere — not restricted by banking hours, weekends, or holidays
• KYC compliance is automated, ensuring seamless onboarding
Currently, 40 –50% of new accounts are being opened through tab banking. Recently, we have added 25 new services to our tab banking ecosystem, including the facility to open current accounts. We are also working towards enabling account opening for proprietorship and partnership firms through tabs in the near future.
Recently , we have launched our WhatsApp Banking s ervice, making us one of the few Banks in the public sector space to offer this feature. Through WhatsApp, customers can:
• View mini statements
• Check transaction details
Soon, we will also enable fund transfers within IOB through the WhatsApp interface.
On July 5, 2025, we launched IOB Connect, our revamped mobile banking app — a comprehensive one -stop platform for all banking services. One of its standout

features is the integration of Account Aggregator (AA) and UPI functionalities. With this :
1. IOB customers can view balances and statements of accounts held with other banks
2. They can also transfer funds from other bank accounts into their IOB accounts
The bank also offers video KYC account opening, available through two centers. This ensures cus tomers can open accounts remotely at any time. Government of India & RBI are putting more emphasis on Re -KYC.
We've enabled customer onboarding through SMS, the IOB website, and most recently, through our Business Correspondent (BC) channel. We want prov ide AI & Gen AI experience to our customers.
Other noteworthy innovations include:
• The "My Account, My Name" product, allowing customers to personalize their account identity
• Online allotment of lockers, enhancing customer convenience
• Launch of “Akshara PI N”, a feature allowing any user (not limited to IOB customers) to create a secure and memorable PIN using their name. This is available through our website and enhances PIN security and ease of use
We have also introduced location intelligence via our IOB Locator tool, which allows customers to connect directly with their nearest branch, ATM, or branch manager.
We are committed to continuously evolving through digital innovation.
In terms of touchpoints :
• The bank currently has around 3,500 ATMs
• This year, we plan to:

o Replace 450 old ATMs
o Add 150 ATMs on capex model
o Add 400 ATMs on opex model
By the end of FY2025 –26, we aim to have approximately 4,000 ATMs and Cash Recycler s in place.
As mentioned by our MD, we currently have 3,345 branches and pl an to add around 150 more this year.
We also have a strong network of 11,000 Business Correspondents (BCs).
Thus, our total customer touchpoints exceed 17,600, including branches, ATMs, CDMs, and BC outlets.
We have also launched our Digital Dashboard, whi ch allows real -time tracking of customer onboarding and activity.
Our goal is to enable customers to perform banking independently through:

• Mobile and Internet banking
• Debit and credit card
We remain committed to making Indian Overseas Bank a digitally ad vanced institution, fully aligned with industry standards in terms of customer experience and innovation.
Thank you.
Q&A Session :
Moderator : Thank you so much, Sir.
Before we begin

the Q&A session, I kindly request everyone to keep their phones on silent mode. If you'd like to ask a question, please raise your hand and mention your name and the organization you represent.
Yes, Sir. Please go ahead.

Participant 1 (Mr Ramesh Bhojwani, Mehta & Vakil)
Thank you. Your presentation and candid remarks clea rly show that IOB has taken a quantum leap improvement in all the performance parameters. You have not let down even on a single parameter. Full credit goes to the dedicated effort of your entire team under your able guidance .
Just a few minor observations and questions:
1. You mentioned recovery from technically written -off accounts — ■574 crore recovered in Q1 FY26. As per your presentation, total write -offs are ■3,025 crore. Correct me if I am wrong.
2. Can we expect a similar trend in recovery (■574 crore pe r quarter) in Q2, Q3, and Q4 going forward?
3. Your guidance appears somewhat conservative given the H1 performance of the manufacturing and services sectors. Historically, H2 tends to outperform H1. Do you foresee any upward revision to the growth guidance?
4. Lastly, with inflation falling below 2%, there's speculation that the RBI may cut the repo rate by 25 –50 bps in August. How would such a cut impact the bank's Net Interest Margin (NIM) and profitability?
IOB: (Shri Ajay Kumar Srivastava – MD & CEO):
Thank you for your kind words. As you rightly mentioned, all 21,000 IOBians are working tirelessly to take the bank to greater heights. It's truly a collective effort.
Regarding the recovery from technically writte n-off accounts — yes, the figure of ■574 crore for Q1 FY26 is absolutely correct.
If you look at the past eight to nine quarters, we've seen that 50 –60% of total recoveries consistently come from technically written -off accounts. The remaining comes from s tandard and other NPAs.

Currently, we have a pool of approximately ■28,000 crore in technically written - off accounts. A substantial focus continues to be placed on recovering from this pool, and we expect this trend to remain steady quarter -on-quarter.
On your second point — the figure of ■3,025 crore in write -offs pertains to Q4 FY25, largely due to a single large account: MTNL.
IOB had the highest exposure to MTNL at ■2,300 crore. When the account slipped in Q4, we made a 100% upfront provision, which ref lects the strength of our balance sheet. This full provisioning also ensured that the GNPA percentage was not adversely affected. We subsequently wrote off the account in the same quarter.
Despite this additional ■2,300 crore provision, the bank still post ed a net profit of ■1,051 crore for Q4 — a 40% growth YoY, which shows the underlying strength of our balance sheet
On the repo rate, as you rightly noted, the decision lies with the RBI. What we can do is prepare and position ourselves effectively. To mi tigate the impact of a potential cut:
• We are reducing interest rates on our deposit side
• We are focusing more on low -cost CASA deposits, which continue to hold above 43%
• We are targeting lending to high -margin segments and ensuring pricing discipline, not chasing volume at the cost of margin
Because a large portion of our book is linked to MCLR, there will be a lag effect in any impact from repo rate cuts. By that time, the benefit from deposit repricing will also kick in. We believe that by Q3 or Q4, we wi ll be in a good position to offset the margin pressure.

Our goal is to maintain NIM above 3%, and we are confident we can do so.
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Participant 1 (Mr Ramesh Bhojwan i) : Thank you, Sir. You've captured everything beautifully . Wishing you continued success.
IOB: (Shri Ajay Kumar Srivastava – MD & CEO):
Thank you.
Participant 2 (Ashok Ajmera – Chairman, Ajcon Global):
First of all, congratulations on an excellent performance. In this quarter, we've seen many bank

s excel in one parameter while struggli ng in others. But in IOB's case, both credit and deposit growth have been strong, profitability has been maintained, and CASA has improved, which is commendable — especially since most other banks have seen CASA decline.
While NIM is under pressure, slippages are controlled and recovery from written - off accounts is strong.
Just a few observations and questions from my side:
1. On NIM, it has come down from 3.58% in the previous quarter to around 3.04% now. While a few basis points is understand able, with expected repo rate cuts (maybe two rounds of 25 bps each), do you expect to maintain NIM above 3%, or is there a possibility of it dipping below?
2. This quarter's profit includes a provision reversal of ■62 crore from a stressed loan and a revalua tion gain of ■2.37 crore. This totals around ■65 crore. Is this likely to recur in future quarters, or is it a one -off?
3. Regarding the MTNL exposure, you've already clarified that 100% provisioning has been done. Is there any possibility of recovery within this financial year, which could directly reduce provisioning?
4. You currently hold a COVID provision buffer of ■1,692 crore. Are you planning to retain it, or could this buffer be partially utilized in upcoming quarters under the revised RBI provisioning no rms?
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5. One area I've repeatedly raised is the emphasis by statutory auditors on two items:
o Deferred Tax Asset (DTA)
o Old tax dispute liabilities
Last year, this liability stood around ■8,000 –10,000 crore. It has come down to around ■6,000 crore, which is good . But this includes:
o Income tax liabilities: ~ ■4,000 crore
o Service tax: ~ ■260 crore
o GST: ~■1,600 crore
These are being shown as notes to accounts with auditor emphasis, even though there's no qualification. Other public sector banks do not seem to have such large disclosures under emphasis.
What is the current status of these tax disputes? Can we expect a large tax refund in any of the upcoming three quarters?
Participant 2 (Mr Ashok Ajmera – Ajcon Global):
If you could please provide an update on the old tax disputes and clarify whether any significant tax refund is expected in the remaining three quarters. These were my key observations and questions. I may have a few more later if time pe rmits.
Thank you, Sir.
IOB (Shri Ajay Kumar Srivastava – MD & CEO):
Thank you, Mr. Ajmera. I'll address the few remaining points not covered earlier.
1. SMA Accounts and Slippages:
On the issue of SMA (Special Mention Accounts) , while it is not specificall y mentioned in the investor presentation because these numbers tend to fluctuate, I can share that the SMA1 + SMA2 portfolio currently stands at approximately 5.51% as on June 30, 2025 , down from:
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• 7.99% as of March 2024 , and
• 5.86% as of March 2025
This shows a declining trend , which is encouraging.
However, it's important to view SMA in context with actual slippages . Despite SMA presence, actual quarterly slippages remain low, averaging ■240–250 crore per quarter , translating to a slippage ratio of just 0.10 –0.14% , a level we've consistently maintained for over two years. So, from an asset quality perspective , there is no issue as such.
2. ■62 Crore ARC -related Profit Reversal:

The ■62 crore profit related to the sale to ARC pertains to accounts that were 100% provided for . When recovery occurs, the corresponding provision is written back to the P&L .
This is not a one -off event — such recoveries happen from time to time and may continue in future quarters as well.
3. MTNL Exposure and Potential Recovery:
On MTNL, as you are aware, the bank had ■2,300 crore in exposure, for which 100% provisioning was completed in Q4 FY 25.
We understand that the Government of India is actively working on the resolution process. We remain hopeful that a resolution will materialize during the cur

rent
financial year. If recovery happens, it will have a direct positive impact by reducing pro vision load and improving profit.
4. COVID Provision Buffer – ■1,692 Crore:
The ■1,692 crore COVID -related provision is still available as a buffer.
It exceeds what’s required under the IRAC norms and Covid Mandate . This buffer provides us with significant cushioning, and we will utilize it judiciously as per evolving risk assessments and RBI policy directions.

5. Deferred Tax Assets (DTA):
As mentioned earlier, our DTA balance has been reducing steadily .
• In FY22 –23, it stood at over ■6,000 crore
• As of now, it is approximately ■3,400 crore .
We aim to further reduce it by year -end, and if financial performance supports , we may even consider fully neutralizing it.
6. Legacy Tax Disputes:
Regarding tax -related contingent liabilities — such as income ta x, service tax, and GST, totaling approximately ■6,000 crore — all these demands are contested and under various stages of appeal or litigation.
In the past, similar cases were decided in our favor, and we are confident of favorable outcomes here as well. We anticipate that there may be tax refunds in the coming quarters, although we cannot quantify the exact amount at this stage.
IOB (Senior Management):
On the auditor's emphasis of matter regarding old tax disputes — we have taken note of your observation that such emphasis is not common across peer banks. We have communicated this to our auditors.
They have informed us that they are re -evaluating this practice and will review the treatment followed by other banks. Based on that review, they may consider removing the emphasis paragraph from the upcoming quarters.
IOB (MD & CEO):
Yes, we included this disclosure intentionally, in the interest of transparency. We believe in being upfront with stakeholders.
Participant 3 (Mr Sushil Chokshi – Indsec Securities):
Congratulations on delivering stable numbers and a strong performance, particularly in CASA and RAM segments.

From your investor slide, it appears that IOB’s Retail, Agriculture, MSME (RAM) segment stands at 78.92%, which is among the highest in the industry — across both public and private sector banks.
What’s the secret behind sustaining this level? I understand retail is a key contributor, but how have agriculture and MSME segments supported this? Also, what is the yield on RAM ?
IOB (MD & CEO – Shri Ajay Kumar Srivastava):
Thank you. Yes, RAM contributes around 76% of our total credit portfolio — and that’s the result of a deliberate strategic focus .
Here’s the segment -wise year -on-year growth :
• Retail grew by 39%
• Agriculture by 26%
• MSME by 6%
Regarding MSME — the 6% growth appears modest because one large account, worth around ■3,000 crore, was repaid between March 2024 and March 2025. Excluding that, the underlying MSME growth would have been close to 16%.
As for yields , across RAM, we are achieving returns of around 9% or slightly below 9%, depending on product mix and repo rate impact — especially on retail and MSME, which are directly linked.

Mr Sushil Chokshi: So by year -end, do you expect the blended yield on RAM to remain around 9%, or will it dip below that?
IOB (MD & CEO):
Given the recent 1% repo rate reduction , and the possibility of another cut, the blended RAM yield may go below 9% . We're closely monitoring this.
Mr Sushil Chokshi : What is IOB's own forecast for repo rate movement through the year?
IOB (MD & CEO): That's the regulator's prerogative , and I will not comment on it .
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However, IOB is well-prepared for any scenario . We've aligned our operations to ensure that even if rate cuts occur, our profitability, interest i ncome and NII will remain intact.
Mr Sushil Chokshi : Understood. Regarding RAM contribution — is it concentrated in southern states or spread ge

ographically?
IOB (MD & CEO): It's well-distributed pan -India . We have over 3,300 Plus branches , and all of them are actively lending to RAM segments. Growth is visible across north, south, east, and west — not limited to any specific geography. Most branches are meeting or exceeding their RAM budgets.
Mr Sushil Chokshi : Are there plans to change t he credit mix going forward, or will the ~75:25 RAM to corporate ratio remain stable?
IOB (MD & CEO): We're not assigning rigid ratios going forward. The key driver will be pricing — whether corporate or RAM, we'll focus on segments offering healthy yield s and returns . So, the mix may vary based on market dynamics and pricing advantage.
Mr Sushil Chokshi : Coming to CASA — I noticed that your current account deposits have grown quarter -on-quarter, which is rare in the current environment. What's enabling th is?
IOB (MD & CEO): The core driver is new customer onboarding .
Over the last two years — FY2023 –24 and FY2024 –25 — we've onboarded approximately 65 lakh new CASA customers , including current account holders.
As of yesterday, these new accounts are maintaining balances of ■17,000 crore .
We're adding 3–4 new CASA customers per branch per day across our 3,336 branches .
This aggressive onboarding drive has led to consistent CASA growth, including in current accoun ts.
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Mr Sushil Chokshi : What percentage of these CASA customers have we cross -sold to so far?
IOB (MD & CEO): Currently, cross -sell penetration is about 10–12%, but this is steadily improving.
Mr Sushil Chokshi : So do you expect future RAM growth to be dri ven by these newly onboarded CASA customers?
IOB (MD & CEO): Absolutely. Our RAM growth will be supported by a combination of:
• Newly onboarded CASA customers
• Legacy customer base
• Continued acquisition going forward
This approach ensures a sustainable pip eline for RAM portfolio expansion.
Mr Sushil Chokshi : Under your agriculture lending — what portion is constituted by gold loans ?
IOB (MD & CEO): Approximately 50–55% of our agricultural lending portfolio comprises gold loans .
Moderator :
Let's give other participants a chance. Sir, we'll definitely come back to you.
Participant 4 (Ashok, Eklavya Invesco):
Sir, I have a few quick questions:
1. We received an Income Tax refund of ■1,146 crore . Does this include interest?
2. We've shown 45% YoY growth in g old loans . Is this a focus area due to its secured nature?
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3. With increasing tech upgrades, what is the planned technology spend for the current year?
4. Several PSU banks have reduced home loan rates to around 7.35 –7.40% . Have we acted similarly?

IOB (MD & CEO – Shri Ajay Kumar Srivastava):
Thank you. Addressing each of your queries:
1. The ■1,146 crore refund does not include any interest . It's the result of favorable tax appeals and discussions .
2. Regarding gold loans — yes, we've grown 45% YoY , and it's a strategic focus area for the following reasons:
o Primarily sourced from Tamil Nadu and southern India , where we have strong branch presence.
o It's zero-risk weighted , so the capital cost is negligible .
o 9% interest is there , with negligible NPAs .
o This year too, we plan to maintain growth in this portfolio at this rate .
3. On technology investments :
o For the last three years, we've consistently spent between ■1,500 – 1,700 crore annually on tech upgrades.
o For FY2026, we have a budget of o ver ■1,600 crore , covering IT infrastructure, digital platforms, and future -ready systems.
o Technology is integral to our business — and the pace of change requires daily evolution.
4. Regarding home loan rates , yes — we've aligned with peers. Our best rate cu rrently stands at 7.35% .

Executive Director:
Yes, the home loan rate is 7.35% — in line with the best in the public sector.

Participant 5 (Aditya Mundra – My Temple Capital):
Thank you, sir. I have a few queries:
1. Your corporate loan book has declined YoY , while personal loans have shown sharp growth. What is the bank's strategy in both these areas, especially given the unsecured nature of personal loans?
2. In the retail loan portfolio , the "Other" category forms about 40% — what does this include?
3. What is the current proportion of loans linked to EBLR (External Benchmark Lending Rate)?
4. Could you please share segment -wise GNPA data — for Retail, Agri, MSME, and Corporate?
IOB (MD & CEO):
Great questions — here's the clarification:
1. Personal Loans :
o We issue personal loans only to customers whose salaries are credited with us .
o Unsecured personal loans form less than 1% of the retail portfolio — this is not our core focus.
o All lending is backed by salary mandates.
2. Corporate Loan Book :
o There is negative growth because of pricing issue .
o We chose not to renew certain large -ticket accounts where the offered rates were unattractive.

o However, this is turning around — as of now, we have a ■9,000 crore corporate pipeline , already sanctioned and ready for disbursal.
3. The "Other" Retail Loans category (~40%) includes:
o Housing loans
o LAP (Loan Against Property)
o Rental discounting
o Vehicle loans ,
o Educational Loans and
o Jewel loans not classified under agriculture
4. EBLR -linked loans currently constitute 53% of our portfolio; 47 are on MCLR and other benchmarks.
Aditya Mundra : Thank you. And the segment -wise GNPA ?
IOB (MD& CEO):
Yes — we've included it in Slide 23 of the investor presentation. You can refer to it for a detailed break -up of GNPA by Retail, Agri, MSME, and Corporat e.
IOB: Yes, it's available on Slide 23.
Other analysts : Acknowledged. Thank you.
Moderator : Request everyone to kindly raise your hand if you have a question.

IOB (MD & CEO – Shri Ajay Kumar Srivastava):
To clarify the GNPA by segment:
• Agriculture: 2.09%
• MSME : 2.62%
(Additional segment -wise data is in Slide 23 of the presentation.)

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Participant 6 (Sumay Choksi – Indus Equity Advisors):
Congratulations on a strong quarter. A couple of questions:
1. There has been some scrutiny in recent m edia around agriculture NPAs across PSUs , yet IOB has maintained significantly better asset quality in this segment. What are you doing differently?
IOB (MD & CEO):
That's a great observation. Here's why our agri portfolio remains resilient:
• 50% of our ag ricultural loans are backed by Jewel Loans (JL) — which have near -zero NPAs .
• In the remaining 50%, we consciously avoid over -exposure to KCC -type loans .
• Instead, we focus on Self-Help Groups (SHGs) and Farmer Producer Organizations (FPOs) — which historica lly have very low default rates.
• This is a well-thought -out strategic choice , with proper implementation, ensuring both growth and asset quality.
Sumay Choksi : That makes sense. One more question — your presentation doesn't mention the credit rating profil e of your corporate loan book . Could you provide a breakdown?
IOB (MD & CEO):
Yes, while we haven't included it in the deck, I can share a quick overview:
• Around 70% of the corporate loan book is rated AA, A, or BBB +.
• We do go for on lending to entities b elow investment grade (BBB– or lower).
• AAA -rated accounts often demand very thin pricing, which doesn't align with our profitability metrics.
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• Unrated exposures , where present, are primarily state -guaranteed entities , such as PSU projects backed by governme nt guarantees.
Sumay Choksi: Could we get that data post -meeting?
IOB (MD & CEO): Certainly — we will share it after the session.
Participant 7 (Pallavi Ajmera – AJCON Global):
Thank you. While I'm an analyst, I also specialize in financ

ial crime compliance .
With the aggressive digitization steps taken by the bank — such as 3 -minute account openings and extensive tab banking — there are rising risks of synthetic frauds and mule a ccounts .
How is IOB mitigating these vulnerabilities while maintaining rapid onboarding?
IOB (MD & CEO): Valid concern. Here's how we're managing that:
• KYC is conducted thoroughly , even during fast -track onboarding — it's fully digital and verified.
• Despite best efforts, mule accounts do emerge occasionally — but this is being tackled holistically:
o We work closely with the RBI's i4C unit, which has launched a coordinated effort across banks.
o The entire banking ecosystem is aligned to combat financial fraud and synthetic accounts.
• We believe in continued customer onboarding , but with robust risk mitigation strategies built into our systems.
• Risk cannot be eliminated entirely in banking — it must be managed.
IOB (Executive Director):
Adding spe cifics on our tech -driven compliance measures :
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1. We've implemented real-time API integration with i4C — which instantly flags suspicious accounts or complaints.
2. We are in the process of integrating with RBI's Mule Hunter , a powerful fraud detection system.
3. Our tab banking platform has built -in Aadhaar -based authentication and real-time credential checks .
4. Automation and KYC -strengthening tools are embedded into onboarding

— we're not compromising on compliance despite speed.
We believe we're well in control of financial crime risks and are continually enhancing safeguards.
Pallavi Ajmera : Thank you — it's good to know that these cybersecurity and compliance frameworks are being strengthened alongside your digital expansion. It's crucial, especially given the i ncreasing pace of account creation.
IOB (Mr. Ajay Kumar Srivastava, MD & CEO):
Yes, please go ahead.
Participant 8: Samrat from Prosperity Wealth Advisors .
I have a simple question. We've seen a significant rise in fee -based income . What are the key drivers, and how do you plan to sustain this momentum?
IOB (MD & CEO):
Fee-based income includes various standard streams such as processing charges, commission, and service fees. However, in Q1 FY26 , a major contributor was:
• PSLC (Priority Sector Lending Certificate) sales , which earned us approximately ■200 crore.
• Additiona lly, processing charges grew from ■80 crore last year to ■110 crore this quarter.

Overall, our non-interest income stood at ■665 crore , which includes these components.
Moderator : Are there any further questions?
Participant : Yes, a follow -up on the PSLC income . Since you've already earned ■200 crore in Q1, is it fair to assume ■300–400 crore more can be generated over the remaining three quarters?
IOB (MD & CEO): Absolutely. We are actively building our book , and it's likely that our PSLC earnings will ex ceed last year's total of ■400 crore.
Participant : Understood. On the investment side, IOB holds an 18.06% stake in Universal Sompo General Insurance . Are you exploring any opportunity to increase this stake?
IOB (MD & CEO): As of now, there is no proposa l on the table to increase our stake. Nothing is under discussion at this time.
Participant : Also, I noticed a significant increase in investments in subsidiaries/JVs — from ■606 crore to ■1,205 crore this quarter. Could you clarify the reason?
IOB (MD & CEO): This pertains to our increased investment in OGB (Odisha Gramya Bank) , our Regional Rural Bank (RRB) partner, which is State Bank -sponsored . That's the source of the increase.
Participant : What about our exposure to the Malaysian banking entity , whic h is under winding -up proceedings? I believe our investment there is around ■200 crore.
IOB (MD & CEO): Yes, we've invested approximately ■200 crore . The recovery process is underwa

y and approvals from relevant authorities are progressing. We expect full r ecovery within this financial year .
Participant : That's encouraging. Coming to co-lending , IOB has disclosed partnerships with two NBFCs this quarter. Can you elaborate on:

1. Current co -lending book size?
2. Growth plans for FY26?
IOB (MD & CEO): Our current co -lending book is ■2,000 crore .
• We plan to add 8–10 more NBFCs this year.
• The target is to increase the co -lending book to ■5,000 crore .
• These arrangements strictly follow RBI's 80:20 co -lending model guidelines.
Participant : On Agri-loans, with RBI relaxing collateral norms for loans below ■2.00lakh, are you adjusting your lending practices, particularly for jewel -backed Agri loans?
IOB (MD & CEO): We have now returned to the pre-guideline status . The earlier directive disallowed collateral for sub -■2 lakh loans. Following widespread representation, RBI has allowed voluntary collateral submission .
So, the status quo is restored — except we now obtain a letter from borrowers opting for collateral.
Participant : Finally, r egarding the recent ■63 lakh RBI penalty , was it related to this very issue of collateral against Jewel loans?
IOB (MD & CEO): Yes, that's correct. During the interim regulatory window, collateral was taken for Jewel loans below ■2 lakh , resulting in the p enalty. Although the norms are now reverted, the penalty remains on record .

Participant : Thank you for the clarifications.
IOB (MD & CEO): You're welcome. We remain transparent and committed to compliance.
Participant : Thank you very much, Sir. Just to con firm — the credit growth guidance remains at around 13 –15%, correct?

IOB (MD & CEO – Mr. Ajay Kumar Srivastava):
Yes Sir, our internal guidance is around 13% credit growth for FY26. While Q1 has shown strong momentum (5.5%), It is always better to do beyond whatever is committed.
Participant : That's reassuring. The bank is doing very well — congratulations and best wishes!
IOB (MD & CEO): Thank you very much.
Participant 9 (Amit Mishra, India Security):
Sir, what is your outlook on the education loan portfolio ? This quarter it grew 8%, but we've seen job market challenges both in India and globally. What's your perspective?
IOB (MD & CEO): Education loans are a priority prod uct for us — especially under the revamped Vidya Lakshmi scheme with guarantee coverage in place.
Despite employment uncertainties, our commitment to support students pursuing higher education remains unchanged. We aim for ~9–10% growth in the education lo an segment this year.
IOB (Executive Director) :
To add, the 8% YoY growth appears slightly muted due to the sale of some portfolio to ARCs , which reduced the net book. However, our disbursements and sanctions are in double digits , consistent with the indu stry.
Amit Mishra : And how are we doing on Mudra loans ?
IOB (MD & CEO): Mudra is another strategic focus area . Despite being unsecured, the effective interest rate is around 9 –10%, and the loans are partially guaranteed by the government .
In Q1, we receive d the budget allocation and already achieved 20% YoY growth . We typically exceed the government's Mudra disbursement targets every year.

Amit Mishra : What's the NPA situation in Mudra loans ?
IOB (MD & CEO): NPAs in the Mudra segment are around 9 –10%, which is in line with industry averages. While product -wise NIM isn't segregated, Mudra loans contribute positively at an interest rate of ~9 –10%.
Amit Mishra : Understood. Hopefully, this year we'll also see dividend declaration ?
IOB (MD & CEO): Yes, that remains a priority , and we are working toward that. Hopefully, it materializes in the current fiscal or the next .
Participant 10 (Rohit, MMW):
Sir, how many credit card customers were added YoY?
IOB (MD &am;

p; CEO): That specific number isn't handy at the moment. The team has noted it — we'll share it shortly.
Moderator
If there are no further questions, I invite Mr. Joydeep Dutta Roy , Executive Director , for closing remarks.
Closing Remarks by Mr. Joydeep Dutta Roy, Executive Director , IOB:
Good evening everyone. On behalf of our MD, Mr. Dhanraj, and the entire IOB team — thank you for joining us in such good numbers.
Respected MD sir, my colleague Mr. Dhan araj, all the members of the investing and the analyst community present here. So it is a pleasure to host all of you and be a part of this analyst meet and also take some of your questions and answers and answer them. It also gives us feedback in terms of what are some of the important things that are playing on your mind. I think IOB as a bank probably we were in Chennai based and not in Mumbai so we were not so actively covered. But I think IOB as I can say is a bank to watch out for and it is a happening bank currently. And as MD sir pointed out in his opening remarks, 16 out of the 21 parameters that we are tracking, we were in the top three. And even in the other

three parameters because of probably MTNL or something because it happened last year, some ratios were a little down. But this year I think we should be again almost all paramet ers, we should be in the top three, four. So that is where we are positioned in the top quartile of all the Banks put together, the public sector at least. And even if you compare the entire banking fraternity, there are a lot of parameters where we are ev en competing with private banks. Our slippage ratio of 0.10 best in the system.

So I think there are three, two, three things that really stand out for if I can just quickly summarize, one is I think the strength and robustness of the bank. And when I tal k of strength and robustness, I think one you should all take note of is the consistency of the profitability every quarter on quarter. For the last so many quarters, if you look at our Bank's profitability growth, whether it is the net profit or operating profit, it is growing almost on an average of 25 to 30% this quarter. Of course , it was quite higher, 76% in fact on the net profit side. But 25 to 30% growth is almost assured and it is being consistently delivered across so many previous quarters. So th at is something to take note of.

NIM is largely maintained 3.06 to 3.04 this year. So that again in a environment where NIMS are declining, we are still being able to hold it quite closely. And of Course I think even with the rate cuts etc . happening, our deposit cut and the MCLR book transition that we are trying to do I think will help us protect our NIMS to a great extent.

Our cost to income ratio has come down significantly. Again that is something to take very note of our asset quality. And that agai n is another point which I think is really stands out for IOB which is the resilience of the entire portfolio which is not just reflected in the slippage numbers. The best in the system as I was talking about 0.10 the NPA ratios we are second and third in the system, GNPA second, NNPA third, PCR is 97%. Again , something that means that there is nothing to actually provide. Additionally , further and whatever is there it is already provided for and

whatever now comes by way of resolution. MD sir mentioned we have a 28,000 crores of technically written of books. Whatever happens there it is only going to add to profits. So that again is very very comforting for all of us in terms of how the growth numbers stack up.

Lastly , I think the agility on the business s ide so being a mid -sized bank the ability to grow faster is there and it is being demonstrated now whether it is CASA, whether it is the deposit growth, whether it is RAM , the total advances. I think all in all put together the numbers are there to speak.

So all in all I would say it is a happening bank, It is a Bank to watch out for and I want the analyst community, the investor community to keep us covered positively and bring IOB more in prominence now that the financial numbers and the numbers stack up and it is something that can be showcased to the world and to the investor community also.

So that is one request from our side that please cover us and cover us positively. I think that definitely would be helpful and thank you everyone for joining us and coming here in good numbers.

We would definitely like to keep interacting with you. If you have any other questions or any other things at any point in time please feel free to reach out to our Investor Cell numbers and email IDs etc . there and we will be immediately coming back with whatever queries you have so that the Bank is positioned rightly and the true progress and the true face of the Bank is actually demonstrat ed to the world and the public at large. So thank you once again for joining us. Thank you.

Moderator: Thank you. On behalf of Indian Overseas bank and Veritas reputation we conclude this analyst meet. Please do join us for the high tea.

IOB MD and CEO: Thank you, everyone. Thank you.

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Call: Oct 2025

[redacted],
[redacted],[redacted],
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360| investor@iobnet.co.in

Ref No. IRC/ 192/2025-26 22.10.2025

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Transcript of Analyst Conference Call

Pursuant to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022, we enclose the transcript of Analyst Conference Call held on 16.10.2025.

Please take the above information on record and arrange for dissemination.

Yours faithfully,

(Ram Mohan K)
Compliance officer

“Indian Overseas Bank

Investor Relations Conference Call”

October 16, 202 5

MANAGEMENT : MR. AJAY KUMAR SRIVASTAVA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDIAN OVERSEAS BANK
MR. JOYDEEP DUTTA ROY – EXECUTIVE DIRECTOR – INDIAN OVERSEAS BANK
MR. DHANARAJ T – EXECUTIVE DIRECTOR – INDIAN OVERSEAS BANK
MRS. SASIKALA PRABHU – DEPUTY GENERAL MANAGER – INDIAN OVERSEAS BANK

MODERATOR : MS. SONALI PANDEY – VERITAS REPUTATION PR PRIVA TE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Investor Relations Call for Indian Overseas Bank, hosted by Veritas Reputation PR Private Limited. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Sonali Pandey, from Veritas Reputation PR Private Limited.
Thank you, and over to you, Ms. Pandey.
Sonali Pandey : Good evening and welcome to Indian Overseas Bank conference call to discuss our financial results for quarter 2 financial year 2026, ended Sep tember 30, 2025. I am Sonali Pandey, and I will be guiding you through today's presentation. Indian Overseas Bank, IOB, headquartered in Chennai continues to strengthen its footprint across India with a robust network of 3,373 branches, approximately 3,567 ATMs and 11,467 business correspondents.
Internationally, IOB serves customers in Singapore, Hong Kong, Thailand and Sri Lanka, proudly catering to a growing base of 42 plus million active customers. Our comprehensive range of services includes personal, corporate and agriculture banking, along with credit cards, loans and insurance products.
The financial results and related disclosures are available on our website and also have been filed with the Stock Exchanges . Before we begin, please note that toda y's discussion may include forward -looking statements, which are subject to risks and uncertainties, that may impact actual outcomes. We encourage you to keep these factors in mind while evaluating the bank's performance.
To discuss the results and address analyst queries, we have our management team with us on the call, including Shri Ajay Kumar Srivastava, MD and CEO, Indian Overseas Bank; Shri Joydeep Dutta Roy, Executive Director, Indian Overseas Bank; Shri Dhanaraj T., Executive Director, Indian Overs eas Bank, Smt. Sasikala Prabhu , Deputy General Manager, Indian Overseas Bank.
We will begin with an overview of the quarter 2 results, followed by a Q&A session. Now I will hand over the floor to Smt. Sasikala B Prabhu, Deputy General Manager.
Sasikala B Prabhu : Thank you, Smt. Sonali. Good evening, all. I am pleased to present the overview of the bank's performance during quarter and the half year ended 30th September 2025. It's a proud moment for the bank today, the bank has reached a new mile stone of recording and all - in high of net profit, INR 1,226 crores.
For the quarter, it's 57.79% year -on-year increase. Regarding the performance of the bank for the half year ended 30th September 2025, Bank has achieved a business mix of INR 617,034 crores, recording year -on-year growth over 14.1%.

CASA grow n in absolute terms to INR 137,386 crores with a year -on-year growth rate of 4.17%.
CASA ratio as on September '25, is recorded at 40.52%. Total deposit growth achieved at INR 339,066 crores as on 30 th September 2025, with a year -on-year growth of -- growth rate of 9.15%.
Growth advances -- grow n year-on-year by 20.78% reaching INR 277,968 crores, against INR 230,149 crores as at 30th September 2024. Bank has shown the operating profit of INR 2,400 crores, registering a year -on-year growth of 12.78%. Net profit of the bank has increased by INR 449 crores to INR 1,226 crores as on September 2025 as compared to INR 777 crores as on September 2024, recording a year -on-year growth of 57.79%.
Provision coverage ratio improved to 97.48% as on 30 September 2025, as compared to 97.06% as on 30th September 2025 . Capital adequacy ratio recorded at 17.94% against the regulatory requirement of 11.5%. Total income for the half year ended 30th

September 2025 is recorded at
INR 18,081 crores with a year -on-year increase by 8.6%.
Total interest income for the quarter ended September 2025 is INR 7,849 crores and non -interest income of INR 1,365 crores. Net interest income increased by INR 521 crores to INR 3,059 crores as on September 2025, as compared to INR 2,538 crores for last September 2024, registering a year -on-year growth of 20.53%.
Net interest margin for the quarter ended September 2025, is 3.21% with increase of 13 bps compared to 3.08% as on Se ptember 2024. Cost -to-income ratio reduced to 45.76% with year -on-year reduction of 321 bps, showing a substantial reduction. Globally, credit deposit ratio improved year -on-year by 789 bps and registered at 81.98%.
With regard to the NPA management, gros s NPA reduced from INR 6,249 crores to INR 5,078

crores year -on-year basis, and net NPA reduced from INR 1,059 crores to INR 776 crores. Gross net NPA percentage has reduced by 89 bps year -on-year from 2.72% as on September '24 and reached 1.83% as on Sept ember 2025. Similarly, net NPA percentage has also reduced by 19 bps year -on-year from 0.47% as on September 2024 and reached 0.28% as on September 2025. Total recovery from NPA during the quarter ended 30 th September 2025 is INR 874 crores . Out of the to tal recovery , the recovery from technical write -off and set of accounts is INR 461 crores. Bank is steadily continuing the robust monitoring system in controlling slippages, slippage ratio for the quarter ended September 2025 is 0.11%.

And with respect to the valuation, there is a significant improvement in return on assets, it is recorded at 1.2% for the quarter ended 30 th September 2025 with 38 bps increase compared to the last year, 30th September 2024.

With regard to the book value per share , it has improved to 13.13% for the September 2025, while the same was recorded at 10.04% for September 2024. There is a steep increase in the return on equity is 305 bps year -on-year currently and return on equity, 19.95% whereas for the last September 20 24, it was 16.9%.

Earnings per share for 30th September 2025 is 0.64, it is improved by 56% from 0.41 for the last September 2024. And this is all about the performance of our bank, which is I wanted to present you. Thank you.

Moderator: The first questio n is from the line of Dr. Ashok Ajmera, Chairman.

Ashok Ajmera : Congratulations , sir, Ajay Kumarji, Joydeep, all the entire team of Indian Overseas Bank for the very excellent results. In fact, in the half year only you have almost near to the targets of t he whole year. Your credit growth in the first 6 months itself is 11.18%, deposit 8.7%, and overall business has gone up by around 9.8%. So excellent performance, sir, even on the profitability front, even on the asset quality front, and you are very comfo rtable on CRAR also. So my compliments to you for that.

Having said that, sir, some few observations and some data points. One is, sir, now going ahead, now you have remaining 6 months still. So do we still maintain the same targets of 14%, 15% on the cre dit and 12% 13% on the deposit or looking at this performance of 6 months, you are going to upward revise these targets? Which can be very comfortably, according to me. So this is one -- just some light on this, your views on this.

I have some specific qu estions, sir. We have this investment into the India International Bank of Malaysia, which is now voluntarily going for the winding up, I think we have an investment of about INR 200 crores, if I'm not wrong. And we have a provision of INR 6.13 crores. So what is the current status on that? Do we need to -- I mean, we'll get our entire money on this winding up process once it is complete? Or we'll have to take any hit on this?

Secondly, sir, we have in this quarter, received a substantial amount of income tax refund.

I think
INR 1,141 crores, so what is the treatment given to that refund and where it is reflected actually in the overall accounts? So this is the another information which I am looking for. And a little bit on the SMA front, our slippage in th is quarter is a little higher than the average slippages or even in the last quarter.

So going forward, can you give some color on that SMA front as well as the asset quality, especially any issue with the agriculture loan or which is the, I mean, pain po int in the credit book, if yo u can just little bit highlight? And one more is that in the GIFT City, I think we had a plan of SBU, is there any development and progress on that?

Ajay Kumar Srivastava : Okay. So thank you so much, sir. Thanks for the nice wo rds in the beginning and the issues I will try to address one by one. So first thing about targets, you are saying that whatever we say is for the full year, we are almost there in half year only. What I have to say is that the guidance has been given in t he beginning of the year, that guidance are not going to revise. But having said that, that guidance, whatever has been given that is the minimum which we want to do. Every year, it happens like that.

For Maximum, there's no limit as such . And depending o n the market dynamics and the type of proposal and the type of business we are getting, there will be no stopping or looking back on that. And this 12% is only the minimum thing, we can go up to 18%, 19%, 20% also depending on the kind of business and the market dynamic, whatever is available, we are open to that. But

yes, having said that, the 12%, whatever guidance was there, I again repeating, that was the minimum part. Maximum, there is no limit as such.

The second thing is about IIB Malaysia you are t alking about. So all the approvals almost started are in place, the final approval is supposed to be received by the local regulator. And local regulator, and if we expect it to come maybe in this quarter, it should come. The entire amount will come to us sir, around INR 200 crores. KPMG has already been appointed as liquidato r and we are not expecting any hit on that. So around INR 200 crores whatever we have invested, that will come back to us as it is.

Slippages, we have been able to control over a period of almost 2 years. If you look at our slippage ratio. Every quarter, it comes from 0.11% or 0.12%. The same way it will continue to be addressed. SMA, particularly, we have improved a lot. If you look at the numbers about 2, 3 quarters before back, it was hovering around 7% to 8%. This quarter, it has come down to less than 6%.

Most of our emphasis has been there on SMA -0, 1 and 2. And what is the strategy of the bank in arresting SMA is that, we are attacking those accounts in SMA -0 itself or maximum at SMA -1 level. We do not intend to allow any account to go to SMA -2 level. So that way we are focusing on it and most of the accounts are getting regul arized at SMA -0 or SMA -1 level . So right now, it is less than 6% of the total portfolio, and we intend to improve further on that.

Regarding GIFT City, sir, we have already requested for permission . And I do expect that maybe in coming weeks that approval we'll get . And once approval is there, then of course, the branch will open in GIFT City. I hope I have addressed all questions , except income tax refund.

Ashok Ajmera : Income tax refund, sir?

Ajay Kumar Srivastava : So this income tax refund of INR 1,141 crores has come to us. It has not gone to P&L, sir, it does not go P&L and profitability they were impacted because of that. This goes to one [GL Head , that is tax paid account. And whatever demands are coming that also goes there only. It has got n othing to do with P&L and clearly, our P&L is not impacted by that.

Ashok Ajmera : And sir, this coupled with the tax

ation, we are still under the old regime. And I think we have got about INR 3,000 crores, something on the GTA. So any calculation, sir, bal lpark, this thing that when do we exactly go for the -- under the new regime of taxation, if this trend of the profitability continues...

Ajay Kumar Srivastava : You finish up, please.

Ashok Ajmera : Yes. So we are having a very good profitability. I think t hat this trend continues, I think we should soon go to the new tax regime?

Ajay Kumar Srivastava : Most probably , we'll be doing it in Q3, sir, most probably, or in the worst scenario, Q4 . But this financial year, it is certainly going to happen.

Ashok Ajme ra: If I'm permitted one more thing. Sir, this kind of a credit growth, where are we looking at the growth other than the, of course, the retail portfolio, in which kind of segment, industry, whether

it is the renewable or engineering or some core industri es. Where are we finding the opportunity for this kind of credit growth and what is our sanction pipeline or the proposals are under process about this because this is all organic credit, which we are having.

Ajay Kumar Srivastava : As it's all organic cred it growth, sir, it is happening all across retail, agriculture, MSME, everywhere healthy growth is happening. And for corporate book, we are having a sanction pipeline of around INR 15,000 crores. We see a different levels of disbursement stage. In this quarter, most of that will get disbursed.

And I have said earlier also that out of almost 3,373 branches, only 15 branches do corporate lending , remaining all are eligible for doing business in retail, agri and MSME. So all these 3 sectors, all branches acr oss the geography. They are lending, they are getting good proposals. And accordingly, substantial growth, I will say, is happening in retail credit and agriculture and MSME. And the same trend, I see going forward also, it will happen and good and healthy credit growth that we are looking at for the 6 months.

Moderator: Our next question is from the line of Niteen S. Dharmawat from Aurum Capital.

Niteen S. Dharmawat : Sir, I have 2 questions. Sir, first one is, sir, where the growth is coming from, which se ctors? And where do you see any stress in any of the sectors that we are currently serving in domestic market?

Ajay Kumar Srivastava : So the growth is coming all across, sir. It is coming in the form of retail, that is personal loans. MSME, mid -corporates and agriculture and in this geography, general loan also happened. So it's a mixed growth, there's not a single or 1 or 2 specific parameters significant growth is happening. It is all across all products and across all geographies.

And regarding the secon d part of the stress, we do not see in our bank, I can say that we do not see any particular sector or product under stress. There are one and off individual cases where because of that individual type of problem, that particular unit or retail loan comes under the stress, but overall, as a product or as a sector, I mean any systemic stress, we are not observing so far.

Niteen S. Dharmawat : Considering about our guidance, since the growth is very strong. And you mentioned that we

continue to maintain the sa me guidance, which was there from the beginning, and that is the bare
minimum and you would like to revise it. So let me rephrase the same question what my previous
participant, Mr. Ajmera asked, what is the probability of building this guidance by another 50%?
So for example, if our guidance is 10%, we'll achieve 15% overall, during the year, something
like that. So by bidding 50%, so what are the chances do you see based on the performance in
the last 2 quarters and the current buoyancy that you see in th e market?
Ajay Kumar Srivastava : Yes, I can very safely say that against guidance of 12%, we'll be very comfortable in 17% or 18%

of growth. That we can foresee that it can happen and very comfortably, we'll be able to
achieve that. And if you see year -on-year also last September to this September, credit growth
is almost 20%.

Niteen S. Dharmawat : Yes, sir. That's why I was a little surprised that you are not revising so I asked that question.
Thank you.
Moderator: Our next question is from the line of Mr. Bimal Panchal from Bimal Panchal & Associates.
Bimal Panchal : Heartiest congratulations for all round performance, whatever the things has to improve, it has
improved, whatever things has to decline, decrease negatively, that has been decreased. Now
just 2, 3 questions from my side. What is our branch expansion plan for the next 2, 3 years? And
we often say that PSU banks prices are -- share prices are going up and lots of PSU banks have
been mandated to come out with FPO, but that has not happened. A nd what is our plan for our
banks to raise equity in the near future?
Ajay Kumar Srivastava : Okay. So I will start with branching opening, sir. Branch opening last year, we opened around
101 branches, last financial year. This year, in this financial year, we have already opened 42
new branches. And another around 240 branches are in the queue where all approvals have been
given and they are in different stages of operationalization. And I do hope that these 234
branches also in another 6 to 9 months, they will come into existence and physically they will
start to operate.
Bimal Panchal : In this continuation, what is the geographical diversification of this branch, that's coming? It will
be well diversified or any concentrations?
Ajay Kumar Sr ivastava : So it is all across the country and one particular aspect, which we have taken care of that, the
districts where our bank is not existing. Those districts are the priority, and we are opening our
branches in those districts where we are not there . That is the priority number one. And the
second thing is that wherever business opportunities are there, we are opening. So it's all across
geography, looking at the potential of the region where we can get substantial business. We are
going for opening.
And regarding FPO, of course, and QIP, if you remember, in Q4 of last year, in the month of
February, March, we raised around INR 1,400 crores of capital through QIP from the market.
And we are also -- we have got Board approval of INR 4,000 crores of rai sing capital through
QIP. And maybe going forward, depending on the market situation, we'll be doing in Q4.
Moderator: Next question is from the line of Dr. Ashok Ajmera, Chairman , from Ajcon Global.
Ashok Ajmera : I take a lot of interest in this bank. So rightfully, I deserve also some space. Sir, you are very
kind in answering all earlier observations and question. Can you give some color on our --
because the way we are expanding our business and we are growing so fast.
And now the branches also -- you said about -- almost about 240 more branches will soon come
in, what kind of digital push which we are having for our bank, like a pan -India mainframe bank,
are we fully equipped digitally and what plans?
What kind of digital journeys, which we already co mpleted or which are in pipeline and how is
it going to benefit to the customers? And what kind of budget allocations and other things done
on this entire tech, including the artificial intelligence and whatever is currently happening?

Ajay Kumar Srivastav a: Sir, we are not growing very aggressively and branch opening also. I will give you a little bit of
background, if you remember from 2014 to 2021 was bank was in PCA. And during that period,
we were not allowed to open a single branch and of course, beca use of PCA regulations. So
those 7 golden years this bank has lost as far as physical expansion is concerned

. Now since
those bad days are over and last 3 years, we have been substantially improving quarter -on-
quarter and now the numbers at this stage, I c an say that it is -- it can be rated as one of the best
in the system, whatever issues or whatever growth percentage you see.
So what I'm trying convey is that whatever we have lost in those 7 years, as a prime bank of the

country, we are trying to cover t hat and that is not reckless, that in very, very well thought out process . And based on that, it is happening. So we understand the challenges. We are mitigating those challenges and risk. And accordingly, branch opening or business growth and all these things are taken care of. So that is one part.

Second part is that about technology and capability to handle. See, sir, in IOB, 98% of the transaction are happening digitally. And it is happening for the last more than one year. The entire IT infrastructure, digital infrastructure is well settled. Three years before we went for entire digital overhaul of the bank, not only the products, the processes, the systems, everything. And all these things are completely stabilized.

So in opening these branches, it wi ll only be an extension of whatever we are providing to the existing branches. We are fully equipped to handle and the type of products and services which you expect from any of the premier bank, I will request you to experience some of the products and so me of the services of IOB and I think you'll get an idea.

So all -- whatever you can imagine that can happen on the digital front or IT front. Everything we are equipped with. Our customers are one of the most satisfied lot. And the budget and all, I will say that INR 1,600 crores every year, it is more than INR 1,000 crores for IT infrastructure. This year also, we have decided about INR 1,700 crores, Board approval has already been given 2 months before.

So the entire focus and overall improvement of the bank is already there. Mobile banking was there . That we have already -- we have refurbished it completely and the new look of mobile banking is there, that app is available. The entire tech face we call, the entire software and hardware, that is getting c hanged at the end of the process. So lots of activity on IT and digital is also happening. And we are -- I will say that on that front, we are no less than anyone.

Ashok Ajmera : That is good to know, sir. Sir, any major initiative to increase our non -interest income or third - party services income or anything like recently it is last -- I think yesterday, day before yesterday only we had Bank of Maharashtra having tied up with the SBI cards or the card business so that they can put it across their customers the benefit of having such a large card company. So similarly, on the insurance front, on the credit card front or any other major initiatives, which our bank is taking to increase our noninterest income through the third -party transaction, inclu ding all the revenues?

Ajay Kumar Srivastava : Yes, exactly. In fact, everything -- the para banking products, what we call that is already in place, and we are getting substantial amount of permission and all on that. Regarding credit card,

we have entered into arrangements with two Fintechs and the terms of those credit card lending through those Fintech, that is highly lucrative. And through that, the source of income will be increased.

Another way of increasing income in our focus on government business. The government transactions, which we are very aggressively doing and lots of, I will say, opportunities of government business to do through IOB. That is on the card maybe next quarter, I will be giving you more detail.

And through those government transactions also lots of noninterest income, we are expecting going forward. So there is a plan for that also. And in addition to this, the PSLC

sale the recovery
from technically written off account, all those things are there. And accordingly , noninterest income also, we are taking good care of that. And going forward, maybe next quarter, we'll be able to show you a better number.

Moderator: Our next qu estion is from the line of Aryan Rana from Ariana Holdings .

Aryan Rana : Congratulations on the good set of numbers, sir. We have a question on CRAR remains strong at 17.94% but slightly down Q -on-Q. So is there any capital raising plans that you may have for growth or processing buffers? How does the bank plan to -- bank plan to balance credit g rowth with capital efficiency, especially as RAM lending continues to expand? So I have these two questions. If yo u could throw light on that, sir?

Ajay Kumar Srivastava : The CRAR of 17.94%, sir. From quarter -on-quarter, you can see some reduction. But the point is that, sir, it is only technically, it has come down. The net profit of June quarter and September quarter has not been factored into CRAR, These INR 1,100 crores net profit of June at INR 1,200 crores net profit of September.

This INR 2,300 cror es is getting added to capital, then the 17.9% becomes 19.20%. So there's no reduction. That is one part I'm trying to say. And this profit will be taken into capital at the end of the financial year. At that point of time, March '26, it will be visible. R ight now, technically, it is 19.20%.

The second thing is that against mandatory requirement of 11.50%, we are having -- CRAR is 17.94%. So to ensure growth, the rate of growth at which we are growing in credit. This cushion of INR 600 crores is more than e nough to take care of my next 2 years of growth, that -- this

17.94%.
So immediately, we do not need any capital raising as such to ensure to fund the growth. But in order to align the guideline that 75% holding has to be by the public, so for that purpos e, of course, last year in Q4 of financial year, we went to market and there is INR 1,400 crores for QIP. And through that, government of India shareholding came down from 96% to 94%.
This year also, our plan is to raise INR 4,000 crores. We have already g ot the approval from the Board, and we are in the process of getting all sorts of approvals required for this. And once approvals are in place, then certainly, we will go to the market, to raise capital.

Aryan Rana : Okay. And sir, on the digital transaction front, there are several initiatives that the bank has taken like WhatsApp banking and CRM 360. So my question is what has been first adoption and impact from cross selling?
Ajay Kumar Srivastava : Can you speak a b it louder, your voice is not audible.
Aryan Rana : Can you hear me now?
Ajay Kumar Srivastava : Yes, clearly sir.
Aryan Rana: My question, your digital transformation. You have several initiatives a t WhatsApp banking and CRM 360. So question is what has been the first adoption and impact on cross -selling or several efficiency? That is one question . Second would be how much of new business or account digital loans that are have originated from digital channels or any collaborations you are having with any Fintech and all that, if you could throw some light on that, sir?
Ajay Kumar Srivastava : Yes, sir, collaboration and understandi ng with lots of F intech 's is already there that is happening.
This digital journey is -- it's an ongoing process. It keeps on happen ing. So whatever digital services or products we are having, every 6 months, 3 months gets upgraded and some additional features are getting added. So it's an ongoing process.
And whatever business is happening, as I said in response to one of the queries , that 98% of the transactions are happening in digital mode only, not on physical mode. Whatever business is happening, major of that is happening through digital mode only. So it will be difficult to

give
you any particular percentage or number. But you can take it that it's an ongoing process and majority of the business is happening on digital mode only.
Aryan Rana : Okay. Can I ask one more question around ESG and ESG that you have launched a few green finance products also IOB Surya loan, IOB Tejas, so what is the contribution of ESG -linked lending to the total loan book as of now? I mean...
Ajay Kumar Srivastava : The share of the ESG products in total loan book is not substantial. We have started recently only 5, 6 months ago. And it is taking off. It is catching the attention of the general public also.
So share is not very substantial. But going forward, maybe in a couple of quarters, we'll be able to give you the good numbers.
Moderator: Our next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje : Sir, first question is on ECL. Based on the draft guidelines, which RBI has issued, what is your assessment right now about the provisions you will be required to make further transition?
Ajay Kumar Srivastava : So sir, it is too early to comment on that. We are still going through the provisions of this draft guideline. And whatever we could do as first hand, broadly, we expect that around INR 2,700 crores to INR 2,800 crores of additional provision requirement may be there at that point of time and which is to be provided in installments.
Having said that, these numbers are absolutely, absolutely not certain. It's only the first hand information, it can be -- it's very broad - based, and it can be very off the mark. But around t his

level of requirement is there. From next quarter onwards, we are going to create some buffer in the balance sheet, still we are having around 18 months.
And by the time it gets implemented, I think we'll be in a position to provide sufficient buffer i n the balance sheet to take care of the requirements if at all it happens. And having said that, maybe next quarter, we'll be able to give you the more accurate number that what will be the requirement and how we are going to handle. So it's still too earl y to comment.
Ashlesh Sonje : Sir, when you have calculated this number INR 2,700 crores, INR 2,800 crores, you would have assumed that you can reverse some of the NPA provisions and apply it against Stage 1 and Stage 2 loans, I assume. Just correct me if I'm wrong there ?
Ajay Kumar Srivastava : That's too early -- it's too early. We have not gone -- it's a ballpark figure, broadly.
Ashlesh Sonje : Okay. But you would have taken into account all the provisions which you are carrying, right?
Standard asset pro visions, contingency provisions?
Ajay Kumar Srivastava : Exactly, PCR is 98% almost. So many, many factors are supposed to be taken into account to

come to the exact number. Maybe you give us another 1 month or so. We will be able to give you some realistic number.

Ashlesh Sonje : Okay. Sir, and just lastly on the same point, a simple data keeping question. Can you share the total -- the different types of outstanding provisions that you have right now? I know you have NPA provisions of about INR 4,300 crores . What are the other provisions you are carrying?

Ajay Kumar Srivastava : Standard provision will be there around INR 4,000 crores, some restructured portfolio is there against that also some provision will be there.

Ashlesh Sonje : Okay. And sir, just one l ast clarification. The -- whatever shortfall comes out, whatever number it might eventually be, you will be taking that expense in the P&L o r would it be going directly to the reserves ?

Ajay Kumar Srivastava : P&L will not -- the idea is not to impact P&L. We'll be creating additional buffer out of the business, whatever we are going to do in the next quarters. We'll be creating buffer make the balance sheet stronger so that if at all, some impact is there, w

e will be able to handle out of that.

So that P&L is not impacted.

Moderator: Next question is fro m the line of Parth Manish Gutka from B&K Securities.

Parth Gutka : Sir, just on your -- what is the basis -- or what are the ticket sizes in your micro, small and medium loan segment? And how is the underwriting done in these segments?

Ajay Kumar Srivastava : See, underwriting is done the low value where the structured type of products are there. It happens through system, end -to-end. And the bigger type of loans where the application of mind and subje ctivity is needed. That, of course, partially it is digital. And then at some point of time, it's manually also it is applied and then the lending happens. So micro, small and medium, whatever classification has been there as per act. Accordingly, it happe ns. So I can give you a

broad number that out of total MSME of around INR 49,000 crores, micro is around INR 30,000 crores. Remaining is medium and small.

Parth Gutka : Okay. And this entire portfolio would be secured or there will be some unsecured portion s also...

Ajay Kumar Srivastava : Majority will be secured only. Almost entire will be secured only.

Parth Gutka : Okay. And within this MSME, are you like post the imposition of U.S. tariffs, have you interacted with the borrowers? And are there any impact on the cash flows yet? Any early signs there?

Ajay Kumar Srivastava : On account of tariffs, you are asking?

Parth Gutka : Yes.

Ajay Kumar Srivastava : On account of tariffs, see stress is not visible so far. We have been interacting with our borrowers. And everyone -- in fact, everyone has been able to find a way out to handle this tariff impact, and they are all pretty sure that it will be -- this issue will be over in a couple of months. But till that time, everyone has positioned themselves very well. And we do not see any stress so far in any of the accounts, including cash flow and transactions in the accounts are at a normal level only.

Moderator: The next question is from the line of Moksh Ranka from Aurum Capital.

Moksh Ranka : Sir, there was a recent preliminary government meeting regarding merger of small PSB banks with larger private sector banks. So is there any talk going on regarding this? Could you please comment on that?

Ajay Kumar Srivastava : Sir, like you, we are also reading in newspapers. We do not have any communication from any of the authorities so far. And this type of things, I will say that it is not new. Every 6 months, it happens and it keeps coming up in the newspapers. But officially, we do not have any communication.

Moksh Ranka: Okay. Thanks for the clarification. That’s it from my side.

Moderator: Thank you. A s there are no further questions from the participants, I now hand the conference over to the management for the closing comments. Thank you and over to you, sir.

Ajay Kumar Srivastava : Yes. Thank you so much. I will request both my ED s, Mr. Joydeep and Mr. Dhanaraj to give the closing remarks, please. Thank you.

Joydeep Dutta Roy : So thank you. This is Joydeep Dutta Roy, Executive Director. So first of all, I would ju st state that the performance of the bank has been consistent in terms of the quarter -on-quarter profits that the bank has been delivering the percentage growth. If you look at the past many quarters now, almost 8, 10 quarters, you will find a consistency in the growth in profitability, quarter -on-quarter.

So that's been a hallmark. We have crossed the ROA of not only 1, now it's 1.20. Our NIM, we have been able to maintain and, in fact, grow in spite of the rate cut that shows how we have

been able to manage our advances and the yield on advances, which has also seen a slight increase.
So all these point out to the robustness of the processes and the s

ystems in the bank, which work
for profitability, while we are moving the balance sheet and the growth in a very, very strong manner. So the growth is happenin g, plus at the same time at the back of the growth, the profitability engine is also running very, very robustly. So that's one point that I would highlight.
Secondly, on the asset quality, again, the NPA ratios, GNPA and NPA consistently coming down. It's almost one of the lowest now in the system amongst all the public sector banks. But more than the GNPA and NPA ratios, the factor that needs to be taken -- taken note of is the fact that we are having a very, very tight control on the slippages of the ban k.
There is hardly any slippages happening quarter -on-quarter almost 0.10 to 0.1112 is our quarterly slippage, which is again, one of the highest in the -- among all the public sector banks or, in fact, among even the private banks also put together. So this sort of slippage control is a very, very tight leash that we are keeping, which again, points out to the robustness of the control systems that have been put in place in the bank and portends well for the future also.
Because while all the legacy book is cleaned up, provision coverage ratio is very high. We don't have any worry on the -- on any NPAs or lumpy NPAs, et cetera. But at the same time, future also things are not allowed to slip and the slippage control is very, very tight. So this again is something that I would like to highlight. So from my side, thank you.
Moderator: Thank you, sir. On behalf of Indian Overseas Bank and Veritas Reputation PR Private Li mited, that concludes this con -call.
Ajay Kumar Srivastava : Danish, I think our other Execu tive Director, Mr. Dhanaraj would also like to add something.
Moderator: Okay. Thank you, sir.
Dhanaraj T. In addition to our MD and CEO sir and Mr. Joydeep ji, I wish to add one or two points. So one is that consistently, bank is growing. And again, if yo u see the last three quarters, the bank has clocked more than INR 1,000 crores profit, INR 1,052 crores, INR 1,111 crores. And now we have INR 1,226 crores we have done. And again, the main strategy is for CASA growth and all business growth, we are giving utmost priority.
As far as the new customer acquiring is concerned, almost last 2.5 years, we have added almost 86 lakh new customers, particularly in the current year, in the last 6 months, we have added almost 21 lakh customers. So this is an ongo ing basis we are expanding. And again, already our MD and the CEO sir have said that the branch expansion also, the bank is continuously concentrating.
And again, we are going to add almost INR 250 crores -- sorry, 250 new branches as far as the current f inancial year is concerned. And again, some questions have come as far as the digital transformation and again, AI technology is also concerned. And again, our bank -- as far as the bank is concerned, 98 percentage of the transaction is happening through t he digital mode only.

And again, we are giving the budget allocation in terms of both hardware and software upgradation. And again, all journeys through the digital, all our -- almost all 98% to 99% of our products, particularly in retail, agri and MSME, everything is on -boarded through the branch channel and the STP journey as far as the bank is concerned.
And continuously, we are going to concentrate on the digital transformation as far as the bank is concerned as per the industry standards. So we expec t all your continuous support for the bank's growth in the future also. Thank you.
Sonali Pandey : Indian Overseas Bank is going through a significant phase of growth and we are hopeful of a fantastic year ahead. On behalf of the Board of Directors and mana gement, we thank you all for your participation in this call. We wish you a very great week and a very Happy Diwali.
Mo

derator: Thank you. On behalf of Indian Overseas Bank and Veritas Reputation PR Private Limited, that concludes this conference. Thank yo u for joining us and you may now disconnect your lines.

Call: Jan 2026

[redacted],
[redacted],[redacted],
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360| investor@iobnet.co.in

Ref No. IRC/ 263/2025-26 19.01.2026

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Dear Sir/ Madam,

Transcript of Analyst Conference Call

Pursuant to Regulation 30 of SEBI (LODR) Regulations and NSE guidance note dated 29.07.2022, we enclose the transcript of Analyst Conference Call held on 1 4.01.2026.

Please take the above information on record and arrange for dissemination.

Yours faithfu lly,

(Ram Mohan K)
Compliance officer

“Indian Overseas Bank Q3 FY2026 Earnings Conference Call”

January 14, 2026

MANAGEMENT : SHRI AJAY KUMAR SRIVASTAVA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER - INDIAN OVERSEAS BANK
SHRI JOYDEEP DUTTA ROY – EXECUTIVE DIRECTOR - INDIAN
OVERSEAS BANK
SHRI DHANARAJ T – EXECUTIVE DIRECTOR - INDIAN
OVERSEAS BANK
SHRI MADHAW CHANDRA JHA – CHIEF FINANCIAL OFFICER ,
INDIAN OVERSEAS BANK
MODERATOR : MS. SONALI PANDEY – VERITAS REPUTATION PR

Indian Overseas Bank
January 14 , 202 6

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Earnings Conference Call of Indian Overseas Bank arranged by Veritas Reputation PR .
At this moment, all participant lines are in listen -only mode and later we will conduct a question -

and-answer session. At that time, if you have a question, please press "*" and "1" on your touchtone keypad. Please note that this conference is being recorded.
I now hand the conference over to M s. Sonali Pandey from Veritas Reputation PR. Thank you and over to you.
Sonali Pandey : Good evening and welcome to Indian Overseas Bank Conference Call to discuss the Financial Results for Q3 FY25 -26 ended December 31, 2025.
Indian Overseas Bank, (IOB), headquartered in Chennai, continues to strengthen its presence wit h over 3,438 branches with around 3,622 ATMs and 9,041 business correspondents across India.
IOB also provides services in four countries, Singapore, Hong Kong, Thailand and Sri Lanka with a trust of 41 million active customers in Bank's fold.
Our comprehensive suite of services spans personal, corporate and Agricultural banking along with credit cards, loans and insurance products.
Our financial results are available on our website and stock exchange platform.
Before we proceed, please note that today's discussion may include forward -looking statements subject to risk and uncertainties that could impact future outcomes. We encourage you to consider these factors when evaluating our performance.
Joining us today are Shri Ajay Kumar Srivastava – Managing Director and CEO, Shri Joydeep Dutta Roy – Executive Director, Shri Dhanraj T – Executive Director.
We will begin with an "Overview of our Q3 performance " followed by a "Q&A Session ."
Now, I invite "Mr. Madha w Jha – Chief Financial Offic er, Indian Overseas Bank to Present the Financial Highlights. " Over to you, sir.
Madhaw Chandra Jha : Thank you, Ms. Sonali. Good evening to all. I am pleased to present the overview of the Bank 's performance during the quarter and nine months ending on 31st December 2025.
It is a proud moment for the Bank today that the Bank has reached a new milestone by reaching all - time high quarterly net profit of Rs.1 ,365 crore s for this quarter with a 56.18% year -on-year increase.

Regarding the performance of the Bank for the nine -month end ed 31st December 2025, the Bank has achieved a business of Rs.6,44,276 crore s, recording year -on-year growth of 18.71%.
CASA also has increased to Rs.1,42,676 crore s and it is recorded at 40.85% for this 31st December 2025. We are able to manage more than 40% for this quarter. Total deposit growth achieved at Rs.3,49,302 crore s with a growth rate of 14.48%.
Gross advance year -on-year basis has increased to 24.13%, reaching Rs.2,94,974 crore s against Rs.2,37,632 crore s last year 31st December.
Bank has shown the operating profit of Rs.2,603 crore s and it is over and above growth of Rs.14.87 crore s based on last year performance.
Net profit of the Bank has increased by Rs.491 crore s and reached Rs.1,365 crore s as on December 2025 as compared to Rs.874 crore s during December 2024, recording a year -on-year growth of 56.18%.
Provision Coverage Ratio (PCR) increased to 97.49% from 97.07% last year.
Capital adequacy ratio stood at 16.30% against the earlier 17.00%. Now, as per the minimum regulatory requirement, it was 11.50%. We had achieved that.
NIM again we recorded a figure of 3.32 %. Continuously , it is growing. Last time it was 3.21%.
The C D ratio of the Bank has increased to 84.45%.
With regard to NPA management, gross NPA reduced from Rs.6,071 crore s to Rs.4,530 crore s year-on-year basis and n et NPA reduced to Rs.708 crore s from Rs.976 crore s last year. GNPA ratio has come down to 1.54% from 2.55% last year. Similarly, Net NPA ratio has been reduced by 1

8 bps to
0.42% on December 2024 to 0.24% in December 2025. Slippage ratio is contained at 0.11% during this quarter.
With respect to valuation, there is a significant improvement on the return of assets , that has increased to 1.28% for quarter -ended 31st December 2025.
With regard to book value of shares, it has improved to Rs.13.90 as on December 2025 , while same was Rs.10.6 6 only during December 2024. There is a significant increase in return on equity with 312 bps year -on-year. Currently, ROE is 20.98% , whereas last time it was 17.86%.

Earnings Per Share (EPS) on 31st December 2025 is Rs.0.71 which has improved by 54% from Rs.0.46 for the last December 2024 quarter. This is all about the performance of our Bank which I want to present to you and ready for the questions .
Moderator: Ladies and gentlemen, we will now proceed with the question -and-answer session. We take the fir st question from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Thank you for this opportunity of asking the first question. In fact, my question has a combination of questions and observations and some clarifications. Complimen t to you, Mr. Shrivastava, J oydeep ji,

Dhanraj ji and the entire management team of the Indian Overseas Bank for yet another good quarter of the results . What is actually heartening to note is that the Bank business has grown tremendously, especially the c redit; in the three quarters itself, it has gone up by about 18% growth and I am sure the way the last quarter has done , 6.12%, you will end the year by 24 -25% of the credit growth which will be one of the highest or rather the highest in the entire PSB sp ace or the banking space. So, my compliments to you for the same , sir. Having said this, I have got some clarifications that now with this kind of credit growth, our CD ratio has already come to the top band like 84.45% and our CRR has proportionately come down to 16.30%. So, with this growth and this kind of CD ratio already achieved, how do you see that growth momentum to continue , I mean, what are the plans for that to maintain the CRR also on the higher credit numbers? So, this is my first question . And if you want, I can speak about others also, but if you can answer this and then I can take the further questions.

Ajay Kumar Srivastava: Yes. So, good afternoon, Ajmer a sir. Thank you so much. I will be replying to all these three observations first. So , credit growth of course, we have grown year -on-year it is 20% December -over-December if you see and over March, of course, your prediction is right. So, maybe here we will be ending the year with a growth of around 24 -25%. That is what we are also expect ing and this credit growth is coming from all sectors , retail, Agri, MSME and a little bit of corporate also. So, the next point is CD ratio you are talking . CD ratio 84% whatever you are watching , that includes the overseas centers . If you exclude that ov erseas centers , then CD ratio is around 81% domestic , because overseas centers there is no concept of deposit. So, it is 81.18 % or something CD ratio which is very much within the region manageable thing . And the second part which you have not pointed out is that retail term deposit , we have grown by 16%. SB , we have grown by more than 11%. So, deposit growth is also happening to that extent . And third part is that there is a concept of LCR which RBI monitors on a daily basis which for all banks is mandatorily pegged at 100% it should be there. We are consistently maintaining it around 120% -plus. On 31st December , it was around 127%. Yesterday , it was 122%. So, there is no issue on the aspect of liquidity. So, CD ratio is 81 %. LCR is more than 121 %, 122%. So, that aspect is very well taken care of and going forward also it will be maintained like this. The third part of CRAR , 16.30 %. One aspect

is that it is still very healthy against mandatory requirement of 11.50 %. And having said that this three qu arters net profit of Rs.3,700 crores is not factored into capital so far. It gets factored at the end of the year. So, if this Rs.3,700 crores we factor then this CRAR as on 31st December it is around 18.40 %. So, there is no cause of

concern on the aspect of CRAR also. So, all bases are fully covered, strategy is in place and we are successfully implementing it.

Ashok Ajmera: Yes, sir. Point well taken sir and you have properly explained the whole thing. Now coming to our profitability, yes , because of the good credit growth and the good business growth we have grown our operating profit also this quarter , also our operating profit is Rs.2,603 crores as compared to the last quarter of Rs.2,400 crores , but for only Rs.2 crores tax provision because the other provision this quarter has become very high. If you look at the overall provision , it has gone up to Rs.1,236 crores as compared to Rs.672 crores. But for this major reduction in the tax provision, which has come down to Rs.2 crores from Rs.501 crore s, our net profit would not have gone down than the last quarter. So, what do you have to say sir on this , number one, the higher provision where the other provision component is Rs.928 crores as compared to Rs.552 crores in the last quarter. So, what is this extra other provision ? And secondly why the tax provision is only Rs.2 crores?

Ajay Kumar Srivastava: So, sir, two, three things are there in this. First thing , this provision whatever number you are talking , that is inclusive of around Rs.800 crores o f additional standard provision which was not needed , but we have created it as a buffer. In addition to this Rs.800 crores sir, we have also done forward -looking Rs.1,500 crores in the name of ECL provision, that is away from whatever numbers we have given. So, Rs.1,500 crores is one part that is ECL, Rs.800 crores we have given additional standard provision just as a cushion , and third part is so far, we were under DTA sir ; DTA was around Rs.2,900 crores and Bank is having accumulated losses. So, this tax was not applicable to that extent and in this December quarter this DTA has been made nil … Rs. 2,900 crores DTA was there , that has been made nil, and as a consequence of that sir we have new tax regime. In previous conferences if you remember, you hav e been asking this question when are you planning to move to new tax regime ? So, December we have moved sir.

Ashok Ajmera: Okay, that is a great thing. It will give the benefit to the Bank in the coming years also accordingly the reduction as per the new tax regime. Sir, one small observation is that the salary amount has gone up by about Rs.175 crores this quarter as compared to last quarter . So, whether this new labor code which has come in and the gratuity liability , have you factored that into this and because of that it has gone up or still the load is yet to be passed on?

Ajay Kumar Srivastava: No, that is yet to be figured out , sir, and we will start working on that. So, this Rs.175 c rores does not reflect that. This reflects Rs.160 crores of additional surplus provision we have made towards pension and gratuity liabilities which was not supposed to be made but since we are having cushion available so we have made Rs.160 crores additio nal provision on HR regarding this. So, that is how

Rs.175 crores you are looking , but actually it is Rs.15 crores increase only.
Ashok Ajmera: Sir, in this quarter we have observed that asset quality has further improved rather the gro ss NPA has gone down drastically from 1.83 % to 1.54 % and that is because of the little higher write -off of Rs.601

crores as against Rs.108 crores in the last quarter. So, whether this write -off is over or it will continu

e
in the next quarter also so as to bring down the gro ss NPA further substantially to 1.25 % or so and making it a very sound healthy balance sheet from the point of view of the credit ?
Ajay Kumar Srivastava: So, sir, technical write -off is only Rs.500 crores and it is done based on the requirements . And if you look at the recovery, so recovery we have around Rs.890 crores and recovery has been consistently we are doing more than slippages for the last many, many quarters. You talked about GNPA. GNPA has reduced. Its total of recovery plus technical wri te-off plus whatever OTS we have sanctioned, part of write -off has come from that plus ARC, all those things have happened . And right now we are at 1.54 % and we expect that another 5 to 7 bps it can reduce in this Q4.
Ashok Ajmera: What is our total return of book outstanding amount?
Ajay Kumar Srivastava: Around Rs.23,000 crores, sir.
Ashok Ajmera: Okay, sir. Thank you very much for this round of questioning and a very elaborate explanation. If time permits, I will come back again, sir.
Ajay Kumar Srivasta va: Yes, most welcome. Thank you and all the best to you.
Moderator: Thank you. We take the next question from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.
Pinaki Banerjee : Good evening, sir, and thanks for the opportunity and congrats for the great set of numbers. Sir, actually coming to the page #16 of your presentation regarding this corporate advances of about Rs.51,000 crores o dd, can you please give us a breakup to which sector or industry this corporate advances have been given?
Ajay Kumar Srivastava: It is a mixture of PSU, private players and plus NBFCs.
Pinaki Banerjee: Okay, sir. And actually, compared to the other segments like retail, Agri and MSME, which have shown double -digit growth, why is it th e corporate loan growth is languishing in single figure?
Ajay Kumar Srivastava: No, it's not languishing. I will say that it is a well-thought -out call part of the strategy. You have to understand the dynamics. We are having 3,400 branches. All these 3,400 branches can do retail, Agriculture and MSME. Corporate is done by only 20 branches across geography . So, since number of branches doing retail, Agri, MSME is more, so naturally Retail , Agri, MSME happens more. And there we get good rate of interest also, risk is spread out and capital requirement is lower. So, that becomes priority, of course, RAM and all my branches can do. At corporate, we are very selective about the onboarding customers. First thing is, of course, good corporates with good rating and second part is that you should be able to get proper pricing. We are not in the business of lending at

6% or 6.5%. So, wherever we are getting good value, we are lending there only and that is how we are managing corporate. All along RAM sector has been around 75 % to 76% of our total portfolio and corporate continues to be around 23 %, 24%, 25% and we intend to maintain like that.
Pinaki Banerjee: Okay. And last, just a hyp othetical question, sir . Your last dividend declared was quite a few years back because understanding that you were under prompt corrective action. So, now that you have come out of this, can we expect dividends in the coming time?
Ajay Kumar Srivastava: Yes, so we came out to PCA in September 2021, long back ; PCA is very, very old , and next financial year, we will be in a position to give dividend, of course.
Pinaki Banerjee: That is all from my end, thank you and all the best for the future.
Moderator: Thank you. We take the next question from the line of Samra at Jadhav from Prosperity Wealth Advisor. Please go ahead.
Samraat Jadhav: Hi, good evening and congratulations on a good set of numbers. I have two questions. One is like our overseas gro ss NPA remains around 8.5% on our side, elevated basically. So, any idea

or a roadmap
or a timeline for this book, how we are managing it or covering up?
Ajay Kumar Srivastava: Okay. So, 8.5% overseas, see , overseas, we are supposed to be guided by local reg ulations. The re we
do not have that SARFAESI or DRT or those things are not available to be implemented there. The only thing which happens is through the courts. And in all these cases, cases have been filed and they are under process. Whatever, the secur ities were available that have already been sold with the permission of the court, and we have appropriated the money. So, it will come down, but you know the court’s decision, how much time it takes. So, we can have a definite timeline, but of course, all cases are under recovery process.
Samraat Jadhav: Okay. And what percentage of our new retail loans are now digitally sourced?

Ajay Kumar Srivastava: Around 13 % to 14%.
Samraat Jadhav: Okay. That is all from my side. Thank you and best of luck.
Moderator: We take the next question from the line of Nit een S. Dharmawat from Aur um Capital. Please go ahead.
Niteen S. Dharmawat: Thank you for the opportunity. So, our CASA percentage was coming down on a year -on-year basis, though there is some margin al improvement on a Q oQ basis , so is there any challenge that we are facing over there and how does the Bank plan to balance aggressive credit growth with deposit mobilization?

Ajay Kumar Srivastava: So, two things you have to understand here. CASA consists of two parts -- CA and SA. And if you look at SA, year -on-year, we have grown by 11.4%. In absolute terms, it is Rs.11,910 crores. So, SA growth has been in double digits. Growth is happening. Current account, because of its nature of the product, money comes and goes. And as a matter of prudence, we are not encouraging those transactions, which happen for only last day of the quarter. So, that we have purposely not encouraged. And that is how current account, we have not been able to grow to that extent. Of course, if we wanted, we could have grown for one day and numbers would have been so near, but those numbers have not been realistic. So, SA is growing. And because of that, CASA growth is from 11.4%, it has come down to 7.8% growth is there. Se cond part, CASA percentage you are talking about. CASA percentage is a game of numerator and denominator. If my retail term deposit is growing at a faster pace, then actually percentage will move. So, my retail term deposit has grown by 16.3% year -on-year. In absolute terms, it is almost Rs.25,000 crores. To that extent, S B and current has not grown. Of course, they have grown ; SB has grown by Rs.12,000 crores. So, absolute term growth is there. But in percentage terms, since retail term deposit comes into play, which has grown at a higher rate, so that is how percentage has come down to 40.85% global. But if you see, overseas branches do not have CASA deposit concept. So, CASA domestic is 41.29% and only three public sector banks in the system are having CA SA percentage above 40%. And we are one of them. And we have been consistently maintaining CASA percentage above 40 %, 41%.
Niteen S. Dharmawat: So, do you see that henceforth the CASA percentage could come down as the growth will happen and as you are suggesting because of the challenges -
Ajay Kumar Srivastava: Certainly not. Because S B you can see we have grown substantially, very handsome growth of 11.4%. I think that will be one of the best in the system. Current accounts we are working on it , and maybe in this quarter we can show good growth in current account also. So, I do not see that CASA percentage going below 41%. Of course, we cannot aspire to go beyond 45% , but we will be very successfully maintaining CASA percentage above 41 %.
Niteen S. Dharmawat: And my second question is about technological and operational strategies that a re driving the B

ank 's
digital transformation goals. So, what are those specific, if you can elaborate on that front and how we are implementing that , have we hired new consultants or how much investments we are making on those lines , what is the vision of the Bank on that, if you can elaborate on those points?
Ajay Kumar Srivastava: Yes, so I will start from budget. So, every year expenditure on IT infrastructure goes on increasing. Last year it was Rs.1,200 crores , this year we have taken approval of board for Rs.1,600 crores, both capital and revenue expenditure , and almost 70% of that has been spent also. And a lot of regular upgradation happens in IT infrastructure. Recently , we have done the entire core banking modernization with a probable expenditure of around Rs.600 crores. That we call take -replace, that has happened. State -of-the-art data center we have created. And core network infrastructure upgradation has happened. So, branch network modernization has happened. A lot many things in IT

infrastructure , it is an ongoing process. And that is one of the topmost priorities of the Bank to ensure that IT infrastructur e is matching with whatever is needed to be done for running the Bank smoothly and to compete at that level. So, we are at that place … at that level and we get full support of our board also for this. And IT infrastructure, I can say that it is one of the best in the system.
Niteen S. Dharmawat: Got it , sir. My next and final quick question is about the competition with private sector Bank in general. I see that PSU banks, there is a complete resurgence and they are grabbing the business compared to private sector banks. So, do you also see the similar kind of thing? Are we grabbing the business from private sector banks or our growth itself is organic and we are growing naturally and they are unable to capture that business because of the changes whi ch have happened in the banking sector, especially the public sector bank s. Can you shed some light on that?
Ajay Kumar Srivastava: Yes, it is a fact that we are grabbing business from private sector. Many of their clients are moving to public sector banks . Many of the clients who left, I will talk about IOB, 4 -5 years back, they all are trying to come back , many of them have come back also. And because of lots of improvement in the efficiency and IT infrastructure and lots of products, public sector banks, the total space public sector, they are giving, I will say, good banking experience to the general public and that is how

things are happening and the overall image of public sector banks as a doer … as a decision maker, as actually delivering the things, that has improved a lot.

Niteen S. Dharmawat: Got it, sir. Okay. Thank you.

Moderator: We take the next question from the line of Ashok Ajmera from A jcon Global. Please go ahead.

Ashok Ajmera: Thanks for giving the second opportunity. Sir, since I got the time now, one thing is that our government holding in our Bank is still very high at I think 92% or so in spite of the OFS and the QIP, which has been done in the recent past. So, in order to dilute and bring it within the SEBI guidelines of 75%, I think a lmost about Rs.12,000 crore s of dilution will have to be done at the current market price. So, what are the plans on that front , is it going to be OFS only or a QIP kind of a thing , what plans the board has approved and are there in pipeline for you to execute to bring down the government stake in the Bank ?

Ajay Kumar Srivastava: So, sir, right now, Government of India holding is 92.44% , a year back, February '25, it used to be 96%-plus. So, from February '25 till December, they reduced it to 92.44%. We are having an approval of Rs.4,000 crores of capital raising through QIP. We have got all the approvals. And in this quarter, we are going to raise this Rs.4,000 crores, ma ybe February or

maybe in March. The entire process is going on whatever is needed to be done. And if that Rs.4,000 crores, with that, this 92.44% will further get reduced by 4%. So, in one year, you can see that from last March to this March, the holding f rom 96%, it will come down to around 88%. And next financial year, again, we will plan and we do hope that it will reduce further as per the requirement.

Ashok Ajmera: All right. So, in future, it may be a combination of OFS and QIP again, isn't it , like m aybe after this QIP of Rs.4,000 crores, again, government might go for OFS rates if the price is good in the market ? Okay, sir. Now, sir, a little bit of data points on this gold loan front. What is the combination of total gold loan book between Agri and non -Agri loan and what kind of approximate yield which we are getting on the gold loan Agri and non -Agri?

Ajay Kumar Srivastava: Yield is around 8.5 % to 9%. There are different products, different schemes and there are certain products where yield is less than 8.25% also. Major part of the retail gold loan, whatever is happening, that is almost 50% to 60% is for Agriculture purposes and balance gets distributed amongst MSME and retail.

Ashok Ajmera: Okay. All right, sir. Okay, sir. Thank you very much.

Ajay Kumar Srivastava: Thank you.

Moderator: Thank you. We take the next question from the line of Bimal Panchal from Bim al Panchal & Associates. Please go ahead.

Bimal Panchal: Good evening, sir. My name is Bimal Panchal and congratulations for one of the best results in the history of the Bank . And a lot of questions ha ve been asked by the previous participants , I am not repeating. The main one question is that there has been frequent news that all PSU banks will be consolidated into at the most four or five banks. So, any communications from the government regarding this? And because of this, is there been any instruc tions to hold on branch expansions or fundraising , is there any break on this to expect? Thank you, sir.

Ajay Kumar Srivastava: So, sir, two things. One thing is that this year we are recruiting around 1 ,200 people and 400 people have recently onboarded , remaining will onboard in another three, four, five months. This year we have already opened 120 -odd branches and another around 180 are in the pipeline, which will be opened over the next three to six months. So, expansion plan, recruitment plans, everythi ng is going as per the business plan, which we initiated in the beginning of the year is going on as usual. And the second part is merger and consolidation. We do not have any information, either verbal or written , nothing is available with us.

Bimal Panch al: Okay. Thank you very much, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Rana Aryan from V Right A aryana Holding s. Please go ahead.

Rana Aryan: Yes. Congratulations to the team, IOB, for the fantastic results. My question is around the loan book granularity , so the background is PSU banks historically faced volatility due to large -ticket corporate exposure, even when headline GNPA numbers look compatible. So, the question is, how has the top -

20 or top 50 borrower c oncentration evolved? And what internal thresholds guide incremental exposure decisions today?

Ajay Kumar Srivastava: So, there are two aspects. One is that the total credit consists of retail, Agriculture, MSME, and corporate. If you look at Bank 's credit portfolio closely, you will see that all these four are equally distributed to between 25 % to 30 %. So, retail, Agriculture, and MSME constitute around 76% , corporate is around 23 % to 24% and we intend to maintain at that level only. And whatever cor porate existing accounts are there with us or whatever we have onboarded, all those accounts are absolutely healthy, standard, runni

ng, and absolutely regular.
Rana Aryan: Okay. So, you said corporate 25% and MSME is about 70%, right?
Ajay Kumar Srivastava : (RAM) , Retail, Agriculture , MSME, all three taken together is around 76%.
Rana Aryan: My second question is on slippages across the system have been benign over the recent quarters, particularly reflecting several micro -conditions. So, what early warning indicators is the Bank tracking to sort of distinguish between structural asset quality improvement and cyclical low slippages?
Ajay Kumar Srivastava: So, here are also two aspects. One thing is that if you look at the slippages number o ver the last two years of I OB, you will see slippage ratio around 0.11, 0.12, like that. Quarter ly slippage is around Rs.250 to 300 crores over a credit base of almost Rs.3 lakh crores. Slippage ratio is very low and consistently slippage ratio at this lev el, which should lead you to believe that asset quality is good and being properly monitored and reviewed. Another part of your question is (EWS), Earning Warning Signals, that is already automated, almost 144 different scenarios have been put in the syste m, it is a software , and early warning signals are getting generated on a regular basis and those alerts are acted upon by the teams which have been put for this activity. So, it works like a well -oiled machinery. And that is how slippages control has been there consistently over the last two years or more than two years , and accordingly, it will continue like this only in the future also. One more thing, there has not been any corporate slippage over the two and a half years or three years.
Rana Aryan: Absolutely. So, another question is I have on valuation re -rating triggers. So, like PSU banks often trade at a discount despite improved fundamentals. So, my question is what two or three execution milestones would the I OB management views as critical for a sustained valuation re -rating given that the stock is still -?
Ajay Kumar Srivastava: Our job is to give good numbers , show consistent growth and consistently, quarter -on-quarter, whatever is supposed to grow, it has grown , whatever is suppo sed to come down, it is coming down. So, we are very consistent in whatever we do. And beyond that, it is market dynamics on that we do not have any control.

Rana Aryan: All right. Thank you so much. Thank you so much and all the best for the next quarters. Thank you. Thank you.
Moderator: We take the next question from the line of Ashlesh S onje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi, sir. Good evening. Sir, two questions from my side. Firstly, can you talk about the outlook for margins over the next few quarters? And secondly, how do you think about the traction on bad loan recoveries going ahead next quarter and then in FY27?
Ajay Kumar Srivastava: So, margin you can see, in fact, for June -to-September Quarter 2, IOB was the only Bank who's NIM margin improved despite rate cut of 1% by the regulator in June quarter. And if you see my domestic NIM from September to December Q3 also, it has improved by 7 bps, 3.35 to 3.40 . and global NIM from 3.21 to 3.32. So, NIM, desp ite rate cut of 125 bps in the last 9 -10 months, we have been able to ensure that margin gets extended only NIM improves. Right now, 3.32 of global NIM, I think it is very comfortable, very healthy , and we intend to maintain in this range only 3.3 to 3.4 going forward also.
Ashlesh Sonje: Okay, sir. And second was on the outlook for bad loan recoveries ?
Ajay Kumar Srivastava: Yes, sorry. So, recovery we have done Rs.2, 600 crores for this financial year in the nine months , this quarter we did around Rs.890 crores, a nd everything happens more aggressively in this Q4. So, additional in this quarter, we expect that at Rs.1,400 to Rs.1,500 crores of recovery we will be doing. So, by the year end, we

will be crossing Rs.4,000 crores of recovery as planned in the beginning of the year.
Ashlesh Sonje: Perfect, sir. That is very useful. Thank you.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management of Indian Overseas Bank for the closing comments.
Ajay Kumar Srivastava: So, thank you everyone for spending time and listening about the performance of IOB. So, numbers have already been shared with all of you and only one thing I have to say is that we have been consistently doing whatever is required to be done as a commercial Bank , and a second consecutive quarter, we have shown growth of net profit by more than 50% , for September, it was 57% , and for Q3, it is 56% , operating profit also has shown a good growth , net interest income has grown , and in all the critical areas, ROA, you can see it is consistently improving ; now it is at 1.28 , ROA stands at 20%, ROE 20.98%. So, Bank is on a growth trajectory. Business, we have grown by 18%. Credit, we have grown by 24%. Bank is on a growth path. Momentum is there. And we intend to continue with this aggressiveness only going forward. And our ob jective is to be known as a Bank which consistently performs. That ‘consistent ’ word, we are more focused on that. And I do hope that the team which is with me at IOB, 21,000 IOBians, both the EDs and the top management, we all are

perfectly aligned to tak e this Bank to the greater heights , and going forward, quarter -on-quarter, we are pretty sure that we will be able to show the numbers which take us in that direction. So, thank you everyone for joining and sparing your time. Thank you.

Sonali Pandey : On b ehalf of board of directors and the management team, we sincerely thank you for your participation and continued support. Indian Overseas Bank Wishes You a Successful and Prosperous 2026.

Moderator: Thank you. On behalf of Indian Overseas Bank and Veritas Reputation, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Indian Overseas Bank
Investor Relations Cell , Central Office,
763, Anna Salai, Chennai 600 002 [redacted],
[redacted], [redacted],
763 [redacted], [redacted] 600 002
044 – 7172 9791, 2888 9360 | investor@iob.bank.in

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The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd.,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Madam /Sir,

Transcript of Analyst Meet/Earnings Call held on 08.05.2026
Pursuant to Regulation s 30 and 46(2) of SEBI (LODR) Regulations and guidance note of stock exchanges dated 29.07.2022 on disclosures pertaining to Investors Meet, we enclose herewith the transcript of Analyst Meet/Earnings Call held in Mumbai on 08.05.2026 .
The same has also been uploaded on the Bank's website and can be accessed through the following link:
https://www.iob.bank.in/documents/d/guest/Transcript -Analyst -Meet -Q4-2025 -26
This is for your information and appropriate dissemination.

Yours faithfully,

Raghuram Mallela
Deputy General Manager/
Company Secretary & Compliance Officer

INDIAN OVERSEAS BANK
Q4 FY2026 Analyst Meet
May 8, 2026 | 3:30 PM | Astor Ballroom, The St. Regis, Lower Parel, Mumbai
Transcript of the Event
By Veritas Reputation PR

MANAGEMENT PRESENT AT THE EVENT :
• Sri. Ajay Kumar Srivastava, Managing Director & CEO, Indian Overseas Bank
• Sri. Joydeep Dutta Roy, Executive Director, Indian Overseas Bank
• Sri. Dhanaraj T., Executive Director, Indian Overseas Bank
• Sri. Ahamed Kabeer , General Manager, Information Technology Department , Indian Overseas Bank
• Sri. Raghuram Ma llela, Deputy General Manager — Company Secretary, Indian Overseas Bank

MODERATOR : Ms. Monami Dey, Veritas Reputation PR

Introduction
Moderator :
Good afternoon , and a very warm welcome to everyone.
We welcome you to the Indian Overseas Bank's Q4 -FY2026 Analyst Meet.
Indian Overseas Bank , IOB, is one of India's leading public sector banks, headquartered in Chennai, with a robust pan -India network and international presence across Singapore, Hong Kong, Thailand and Sri Lanka. The bank offers a comprehensive suite of services spanning personal, co rporate and agriculture banking, alongside credit and loans.

The financial results, investor presentations and related disclosures for Q4FY2026 are available on the Bank's website and have been filed with the stock exchanges.
Before we begin, a brief note: today's discussion may include forward -looking statements which are subject to risks and uncertainties that may cause actual outcomes to differ materially. We encourage you to keep these factors in mind as we walk through the Bank's performance.
It is now my privilege to introduce the distinguished leadership team joining us from IOB today –
Sri Ajay Kumar Shrivastav, our Managing Director and CEO from Indian Overseas Bank.
To his right, Sri. Joydeep Dutta Roy, Executive Director .

To the left of our MD&CEO sir , Sri Dhanaraj T , Executive Director.
I'll also welcome Shri Ahamed Kabeer , General Manager, Information Technology Department and
Sri. Raghuram Mal lela, Deputy General Manager — Company Secretary .
A warm welcome to each of you, sirs, and thank you for being with us this afternoon.
We will now begin with an overview of the bank's financial and performance for Q4 F Y2026. Please join me in welcoming Sri Raghuram Malel la, Deputy General Manager and Company Secretary , to the stage to take us through this presentation.
Thank you, sir. Over to you.
Financial Presentation by – Sri Raghuram Mal lela, Deputy General Manager and Company Secretary
Sri Raghuram Ma llela, Deputy General Manager and Company Secretar y: Good afternoon, ladies and gentlemen. We are pleased to present an overview of the IOB's financial performance for the quarter and the financial year ended 31st March 2026. So far as business growth is concerned, we grew by 20.76% and it stood at Rs 6,78,6 14 crores as of 31st March 2026 when compared to Rs 5,61,958 crores as on 31st March 2025 . Advances grew by 24.16%, the total deposits grew by 18.03%, out of which retail term deposits stood at 17.81%, that is , Rs 1,836,0 1 crore when compared to Rs 1,55,846 crore as of 31st March '25. CASA stood at 40.99% , and that is in terms of the percentage, in terms of the amount it stood at Rs 1,50,936 crores as of 31st March '26.
So far as profitability is concerned, net interest income stood at Rs 12,574 crores, registering a 15.46 % growth on year -on-year basis when compared to Rs 10,890 crores as of 31st March '25. Net interest margin stood at 3.21% as of 31st March 2026. Operating income grew by 10.80% , and it stood at Rs 18,210 crores as of 31st March '26 when compared to Rs 16,435 crores as of 31st March '25.
Operating profit grew by 15.40% and it stood at an all -time high of Rs 10,026 crore s as of 31st March 2026, when compared to Rs 8,688 crores as of 31st March 2025. Net profit grew by 56 .16% and it stood at approximately Rs 5,208 cr

ore s when compared to Rs 3,335 crore as of 31st March 2025.
As regards asset quality, GNPA came down by 72 bps and it stood at 1.42% as of 31st March 2026 when compared to 2.14% as of 31st March 2025. NNPA also came down by 16 bps and it stood at 0.21% as of 31st March 2026 when compared to 0.37% as at 31st March 2025.
So far as key financial indicators are concerned, the provision coverage ratio stood at 97.50% as of 31st March 2026, registering a year -on-year growth of 20 bps. CRAR stood at 19.78% when compared to 19.04% as of 31st March 2025. Return on assets increased by 31 bps and stood at 1.23% as of 31st March 2026, when compared to 0.92% as of 31st March 2025. Return on equity increased by 414 bps and it stood at 20.42% as of 31st March 2026 when compared to 16.28% as of 31st March 2025.
Regarding the total provisions, it registered a decrease of 10% and it stood at Rs 3,758 crore for the entire financial year '26 when compared to Rs 4,176 crore for the financial year ' 25.
The total income, it increased by 11.45% year -on-year and it stood at Rs 37,532 crore as of 31st March '26 when compared to Rs 33,676 crore as of 31st March '25.
Fee-based income, there is an increase of 15.91% year -on-year basis and it stood at Rs 2732 crore when compared to Rs 2357 crore as of 31st March 2025. Interest on deposits, it increased by 10.45% year -on-

year. The total interest expense increased by 12.07% when compared to 11.26% year -on-year as compared to March 2025.
Operating expenditure grew by 5.64% and it stood at Rs 8,184 crore as of 31st March '26, and compared to Rs 7,747 crore as of 31st March 2025.
As regards performance ratios, I have to talk about the cost of deposits. It came down to 4.9 7% as of 31st March 2026 when compared to 5.0 8% as of 31st March 2025.
Cost of funds stood at 5.09 % as against 5.24 % as at 31st March, 2025. Yield on advances domestic stood at 9.08 % and yield on advances global stood at 8.84 %. Yield on funds stood at 8.10 % as of 31st March, 2026. Return on assets stood at 1.23 %. There is an increase of 31 bps when compared to the financial year 2024-25. Yield on investment s stood at 6.66% and cost to income came down by 220 bps and it stood at 44.94 as of 31st March 2026 when compared to 47.14 as of 31st March 2025. Net interest margin it stood at 3.33 % as of 31st March 2026 , that is domestic NIM and global limits were 3.21 % as of 31st March 2026.
Regarding total advances , there is an increase of 24.16% year -on-year basis and it stood at Rs 3,10,423 crore as of 31st March 2026 when compared to Rs 2,50,0 19 crore as of 31st March 2025. Total deposits grew by 18.03% and retail term deposits grew by 17.81% and it stood at Rs 1,83,601 crore.

CASA, it increased by 10.85%. on year -on-year basis and it stood at Rs 1,50,936 core. Regarding the composition of domestic deposits, 4 1% of the domestic deposits constitute CASA, 53 % constitute retail term deposits, and the remaining 6 % constitutes bulk. Regarding the share of domestic advances, 83 % of domestic advances constitute RAM, and remaining 17 percent constitutes corporate and others.
As regards the percentage share of retail advances to the domestic advances, it is 30.94% and there is a year-on-year growth of 45.12%. Regarding agriculture advances, there is a year -on-year growth of approximately 40% and its share to the domestic advances stood at 35.26%. Regarding MSME advances, there is a year -on-year growth of 13.08% and core MSME advance growth is 23.77% and its share to the domestic advances stood at17.02% as of 31st March 2026. Domestic investments stood at Rs.1,15 ,730 crore as of 31st March 2026. And global investments as of 31st March 2026 stood at Rs.1,19 ,810 crore. Recovery from technical write -off accounts stood at Rs.2,252 crores as of 31st March 2026 when compared to Rs.2,600 crore as of 31st March 2025.
Regarding NPA management, there is a consistent i

mprovement, consistent decline in GNPA. As against
2.14% as at 31st March 2025, it now stood at 1.42% as at 31st March 2026. And NNPA also has come down from 0.37% as at 31st March 2025, to 0.21% as of 31st March 2026. Provision coverage ratio, it stood at 97.50% , this includes technical write -off and provision coverage ratio excluding technical write -off is around 85%.
Slippage ratio as regards the quarter end of 31st March 2026, it stood at 0.13% and for the full financial year, slippage ratio stood at 0.49%.
Regarding sector -wise break up of NPA, RAM is about 1.18% and corporate is about 0.24% of the NPA.
Regarding capital adequacy, we are well above the regulatory prescription, regulatory minimum. CET1 stood at 16.94%, Tier 2 is 2.84%, total CRAR stood at 19.78% as of 31st March, 2026, as against a regulatory minimum of 11.50 %.

CRAR, there is a consistent growth right from 19.04% at 31st March, 2025 , to 19.78% till 31st March, 2026. Credit RWA to Advance Ratio stood at 55.78% as at 31.03.2026 compared to 59.32% as on 31.03.2025.
Total RWA to Advance Ratio stood at 63.76% as at 31st March 2026 , when compared to 67.86% as at 31st March 2025.
Regarding the financial inclusion, number of PMJDY accounts stood at 94.57 lakhs. PMJDY Zero Balance accounts stood at 2.07 lakhs.
Regarding the number of branches that is customer touch points, domestic branches stood at 3,494 branches as of 31st March 26, approximately an increase of 160 branches during the current financial year, financial year 25 -26. Number of ATMs stood at 3,651 and number of BC points stood at 12,187. Out of 3,494 br anches, around 2,040 branches are in rural and semi -urban.
Regarding the shareholding pattern, the Government of India is the major shareholder . Their shareholding stood at 92.44% as a major shareholder, followed by LIC at 3% approximately.
Regarding CASA and deposits growth in the last five years, there has been a consistent growth. CASA stood at Rs. 1,13,877 crores as of 31st March 2022, and now it is at Rs. 1,50,936 crores as of 31st March 2026. Retail -term deposits also went up from 1,37,23 4 crore as of 31st March 2022 to 1,83,601 crore as of 31st March 2026. Term deposits went up from 1,48,283 crore as of 31st March 2022 till 2,17,256 crores as of 31st March 2026. Total deposits also grew from Rs 2,62,160 crore as of 31st March 2022 to Rs 3,68,191 crores.
If I talk about advances growth in the last five years advances specifically retail advances went up from Rs 36,961 crore at 31st M arch 2022 till Rs 91 ,086 crore as of 31st March 2026. Agri advances grew from Rs 38,577 crore to Rs 1,03,821. MSME advances increased from Rs 29,494 crore till Rs 50,107 crore. Total advances also, it went up from Rs 1,55,801 crore during the last five years till Rs 3,10,423 crore as of 31st March, 26.
There has been a consistent surge in the retail segment loans as home loans, vehicle loans, personal loans, the total retail portfolio, it went up from Rs 36,961 crore at 31st March 2022 till Rs 91,086 crore as of 31st March 2026. . Regarding NPA levels and provision coverage ratio, gross NPA was at Rs 15,299 crores as of March 31st, 2022. It came down to Rs 4,410 crores as of 31st March 2026. Gross NPA percent right from 9.82% as of 31st March 2022, it came down to 1.42% as of 31st March 2026.
Net NPA also came down substantially from 2.65% as of 31st March 2022 till 0.21% as of 31st March 2026.
Provision coverage ratio went up from 91.66% as of 31st March 2022 till 97.50% as of 31st March 2026.
Provision coverage ratio excluding technical write -off in creased from 82% as of 31st March 2024 approximately till 85.54% as of 31st March 2026.
Digital outreach, number of ATMs, regarding number of ATMs, it went up from 3,497 as of 31st March '25 to 3,651 as of 31st March '26. And there has been a consistent improvement in intern et banking registered users as well, from 34 l

akhs as of 31st March '25 to 39.5 lakhs as of 31st March '26. Mobile
banking registered users, it went up from 102 lakhs as of 31st March '25 till 129.58 lakhs as of 31st March '26. UPI registered users, there is a consistent increase right from 120 .69 lakhs as of 31st March '25 till 157.62 lakhs as of 31st March '26.

I now request CTO to take over from here. Thank you.

Sri. Ahamed Kabeer , General Manager, Information Technology Department : Thank you.
Here I'll take you through the technology and digital initiatives undertaken by the bank in the last one year. Next slide.
Here our focus has been on customer onboarding initiatives. We have three products here, IOB Digital Fixed Deposits, VCIP and IOB Digital Hub. As far as IOB Digital Fixed Deposit is concerned, today a customer can start relationship with IOB without having to visit the branch through our IOB Digital Fixed Deposit platform, where our new -to-bank customers can open fixed deposit fully online and seamlessly. As far as VCIP is concerned, we have the account opening which has become completely digital with Aadha ar authentication, OTP verification and face validation. And similarly , we have built -in IOB Digital Hub which is a one -stop platform offering multiple banking products through end -to-end digital journey. Next slide please.
Here the focus is on digitizing many routine but important customer service journeys. For example, Pensioners and senior citizens can now submit their video -based certificate from the comfort of their homes, which is secured by Aadhaar based digital verification. Likewise, customers can complete the re - KVC online through Aadhaar validation through web, SMS, email, channels without visiting the branch. And here we have also introduced a new digital PIN generation called Akshara, which is in a regional langua ge format, which is customer friendly and completely secure.
Here the focus is on the high -volume digital transactions and digital lending channels. As far as our mobile leads, mobile banking leads the channels, there is a strong traction in the mobile banking led banking channels. And as far as mobile banking is concerned, presently we have 35 lakh mobile banking users and on average there is 15,000 users getting enrolled on a daily basis.
And it's one of our flagship applications which is containerized and uses microservices also. Similarly, we have the WhatsApp banking which is now providing quicker and paperless service channels for deposits, account service requests, E-KYC and various customer inquiries and another important initiative has been the adoption of our RB I-HULA platform.
Our bank is top among the PSBs in disbursement using ULI wherein we have processed around 2.6 lakh loan accounts and we have disbursed around Rs 5,700 crores.
To improve service delivery at field level, we have introduced TAB banking platform which enables staff to provide more than 30 services including account opening, E-KYC, nomination and social security enrollments at custom location itself.
And we have also introduced KYC Smart Scanner mobile app with QR based interface to scan KYC with direct integration with bank systems. Further the customer relationship management program where in we have the customer service request leads , account service request and call center integration which is centrally managed .
On our internal automation and control initiatives , overall, our loan origination system covers full adoption for fresh sourcing. This has helped in quicker appraisal, uniform documentation and faster loan processing. This is one of our flagship programs and we have now onboarded all our retail, Agri and MSME schemes under this LOS platform.
As far as robotic process automation is concerned, we have deployed this for repetitive tasks like campaign management, batch processing, reconciliation, thereby reducing manual work and improving accuracy. Similarl

y, we have the IOB Lawyers Diary app, which is for the bank's panel lawyers, which has real -time updates on cases and review of panel lawyer performance. Overall, our focus on IT has been on improving

customer onboarding, making banking services customer centric, faster loan processing and improving our internal operational efficiency. Thank you.
Q&A Session
Moderator: Thank you so much sirs for walking us through the comprehensive presentation. We now open the floor for questions. I request participants to please raise your hand when you would like to ask a question. Kindly introduce yourself, your name and the organization that you rep resent before proceeding. Our team members would bring the hand mic to you i would request you to please speak in the mic
Analyst - Ashok Ajmera, Ajcon Global : Compliments to you sir the entire team of Indian overseas bank for the fantastic result , not only for this quarter but for the whole year i mean mind -blowing numbers , if you look at the entire, I mean deposit, advances, business, everything, total business has gone up by 20.76% and the credit is 24.16%. Deposit which has been a challenge for many of the other banks has grown by 18.03% against very modest targets given by you of 12 -13% or 14-15%. So , you really deserve rich compliments for the same, sir.
Having said that, I got a couple of, I mean, some questions, some observations from my side. The one thing which I observed is that in the presentation, and here also on the presentation given here, the SMA numbers have not been disclosed. So that will give a better picture about any kind of stress coming forward now with this West Asian crisis also and the geopolitical other uncertainties.
Is there any pressure in the month of March or are you feeling something in April now also? Any pressure of that kind, especially from the MSME clients or some small clients, or some export clients on that front.

So, this is my just first question if you can answer that.
My other observations are that now with this ECL now guidelines finally coming out from RBI and you have written there that you have got a buffer of 1750 crores in ECL. In this quarter only you have given 250 crore more through that and you also got old CO VID-19 amount also of about 900 crores. So , with that, are you comfortable taking care of your ECL requirement, expected credit loss requirements?
So, if you take it up these two , can I then, or shall I talk about all other points now only?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Let me respond to these two, then we can take another one.
So, regarding SMA, if you look at year and year, March ‘25, March 26, so March ‘25 our SMA percentage to total credit used to be 6.70 last year. And as in March ‘26, it came down to 4.92%. So , SMA front is no challenge and that can be ascertained by the slippage ratios also. Slippage ratio also has been at the minimum only.
So, SMA, we do not see any challenge per se. And regarding West Asia crisis also, we have so far not seen any stress in any of our existing accounts so far. Individual cases may be there, but right now the SM A or NPA have got no impact of West Asia crisis so far. That was the part number one.
Part number two is regarding ECL provisions. In the December quarter Q3 of this year, we created 1500 crores provision exclusively in the name of ECL. And Q4 we added 250 crores additional. So right now , we are at 1750 crores additional provision in the balance sheet exclusively for taking care of ECL requirements. And as per our calculation, we anticipate that the total impact of ECL, the new guideline which has been given by the regulator, it is going to be around 3000 crores. Out of that 1750 crores we have already made, still fourth quarters are there. By the time 1st April ‘27 comes, I think we will be having

a cushion in the name of ECL itself, more than 3000 crores. And the idea i

s to front load the entire ECL requirement.
We internally do not want to take that five -year route for taking care of that additional requirement. So that is the plan and we are very successfully so far , we have been able to handle it.
Analyst - Ashok Ajmera, Ajcon Global : Sir, point well taken, sir. And it's very good to know that you are going to take care of the entire amount and not going to spread over either one, two year or five years, which is allowed, which is good to know, strengthen the balance sheet.
Having said that, some data points are the employee cost in this quarter has gone down by almost about 340 crores and other operating expenses have gone up by about 200 crores. So, employee cost has gone down because of the bond yield adjustments or is the re any other reason and how much per quarter run -up we can take up for the coming year 2026-2027.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Our provision requirement whatever was required, we made more than that the provision. Till December quarter itself, it was taken care of and the actual PLI requirement also turned out to be very low as compared to the provision which we had created. So Q4 , that sort of provision requirement was not there. So that is our staff expenses you can see. it has come down by almost 200 or 250 crores.
Analyst - Ashok Ajmera, Ajcon Global : Okay, sir. Now, on this treasury side, because of this quarter also, there is a tremendous impact of the treasury not yielding much results, rather it's negative. And had it been added, the profitability would have been much higher. So, going forward in 26 -27, or initially first two quarters, what do you feel the treasury will start giving because of the the bond yield also i mean now becoming favorable , what is your perception you say about the treasury operations

Sri. Ajay Kumar Srivastava, Managing Director & CEO: We do not see , I will say , huge gain from treasury for next two quarters because of uncertainty prevailing and because of geopolitical issues . We do not know how it will pan out and going forward the only thing we can say that is, we are very nimble -footed and whatever happens in the market, the team is very well equipped to adjust the plan and execute it accordingly. So , let us see how it pans out.
Analyst - Ashok Ajmera, Ajcon Global : Okay, the last one in this round. Now the government has announced again COVID -like line ECGL, I mean ECLG 5.0. So with that, don't you feel that you are already growing very fast on the credit side and now with this, some more opportunity to grow the credit will be there. So , number one, how do you see that the people will come forward looking at your portfolio for taking advantage of this scheme which is announced? I think, I don't know the full scheme, whether it has come out or not and secondly, what kind of target you will give for the credit growth coming forward or credit deposit in the overall business growth?

Sri. Ajay Kumar Srivastava, Managing Director & CEO: So, this ECLGS, of course, two days before it was approved by the cabinet. And as per our initial assessment, almost 25 % to 30% of the portfolio, MSME and non -MSME, that will be eligible for this ECLGS 5 .0 support. How many of them come for that actual 20% requirement that we are yet to see but our broad assessment is that around 8 ,000 to 10,000 crores of additional funding can happen through this ECLS mode this is valid up to March 27 still almost in 11 months are there and I think it will help in overall cre dit growth not only for IOB but for the entire industry

Analyst - Ashok Ajmera, Ajcon Global : Okay sir thank you and all the best and I'll come back again if other colleagues also have their questions. Thank you.
Analyst - Namit Arora, In dGrowth Capital : Good afternoon, sir. Thank you very much to you and your entire team for organizing this and for the detailed presenta

tion. So , my question was around positioning, because the state that you are focused on is very attractive commercially. But at the same time, competition is well entrenched. So in terms of your positioning, how are you working on that further? The growth has alrea dy been very impressive. But with a medium -term view, 3-5 year view, across your main target segments, what work are you doing th ere to ensure that there is continued market share gains or growth given, you know, all other players , including NBFCs, other banks, everybody is also trying to, your market is very attractive. So how do you look at that?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: We are having one internal study of next three years, what is going to the plan and where we want to be over next three years period. And we do see that around 14 to 15% of growth, overall growth, 1 and 2% here and there. We feel that we are very well placed to grow. And if you have seen our capital requirement also, CRA has reached 19.78%, much, much higher than the regulatory prescript ion. And with that sort of capital and the internal accruals, which by virtue of continuous and consistent net profit numbers. We do hope that by virtue of the internal strength, growth will happen. And at the same time, the overall economic situation of the country, that is also very, very growth -oriented. We all know that the country is growing, GDP is growing. and keeping those things in mind and assuming that there are no uncertainties like West Asia crisis or any additional thing. We do hope that 14 % to 15 % to 16% growth for overall industry, not only for IOB, is very much feasible and we can do better than that.
Analyst - Namit Arora, In dGrowth Capital : Thank you, sir. So , my second question was on risk management, especially credit underwriting and the processes, and also on operational risk, because unfortunately, even with some larger private sector players, there have been some unfortunate incidents. So, in general, your philosophy on risk management and how are you working on continuously to strengthen the risk management systems as well as the capabilities of the team? Thank you.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Our policy and philosophy both I will say very simple. Lending is a risky business. So , risk will always be there. How it can be mitigated? We work on those aspects. And if you look at over last three years numbers, whether it is slippage or NNPA or GNPA or credit growth or even number of frauds, operational risk we talked about. You will see that that is hardly anything as compared to the industry and all those critical numbers and parameters, they are consistently coming down. Slippages, the type of underwriting we are doing, the type of monitoring control we are having over the assets, you can see for last more than 11 -12 quarters. Slippage ratio is 0.11 or 0.12, one of the best in the system.
So, I do hope that the risk part is well taken care of. Of course , it is never comfortable to say that we have conquered everything. That risk is always there because as I said lending is a risky business. But all protocols, all safety measures are there in place and from central office level. That risk part is very well and regularly articulated to the field so that everyone is aware of the risks involved with lending part.
Analyst - Namit Arora, InGrowth Capital : Thank you very much for your detailed thoughts, sir. And all the best to the entirety. Thank you. Sorry, I had not introduced myself. I'm Namit Arora from InGrowth Capital. Thank you.
Analyst - Ramesh Bhojwani , Mehta and Vakil : Hello. Thank you. Sir, Ramesh Pojwani from Me hta and Vakil. I was seeing your results from March '22 to March '26. There has been a quantum improvement year-on-year, in all parameters, all the ratios, I think the March '26 results stand out as the best

performance till date. Few observa

tions were there : one was, you have maintained consistently the PCR at 97.5 and in March '26 you have kept the provisional amount lower , that means you are confident that your recovery from written -off accounts as well as from the NPAs will still further accelerate , enhance over and above what has been done going forward .
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Okay. E xactly yes sir, if you look at the numbers actual numbers our net NPA is around 600 odd crores and we certainly do not want to be in that situation where net NPA becomes zero that will be a challenge to maintain at zero level going forward so certainly we do not want to go to that level . And if you look at the numbers quarter on quarter, over the last many quarters, you can see , the addition to NPA is around 200 to 250 crores . Against that recovery is around 800 to 900 crores. In the full year, slippage is 1200 crores for 2025 -2026 if you see. Against that recovery is around 3700 crores. So , this recovery more than slippage is happening for last three years consistently. And going forward also, we are pretty sure that it will happen.
Only thing which we have moderated is that till last year we were targeting and we were doing I will say recovery of more than 4000 crores every year. Now because stock has come down, the outstanding NPA numbers have come down. So , this year we are targeting around 3600 crores of recovery. So that is the only change. Rest other things continue as it is.
Analyst - Ramesh Bhojwani , Mehta and Vakil : It's very wonderful to hear. The other part was there is a Six-page section on ESG highlights in your presentation, in your highlights. In that, there has been a

reference and an emphasis towards solar energy as a RE, renewable energy source, where the bank will play a leading role in funding the projects. Because yesterday we were in a company's meeting which said that the government of India has set a target of 550 gigawatts from solar power. So, it's a huge, hu ge, humongous opportunity for the enterprise and straight away to the banks. How do you see this panning out? Because one, many a company has started installing solar rooftops on their commercial premises, retail premises and in a company like Tata Power has taken the initiative of doing it on residential premises more in Delhi than in Bombay. So , this appears to be a very , very big line of business activity, entrepreneurial activity and obviously banks have to play a part in this to make it a success for the basic reason the government wants it. The Prime Minister has initiated three schemes whereby almost more than 1 lakh 60 thousand crore has been given as incentive under PLI and ALMM and other schemes. So how is your bank positioning itself considering the evolving framework or the evolving scenario going forward?

Sri. Ajay Kumar Srivastava, Managing Director & CEO: We are very, I will say, not very aggressive, but of course we are aggressive as far as solar lending is concerned. In almost all the committees at central office, whether it is ED level or GM level or MD level committee, one or two proposals of solar lending, it does come. At corp orate level also, at mid -level also.

And over and above, Government of India, as you said, that lot of emphasis is there. Pradhan Mantri, Surya Ghar Beezle Yojana is there in which all individuals are eligible and government is giving subsidy also. Even we as banks, wherever we are having our own premises, we are looking for the opportunity to install solar panels on the rooftop.

So that level of awareness and aggressiveness is there. We are very open, we are having at least three different schemes at very attractive rates and at very attractive terms and conditions which encourage people and companies to come forward, come to us f or lending support. And I will say that it is one of the top five important parameters for us going forward in

which lending is going to happen in this year.

Analyst - Ramesh Bhojwani , Mehta and Vakil : That's wonderful, very nice to hear of that. Sir, the last thing is, there is IMD has forecast a 94% of the average rainfall going forward, which will at least put

pressure on our agri -advances which are being shown as 1 lakh crore. One, the government, the agriculture ministry, fertilizers, as well as otherwise, will take care to mitigate the effect. But this area appears to be an area of concern. Maybe it can reflect in our NPAs or maybe any government co -guarantee in the MSME sector as they have done because of this West Asia crisis can help.

Sri. Ajay Kumar Srivastava, Managing Director & CEO: Exactly. When monsoon is not good, naturally it will be having an adverse impact on agriculture. That is a given thing. What I can say about IOB, the portfolio you are talking about, Of course, as I said that agriculture will get impacted and ofcourse we have to find our ways to how to manage. But as far as our portfolio is concerned, I will say that since we are south -west, a major part of the agriculture happens in Tamil Nadu and southern regions. And where it's not crop loan, the typical crop loan w hich happens in the rest part of the country .

In that geography in which we generally operate, mostly operate, there is agriculture jewel loans, backed by jewel. It's not pure crop loan. And since jewel is available as security, we do not face over the years also, IOB in particular, we do not face any challenge in agriculture NPA. Rest part of the country, of course, it's independent crop loan, no security other than crops. So that challenge remains.

Analyst - Ramesh Bhojwani, Mehta and Vakil : Thank you.

Analyst - Rupsen Umrani -: Hello, sir. My name is Rupsen Umrani . First, I want to give your team many congratulations on behalf of many financial crisis that your bank net operating profit that one 10,000 crore and net profit that 5,000 crore. That beautiful journey is that one. Then future, what you think about the financial market and how you give your customers relief, sir?

Sri. Ajay Kumar Srivastava, Managing Director & CEO: We are a commercial organization. We believe that growth is the lifeline. So we need to grow. And we need to grow in all spheres of banking where growth is required, other than, of course, bad debts and NPAs. And every year we target 13 to 15 percent of gr owth in all critical parameters. And last three years we have been successfully surpassing that.

Last financial year also the plan was to grow at 13 to 15% both sides, asset liabilities. But we grew by 24% in credit and 18% in deposit. So , the same trend will continue. We do not want to do any special thing, the momentum which we have created. I would like to continue with that going forward also.

Analyst - Devansh Jani, Motilal Oswal : Hello sir. Sir, I am Devansh from Motilal Oswal. Sir, first of all congratulations for your good results. So , first question is, your taxation , provision for tax have been little volatile and like going forward can you give any guidance on effective tax rate?

Sri. Ajay Kumar Srivastava, Managing Director & CEO: For taxation there are two things. One thing is that in Q3 of last financial year, we shifted to new tax regime that is 25%. But since we are having accumulated losses still in the balance sheet, so that tax is not payable. That is one part of the story. So ,no tax as such. And of course, if you are talking about some tax demands which have been raised by the authorities, so against that I am having a number which I can share with you. Last three years t here has been a demand of 4832 crores pertaining to previous assessment years starting from 2013 -14.

These are the additional demands which we got recently over the last three years. And against those 4,833 crores of raised demand by the tax authorities, we got a refund of 6,318 crores during t

hese three years.
So whatever demands have been raised, more t han that we have got as a refund also because of previous cases getting settled in favor of the bank.

Analyst - Devansh Jani, Motilal Oswal : Sir, one more thing. So , your CD ratio has gone from 80% to 84%, the global one. So , going forward, do you foresee any liquidity stress on it? And how comfortable are you? What is your cap on maintaining that?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Certainly, there is no challenge. See, CD ratio is one part. And there is no regulatory prescription as far as CD ratio is concerned it's a general perception that it should be around 80 % but if you want to have a regulatory prescription that what percentage is ideal there is no such guideline available . We have been focusing on LCR and every day we are monitoring and reporting to the authorities . As on yesterday the LCR is around 151 % of the bank as on March ‘26 it was around 122 -123%. So even if we are growing at 20% or 21% in credit side, we do not see any challenge on liquidity side.
Analyst - Devansh Jani, Motilal Oswal : Okay , sir one last question. So , from your advance book, you have around like 5 to 6% going to overseas, but your NPA contribution from your overseas account is around one third. Sir, any like, what is your outlook on the overseas account and going forward what will be numbers look like?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Yes, these NP accounts in overseas center , they are legacy accounts very old ones because recent slippages last three years . There have not been many as far as slippage is concerned , whether domestic or overseas . So, one thing is that they are legacy accounts and all those cases are in various stages in different courts overseas itself and there is that overseas centers other than court and there is no SARFAESI or no DRT, nothing like that. We have to go through court only. That process is on and whenever court decides, we get whatever we are required to get.
Analyst - Devansh Jani, Motilal Oswal : And one more thing, sir. So , on your advances from overseas, it's been year-on-year it's been mostly flat. So , is it because of the geopolitical issue or you are changing your focus to other revenue?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: No, it's part of the strategy. I will give you one number , like, yield on advances for the bank. If you look at domestic yield on advances is 9.08% above 9. If you take overseas, then it comes 8.92 because the margin part at overseas centers is not much , so wherever we get good margin, good security, only there we go for lending because it affects my NIM also , yield on advances also, m any parameters get impacted by that.
Analyst - Devansh Jani, Motilal Oswal : So any guidance on your NIM margin going forward?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Yes, 3.2, I think. Global it is 3.21, domestic it is 3.32. We expect to maintain at this range between 3.30 to 3.35.
Analyst - Devansh Jani, Motilal Oswal : Okay sir, thank you.
Moderator : Dear friends, requesting you to please raise your hands for any questions.
Analyst : Good morning , sir. Congratulations for the results. And so , my question was MS MEs NPAs ratio have seen some increase. So, like what are your , are there any specific MSME segments or regions where the bank is witnessing stress currently or are they the geopolitical, or is this the reason due to the geopolitical constraints going around?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: No, MSME, our NP percentage is 2 only, around 2, I think 2.4 or something. So, it's certainly not high. And the West Asia crisis, I already replied that MSME, Last three years we have not seen any challenge in any portfolio as far as because of disturbance in West Asia. Individual cases may be there and I think with the implementation of ECL

GS 5.0

which Government of India has given, I think even if any challenge is there, I think that will be taken care of very well by this ECL GS scheme. Going forward, I do not see any challenge.
Analyst : Sir, the overseas NPA's book account remains elevated relative to domestic. So, is there any outlook?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: As I said, it's all legacy accounts. Nothing has slipped over the last three years as far as overseas is concerned. Any substantial account, I will say. All are legacy accounts of 2015, 2016, 2017 , and those cases are at different stages in various courts. So, we are waiting fo r the decision, but fresh slippages , fresh addition to NPA last three years from overseas centres is negligible.
Analyst : Sir, my last question would be, will the bank continue towards the RMA section, that is retail, MSMEs and Agri, as we have seen their substantial growth towards that specific section only, or will there be some diversification or diversification in fees c ollections as well?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: No, RAM will be our priority going forward also . Retail, Agri, MSME and why because I will say that we are having 3500 branches almost and they are spread across the geography in every nook and corner of the country . And this retail, agri and MSME can be done by all branches, all branch managers, everyone can do. And that is how, since all branch managers are taking lending decisions, a lot of enablers have been given to branch managers. Processing centers have been established where processing of the loans happens very quickly. So, the combined sum of all these things is resulting into substantial growth of RAM lending and the focus will remain there.

Analyst : Thank you so much sir.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Just to add, RAM itself is diversified. So , RAM means we are having a granular portfolio and it is a diversified portfolio.
Analyst : Got it , sir.
Analyst - Ashok Ajmera, Ajcon Global : can I take it up from there which you answered. So now sir, we have come to almost I think 21 -79, 79 -21 ratio on the RAM and corporate if I am not wrong. So, we are going towards basically like any other NBFC or this thing that our reliance is getting more and more on the RAM, which you said the point is well taken that yes, you have got branch network and everything. But don't you feel that the time has come again when we should little bit relook at the corporate side also and see some good corporates with because the NIM , is also high. I mean, the interest paid is also higher. I'm not talking about the large corporate, but maybe A rated, BBB plus. Is there any kind of thinking so that even, I mean, the loan book is already growing very well, but still it can get still flipped. You know, from current this thing, you can go to 8.5 lakh to 9 lakh crore business Bank.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: See, corporate lending is still happening. But the issue is that this corporate gets classified in MSME and agriculture also. Like state government, there are many agricultural marketing boards. Like , for example, SIDBI. So all they are corporates only, 4,000 -5,000 c rores we are giving. But it gets classified in retail and agriculture and MSME. That is one part of the story.
Second part is that by doing RAM, if we are growing at 24% and having a good NIM of 3.33%, Why I should be going for those type of corporate loans where margin is not there? Our focus is on growing with substantial margin. So , we are not into that business where AAA rated any company is demanding at 6% or 6.25%. We very politely say no, because that is not our priority area. Wherever we are having opportunity to lend, of course we are lending, that is how we are growing. But at good margin, there is

something for IOB also. So, we venture into that corporate

only at that point of time. Otherwise, if it's not making sense, we do not do that.
And that 24% growth with that margin, I will repeat, I think the strategy is working fine and wherever we get opportunity, we do lend. It's not as if that corporate lending is closed. Still, we are having 13,000 crores of pipeline, which is already sanctio ned and in the process of disbursement.
Analyst - Ashok Ajmera, Ajcon Global : Will you give some color on the gold loan Agri and non -Agri and the total gold loan and...And the relationship with the NBFCs and our exposure on NBFC and then co-lending space also?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Almost 70% of the jevel loan will be agriculture. The remaining will be classified as retail and MSME. And of our total credit portfolio, around 30% is jewel loan. And very solid and robust portfolio. No NPAs, no SMAs, good return, risk rate zero. Capital requirement is not there.
And co -lending, I think one or two companies. Two companies only we are doing, not many. Our own branches are taking care of most of the things as far as jewel loan is concerned.
Analyst : Hello. Okay, sir. What portion of your retail loans is now sourced fully digital?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: It should be around 21 to 22 percent.
Analyst : And how have been the delinquencies compared to branch source loans?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Not much. Because overall slippage ratio is hardly anything. Which makes me believe that whether it is happening through digital mode or at branch level also. I think quality is good and SM A are coming down, slippage is not happening. So , I have every reason to believe that through digital also quality is good.
Analyst : And how much your fee income has not grown this quarter, YOY also? Going digital on it, I think YOY it's not grown.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Fee income, I think it is stagnant, I will say. It has grown by...
Analyst : Yeah, overall on the year -on-year basis it has grown, I was seeing on the last quarter.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Let me see the numbers. If you can show it on the screen, slide number. Fee based income we have grown by 15.63%.
Analyst : Yeah, overall on a yearly basis. I was seeing on the quarter basis.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: On a quarterly year on year basis. Last year Q4 to this year Q4. That detail I may not be having. But overall if you see full 12 months, from 2418 to 2796 crores, 15.63% growth is there.
Analyst : And what other operational parameters you think you know you have to still make the change in the bank and which is the most you think can increase your efficiency more in this bank?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: 96% of our transactions are happening through digitally. Year on year, and quarter on quarter we are improving on that. And the major focus is that since in the branches across the counter that footfall is not there and customers are not much there in the br anches. What we are doing is that the people who are working in the branches, we are using them for sales and marketing. And that has brought lots of efficiency. The digital part takes care of the

time and energy. And the employees who are in the branches, they are out in the market sourcing business,

onboarding customers. And combined sum of these two has brought in lots of efficiency in the system.
Analyst : So internally have you set any ROE or ROA targets for the next over a three year period? And is this ratio sustainable if you don't have the recoveries from those legacy accounts, you will be confident to sustain these ratios?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Absolutely. This question someone asked last year also. ROE if you see quarter on quarter that it's already

given. We started from last year I think
0.92, we are at 1.23.
Analyst : Yeah, you have done very well.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Before it was 1.32 in fact. So anything, our baseline is that ROA at any point of time should be above 1.20. That is the baseline. Above that, of course, we will try to do better. For the full year it is 1.23. So there is no internal guideline as such. ROA s and ROEs are the end result, the by -product of whatever we are doing.
Analyst : But have you set any aspirational target?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: No such target as it is, but the baseline is there that below this it should never come up.
Analyst : But in spite of that, actually your valuations are still cheap actually, but because maybe there is no floating stocks. Is there any thought from the government what they want to do?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: That is something which of course we are also grappling with. And maybe this year we will try to do something. In March, last financial year, two months before, we wanted to do one QIP. We did road shows also, but because of West Asia crisis, all those things, all of us had done it, flared up in last fortnight of March. So , we had to drop that idea. But this year again, we'll be back with that. So let us see. That creating a float in the system, that is a challenge, and we are working on it.
Analyst : Is there a thought from the government already?
Sri. Ajay Kumar Srivastava, Managing Director & CEO: That 75% minimum, that is the requirement by SEBI. That's applicable to everyone, including us. Okay. Thank you.
Analyst : Thank you, sir.
Analyst – Manoj Kale, : Hello. Yeah, this is Manoj here. Actually, I wanted to know what AI is going to affect actually on the bank in future in regards to growth, jobs, all those things.
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Yes, that AI part, our CTO gave that presentation. There are certain things which we are doing and maybe detail I will ask CTO to respond. But of course what I can say is that it's one of the key components and we are very aggressively looking at AI part. A brief part of some products we are doing if you can explain a little bit.
Sri. Ahamed Kabeer , General Manager, Information Technology Department: So, we have been...We have been moving into the AI part is not as a POC but as a full -fledged system. So we have been doing this for our automation of robotic process automation wherein all our routine tasks are being automated , and we are using this for our reconciliation as well and we are using this more for our fraud monitoring system and we have also the RBI mule hunter which is being there, which is an AI tool and because there are a lot of mule ac counts which are being, which is being identified and we are using the

AI for that purpose and we are still moving into that directions wherein more and more initiatives will be taken by the AI.
Thank you, sir.
Sri. Dhanaraj T, Executive Director : In fact, our technology investment is increasing year on year, up to 15%. So , we are fully aligned with what is happening in the industry.
Moderator : Thank you, everyone, for your valuable questions.
As we have no further questions, we come to a close of the question and answer session. Now I would like to invite Shri Ajay Kumar Srivastava, our Managing Director and CEO sir, to share a few closing remarks.
Closing remarks
Sri. Ajay Kumar Srivastava, Managing Director & CEO: Thanks to all of you for sparing your time and coming here and listening to our growth story.
Only thing I want to say that we want to be known as a consistent bank, consistent performance. Last three years we have been successfully doing that. Quarter on quarter, year on year, whatever is supposed to improve, it improves. Whatever is supposed to come down, it is going d

own. A nd going forward also,
we intend to maintain that consistency with handsome growth of double digit, I will say. Thank you, everyone.

Call: Jul 2026

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600 002
Indian Overseas Bank, Investor Relations Cell, Central Office, 763 Anna Salai, Chennai 600 002
044 – 7172 9791, 2888 9360 | investor@ iob.bank.in

Ref No. IRC/ 109/2026-27 24.07.2026

The General Manager,
Department of Corporate Services,
BSE Limited,
Floor 1, P.J. Towers, Dalal Street,
Mumbai 400 001 The Vice President,
National Stock Exchange Ltd.,
Exchange Plaza, C -1 Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051
BSE SCRIP CODE: 532388 NSE SCRIP CODE: IOB

Madam /Sir,

Transcript of Analyst Meet/Earnings Call held on 20.07.2026
Pursuant to Regulation s 30 and 46(2) of SEBI (LODR) Regulations and guidance note of stock exchanges dated 29.07.2022 on disclosures pertaining to Analysts /Institutional Investors Meet, we enclose herewith the transcript of Analyst Meet/Earnings Call held on 20.07.2026 .
The same has also been uploaded on the Bank's website .
This is for your information and appropriate dissemination.

Yours faithfully,

Raghuram Mallela
Deputy General Manager/
Company Secretary & Compliance Officer

Indian Overseas Ban k
Q1 FY2027 Earnings Conference Call
July 20, 2026

MANAGEMENT : MR. AJAY KUMAR SRIVASTAVA , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , INDIAN OVERSEAS BANK
MR. JOYDEEP DUTTA ROY, EXECUTIVE DIRECTOR , INDIAN OVERSEAS BANK
MR. DHAN ARAJ T., EXECUTIVE DIRECTOR , INDIAN OVERSEAS BANK
MR. RAGHURAM MALLELA , COMPANY SECRETARY , INDIAN OVERSEAS BANK

MODERATOR : MS. SONALI PANDEY , GROUP HEAD, VERITAS REPUTATION PR PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Indian Overseas Bank arranged by Veritas Reputation. At this moment, all participant lines are in the listen -only mode , and later we will conduct the question -and-answer session. At that time, if you have a question, please press star and one on the touchtone keypad . Please note that this conference is being recorded.
I now hand the conference over to Ms. Sonali Pandey from Veritas Reputation PR. Thank you, and over to you, Ms. Pandey.
Sonali Pandey : Thank you. Good evening, and welcome to Indian Overseas Bank Conference Call to discuss our Financial Results for Quarter 1 FY26-'27 ended June 30, 2026. Indian Overseas Bank, IOB, headquartered in Chennai , continues to strengthen its presence with over 3,522 branches , around 3,691 ATMs and 13,401 business correspondents across India.
IOB also provides services in 4 countries: Singapore, Hong Kong, Thailand and Sri Lanka, with a trust of 46 -plus million total customers in the bank's fold. Our comprehensive suite of services spans personal, corporate and agricultural banking, along with credit cards, loans and insurance products. Our financial results are available on our website and stock exchange platforms.
Before we proceed, please note that today's discussion may include forward -looking statements subject to risks and uncertainties that could impact future outcomes. We encourage you to consider these factors when evaluating our performance.
Joining us today are Shri . Ajay Kumar Srivastava, Managing Director and CEO; Mr. Joydeep Dutta Roy, Executive Director; Mr. Dhanraj T., Executive Director. We will begin with an overview of our quarter 1 performance followed by a Q&A session.
Now I invite Mr. Raghuram Mallela, Company Secretary, Indian Overseas Bank , to present the financial highlights. Over to you, sir.
Raghuram Mallela : Thank you, Sonali. Good evening, all. I am pleased to present an overview of the B ank's performance during the quarter ended June 30, 2026. It's a proud moment for the bank today that the bank has reached a new milestone by achieving an all -time high quarterly net profit of INR 1,659 crores for this quarter as compared to INR 1,111 crores as on June 30, 20 25 with 49.32% year-on-year increase.
Bank has achieved the operating profit of INR 2,693 crores, registering a year -on-year growth of 14.21%. Regarding the performance of the bank for the quarter ended 30 June 2026, bank has achieved a business mix of INR 6,98,325 crores, recording a year -on-year growth of over 17.72%.
CASA in absolute terms stood at INR 1,54,415 crores, with a year-on-year growth rate of 6.61%. CASA ratio domestic as on June 2026 stood at 41.45%. CASA Global stood at 41.05%. Total deposits reached at INR 3,76,193 crores as on 30 June 2026 with a year -on-year growth rate of 13.72%.
Total advances increased year -on-year by 22.75%, reaching INR 3,22,132 crores as against INR 2,62,421 crores as of 30th June 2025. Provision coverage ratio improved to 97.67% as on 30

June 2026 as compared to 97.47% as on 30 June 2025. Capital adequacy ratio stood at 19.36% as against the regulatory requirement of 11.50%.
Net interest margin global for the quarter ended 30 June 2026 is 3.37% with an increase of 12 bps as compared to 3.25% as of the last quarter March 2026. Net interest margin domestic stood at 3.48% for the quarter ended June 2026 as compared to 3.35% for t he quarter ended March 2026.
With regard to the NPA management, gross NPA reduced from INR 5,178 crores to INR 4,292 crores year -on-year basis. Net NPA reduced from INR 816 crores to INR 588 crores. GNPA percentage has reduced by 64 bps year -on-year from 1.97% as on June 2025 and reached 1.33% as on June 2026.
Similarly, net NPA percentage

has also been reduced by 14 bps year -on-year from 0.32% as on
June 2025, and it stood at 0.18% as on June 2026. The slippage ratio of the bank is reduced to 0.06% for the quarter ended June 2026 as against 0.10% as on June 2025. And with respect to the valuations, there is a significant improvement in return on assets, which stood at 1.41% for the quarter ended June 2026, with a 27 bps increase as compared to June 2025.
With regard to book value per share, it improved to INR 15.79 for June 2026 when compared to INR 12.41 for June 2025. Similarly, improvement is evidenced in return on equity with 369 bps year-on-year. Currently, return on equity stood at 22.69% when compared to 19% for June 2025. Earnings per share for June 2026 is 0.86 which improved from 0.58 as on June 2025. This is all about the financial performance of the bank for the quarter ended 30 June 2026. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera : Yes, thanks for giving me the opportunity first. Compliments, Srivastava Saab, Joydeepji, and Dhanarajji, and the entire team of the Indian Overseas Bank for the fantastic results for Q1 FY'27. And you are just a whisker away from INR 7 lakh crore business, which will be achieved soon or might have already been achieved by now.

And compliment that you met all the, I mean, parameters or the targets which are given and even in the current quarter also, there is a good credit growth of 3.77%, an overall annualized base is 22.75%, which is commendable.

Having said this, sir, I've got a couple of observations and some questions. In profitability, which is one of the highest now in the net profit, as was told just now , INR 1,659 crores. Even profit is also good at almost about INR 2,700 crores.

There is a major component of PSLC commission of INR 863 crores and good recovery. I mean reasonably good recovery from written -off accounts of also almost about INR490 crores. Fee based income has also gone up. So this PSLC and equally in the investment in the treasury book , also the profitability is there. So that is where the major contributor of this profit in this quarter.

So going forward, can you give us some colour on the -- I mean , how are we going to close this FY27 as far as the profitability is concerned, whether the consistency will remain there in spite of these -- some of these factors which may not be materialized in the coming quarters ?

Ajay Kumar Srivastava : So regarding this profitability, say, you need to look at NII also, interest income and expenses. So NII, we have grown by 34.30% year -on-year. So that itself is showing that out of operations, the lending activity and whatever we are doing on liabilities, but the NII growth is one major part of driving profitability.

And in addition to this, you talked about PSLC and recovery from technical written -off accounts. These are routine activity. Every quarter, it happens. If you remember earlier also, the same type of query was there that whether this PSLC income or recovery from technically written -off accounts will continue going forward also.

In fact, if you look at last 8 to 9 quarters numbers, these 2 parameters are there in all quarters. PSLC sale income. And so this is integral part of non interest income. And that will continue, of course, it is stable, and it will continue going forward also.

NII, of course, interest income is increasing quarter -on-quarter, year -on-year. So going forward, I do not see any challenge in maintaining this profitability. On last 10 quarters, if you see the trend of operating profit and net profit quarter -on-quarter is only one dimensional, that is increasing.

Ashok Ajmera : On the credit front, also this quarter has been good for almost

every bank. Suddenly, a lot of demand has emerged and there was some clarity in between on this West Asian war also. Again, that conflict started again. So now going forward, number one, on tha t ECLGS, how much was sanctioned and disburse d, whether that -- have you started seeing now any pressure again coming back to the smaller accounts or SME accounts on the recovery front or on the delinquency front? And what are the numbers of the ECLGS -- if we can know that how much -- how many people have already availed it? How much is the amount of disbursement?

Ajay Kumar Srivastava : Yes. So ECLGS total universe from IOB side, whatever number of eligible accounts and amou nt is there, that is around INR 4,400 crores. And out of that, we h ave so far disbursed around INR 2,600 crores based on the requirement of the individual borrowers and in terms of ECLGS 5 requirement. So, INR 2,600 crores is already done. INR 1,800 crores is expected to be done over the next one, one and half months. And demand is there, request is there. We are pretty sure that 95% to 100% of ECLGS disbursement will certainly take place by August end or September first week.

And regarding West Asia issue and stress on any small borrowers or SME accounts, so far we have not seen. Individual cases are there. But not as one product or one sector that this particular product or sector is struggling because of West Asia crisis. Earlier also, there was no such sign. And right now also, we are not observing anything of that type.

Ashok Ajmera : Okay, sir. Point well taken, sir. Now on the ECL front, how are we prepared? I mean are we continuing the same what was there in the last quarter? That we will be in a position -- I mean

the impact may not be that sizable, and we will be able to take care of it witho ut taking the benefit of those four years or so on the ECL? What is the total buffer provisioning on that, sir?

Ajay Kumar Srivastava : So the same strategy continues. Our initial assessment or internal assessment, I wil l say, it is to

the tune of INR 3,000 crores of additional requirement. Till March, we created a forward -looking
provision for ECL only INR 1,700 crores. This is the balance sheet we have added INR 400
crores additional. So against INR 3,000 crores of probable requiremen t, we have provided
already INR 2,150 crores to meet this E CL provisioning requirement.
And in coming quarters also, we will be equally making a provision going forward so that by
the end of this financial year, the entire requirement of ECLGS can be taken care of in one shot.
And as part of our internal discussion , we do not intend to go for a four-year dispensation.
Ashok Ajmera : Very encouraging, sir. Sir, last question in this -- rather a data point, in our n et worth, which has
gone to INR 29,256 crore s in this quarter from INR 28,114 crores, there is an addition -- in
addition to the profit, there is an addition of INR 554 crores in the net worth. So is it because of
the AFS, some addition in the res erves because of the revaluation? I mean, because of the
valuation of the -- or the profit of the AFS book or some other components if they are in this
INR 550 crores, some DTA or some other things? If you can ?
Ajay Kumar Srivastava : DTA, we have done INR 200 crores, sir.
Ashok Ajmera : AFS, any addition to that?
Ajay Kumar Srivastava : Sir, MTM addition is there around INR 300 crores.
Ashok Ajmera : That's very good, sir. Just last question going from this down. Sir, your NIM is very good and
increasing also. And one thing is that whether the consistent -- it can be maintained in the
remaining three quarters? And second one, sir, somehow I couldn't find out the SMA numbers,
SMA 1,2 -- 0, 1, 2, or SMA above INR 5 crores, either I have missed the slides or -- so can you
give some colo ur on that, sir?
Ajay Kumar Srivastava : Total SMA is aroun

d 4%. And it is coming down becau se one month before it was 4.95 . We are
paying attention to that. And the first question was about NIM. The NIM, sir, last one year, if
you see, we have been successfully main taining NIM between 3.3 to 3.4 .
Earlier also, we gave the same guidance that it will be maintained at that range. And for June
number, if you see our domestic NIM it has gone to 3.48%. So we are pretty sure that going
forward also, sir, NIM will b e in this range only around 3.3 to 3.4 . In this range, it will move.
As regards SMA, SMA 0 is INR5,733 crores. SMA 1 is INR3,068 crores. And SMA 2 is
INR4,246 crores. So total SMA is INR13,000 crores, percentage terms, it is 4.05%.
Ashok Ajmera : I think it's -- SMA 2 numbers have a little bit increased in this quarter. Isn't it?
Ajay Kumar Srivastava : Ajmera S ir, SMA 2 has increased by INR500 crores over March, that is correct. Total SMA, it
has come down by INR2,200 crores.

Ashok Ajmera : Yes, sir. So any concern on that, si r, the SMA 2 numbers increasing or they are now regularized
by now?
Ajay Kumar Srivastava : Mostly, it is regularized, sir. If you look at our slippage ratio, sir, if you map that with SMAs,
you can see that slippage ratio is 0.06% for June. March, it was 0.1%.
Ashok Ajmera : Yes, it is substantially. It is almost 50% of March. No, what I want to know, is there any
government guaranteed account or anything out of this INR 4,246 crores or these are all small ?
Ajay Kumar Srivastava : Not government gua ranteed, sir. I will say that CGTMSE coverage or CGFMU coverage from
the smaller accounts will be there. But nothing alarming, sir. Slippage ratio for last 10 quarters
has been around 0.10, 0.12. Asset -wise, quality -wise, we are absolutely 100% sure, sir.
Ashok Ajmera : Very good performance, all the best to you. I think a lot of other people are in the queue. So, I'll
step off from here. And if time permits, I'll come back again. Thank you.
Vimal Panchal: We have approval of INR 5,000 crores equity raising plans. So, what is -- which way are we
planning, say, QIP, OFS , rights with the government making -- not subscribing or which way
we are looking? And this INR 5,000 crores, are we planning in one shot or in a staggered
manner? Just wanted to know.
Ajay Kumar Srivastava : So, it is true that INR 5,000 crores of capital raising plan has been approved by the Board. And
we are in the process of obtaining all other statutory approval before hitting the market. And we
expect that in this quarter, it will happen. So maybe in Q3 or Q4, depending on the m arket
conditions, we will go to the market maybe in 1 or 2 or maybe more than 2 tranches also.
Ashlesh Sonje : Firstly, if I look at the yield, yield on advances has gone up by about 10 basis points Q -o-Q. If
you can just explain what is happening? And along with that, if you can also share what has
happened on the corporate -- what is the strategy on the corporate loan book because that has
declined 10% Q -o-Q?
Ajay Kumar Srivastava : Yes. Yield on advances has increased because of a pricing issue, of course. And about 54% of
the credit portfolio is linked to MCLR and 37% to RLLR , and because of good quality lending
at reasonable pricing, yield on advances has increased. The corporate book, I will say that , there
is a pipeline of around INR 14,000 crores already sanctioned and in different stages of
disbursement. And we expect that the corporate loan book also , by the end of this year will grow
by 12% to 13%.

Ashlesh Sonje : Understood, sir. Sir, but when you say the yield has gone up because of better pricing, can you elaborate a bit more which segments you are seeing this exactly? And what is the response from the borrowers?
Ajay Kumar Srivastava : See, 80% of the portfolio is RAM, Retail Agriculture MSME. So, this yield is coming from everywhere. Retail Agri MSME, a part of it i

s coming from corporate also. So, it's not only one area of product specific. It is uniformly spread across.
Ashlesh Sonje : Sir, is it fair to -- is my interpretation right that yield has gone up across all segments or you are saying there is something else?

Ajay Kumar Srivastava : Yes, more or less, yes.
Ashlesh Sonje : Okay. Sir, and the corporate advances, which have declined 10%, would you have a sense of where the borrowers are going? Are they going back to the bond market or they are going to some other bank?
Ajay Kumar Srivastava : See, for IOB, this 10% decline is because of one bigger account around -- amounting to around INR 10,000 crores, which we -- in the first month of this financial year in the month of April itself, since pricing was not matching, so we came out of that arrangement. And this corporate loan book of 10% decrease is because of that. It's not the INR 10,000 crores of impact were more but around 40% of that we covered in quarter 1.
And after coverage of 40% of corporate loan book, this 10% negative growth is visible, which, of course, in this quarter, it will be covered. And as I said, by the end of the financial year, we'll be showing a growth of 12% to 13%. Having said that, if you look at the total overall credit growth, so year -on-year, we have grown by around 22%. And quarter -on-quarter also, I think we have grown by 4% credit.
Ashlesh Sonje : Sir, secondly, the cost of deposits has also improved. It has declined by about 10 basis points Q -o-Q. Can you explain what has happened there as well?
Ajay Kumar Srivastava : We have focused on CASA very aggressively. And we -- despite 13% or 14% growth in total deposit and 18% growth -- 17% growth in the retail term deposits, we have been able to maintain CASA of 41% on a consistent basis. And that is the only reason how cost of deposit has come down. We are not very aggressive in high rate of interest bulk deposit field.
All along, we maintain around 6% to 7% bulk deposit ratio out of total deposit of the bank. And that is strategy that focusing on CASA , and not too much of reliance on bulk deposits. So the combined impact of these 3, 4 strategies has resulted in a reduction in cost of deposit.
Ashlesh Sonje : Sir, one follow -up on that one. Is there any part of your term deposits, which is yet to be repriced downward or all the repricing is already complete now?
Ajay Kumar Srivastava : All repricing done, already done, yes. Completed 6 months before.
Ashlesh Sonje : Okay. Understood, sir. And thirdly, if I look at the fee income for the quarter, it has grown quite handsomely about 20% Y -o-Y, is this something -- can you just explain what has happened here? The growth is quite good.
Ajay Kumar Srivastava : Yes, 2 major components are , one is PSLC commission. Second is sale on retail term deposits. Third is processing fee, plus all other usual charges.
Ashlesh Sonje : Sir, if I look at the presentation, I'm talking about this component, which was INR476 crores, so the PSLC income is sitting outside that number ?
Ajay Kumar Srivastava : INR 476 crores will be normal exchange and commission, LC commission, BG commission, non-fund business plus locker rents, plus all other charges, demand drafts.

Ashlesh Sonje : Sir just trying to understand what has led to the growth here. It's grown about 20% ?
Ajay Kumar Srivastava : See, base is low, so it's looking at 20%. If you look at the numbers, last year, June, it was INR 398 crores, absolute numbers you see, from INR 398 crores to INR 476 crores. Base is low, so it is 20% you can see. But in absolute numbers, it is in that range only.
Ashlesh Sonje : Okay. Sir, have you -- in any of your loan segments, have you changed your fee structure in any manner materially, processing fees or something?
Ajay Kumar Srivastava : At th

e time of sanction, whatever terms and conditions are part of the sanction. The same continues in between, we do not change , generally, unless a rating downgrade happened.
Ashlesh Sonje : Okay. Understood, sir. Sir, lastly, if you can share , what is the outstanding loan book which you have under CGTMSE as of now?
Ajay Kumar Srivastava : CGTMSE will be around 15% to 16% of the total credit portfolio.
Aditya Mundra : It's actually more of a bookkeeping question. So, the book value per share that we disclosed in

our presentation is about INR 15.79 as on June 2026. But if I calculate as per our net worth divided by the total number o f shares, it comes to about 20.5. So -- and this is the kind of difference that we see in all the quarters and in all the time periods . When we disclose the book value, what is the kind of adjustment we are making when disclosing this book value? What would be our full year guidan ce for the growth as well as ROA , growth on the advances side and the ROA number ?

Ajay Kumar Srivastava : See, credit growth, we are intending to grow at around 13% to 14%. And I always say that having said that, this is the minimum we want to grow. Beyond that also, we'll be growing. The last 3 years, we have grown in the range of around 20% over the last 3 y ears. 13% to 14% is the minimum we intend to grow. ROE at 1.41%, that is we are very comfortable with these numbers. Internally, at all points in time, we want to maintain it abo ve 1.20%. So going forward, by end of this year, maybe financial year, maybe we are looking at around 1.46% .

Aditya Mundra : will it be N IM driven or a reduction in opex driven b ecause credit costs seems to have bottomed out?

Ajay Kumar Srivastava : It will be NIM driven.

Aditya Mundra : NIM driven. Okay. And that would be because of the mix change? Because again on the mix side also, I think we are maximum on the RAM side, already about 75%, 80%. So will it be more liability side then cost of deposit reduction or what would drive that NIM , sir?

Ajay Kumar Srivastava : It will be b oth sides. It will be increase in interest income and it will be a decrease in interest expenses. So both sides, we have been working consistently. The same trend will continue, the same strategy will continue. The NIM driven ROA will be basically driven by increase or improvement in NIM.

Aditya Mundra : Okay. But you see a further upside because of the product mix, there could be some upside on the product mix basically.

Ajay Kumar Srivastava : Yes. Product mix, it depends on the type of requirement in which geography. So that is a very dynamic thing. Our rally is around 80%. We intend to maintain around that level.

Aditya Mundra : Okay. And there is no pressure going forward on the cost of deposit or the cost of fund side? In the sense that -- it should not increase from here a t least. That's what we can see?

Ajay Kumar Srivastava : In the foreseeable future, yes, of course, I do not see any increase because we are not too much reliant on bank deposits. So it's basically CASA driven deposit area we are focusing on. So I think it will be at that level only, around that level.

Aditya Mundra : Okay. And sir, just one, I believe in the last quarter you had mentioned that some corporates, you classified a s RAM, if I'm not wrong, what would be the criteria of clas sifying some corporates as RAM o r maybe that's the MSME side of the corporates?

Ajay Kumar Srivastava : No, there is no definition or change in definition. The RAM sector also consists of big ticket loans in MSME and agriculture around 300, 400, 500. So they -- size-wise they are equivalent to corporate. But classification -wise, they fall in agriculture or MSME. That is what I intended to say as per RBI definition. So that was the point I was trying to make last time.

Kushal: There is a huge growth in miscellaneous income lik

e 423% Q -o-Q. So can you put a light on it?

Ajay Kumar Srivastava : Miscellaneous income, it includes recovery from technically written off account and PSLC commission is there, So these two are the major components in addition to processing fees.

Kushal: Okay. And second question is on agriculture loan. How much agri loan is backed by gold? And are we seeing any delinquencies , or are you expecting any?

Ajay Kumar Srivastava : So far, we have not seen any delinquencies in agriculture loan and going forward also we do not see any stress.

Kushal: And on gold part?

Ajay Kumar Srivastava : Gold part will be broadly around 40% of the total portfolio will be agriculture general loans.

Kushal: Okay. And looking at the loan book growth, last time we said 13% to 14% loan book growth. Are we being conservative or what?

Ajay Kumar Srivastava : No, we are not being conservative. We are giving you that this will be the minimum we will grow. And last 3 years, the guidance has always been 13% to 14%, but we are growing in the range of around 22%.

Kushal: Okay. So are we expecting this growth phase to continue?

Ajay Kumar Srivastava : Yes, if everything remains normal, of course, you can expect that.

Sumera Choksi: . Sir, firstly, my commendations on a good set of numbers. So just coming to two specific questions, I'll ask them together. Sir, versus the rest of the peer set, we've seen our NIM, ROA, ROE and cost-to-income has been pretty good, right? And we've maintained that for a while. So aspirationally, because sir you 've achieved such a good level.

What's your outlook for the next year or so in terms of sustaining or even bett ering this because I believe, sir, you've reached a level which is quite good. So how would you seek to improve from that? It might not be the easiest challenge, but I'm sure you guys must be prepped for it ? And second, sir, in terms of both the asset liability franchise, on digital initiatives, how are we looking at growing both our asset and liability franchise in terms of digital initiatives specifically? Any new pro jects we are looking to initialize apart from our stack we've already built up or something else that you have planned?

Ajay Kumar Srivastava : Okay. So this NIM, ROA and cost -to-income part, I will address that part first. Of course, the level where we have reached, it's -- I will say that last six, seven, eight quarters, we have been consistently maintaining and improving it also. And the strategy, whatever we have thought of and planned, we have been successfully implementing it.

And going forward also, we will follow the same plan with maybe a little change or some moderation wherever required. If outside world, there are no uncertainties, there are no challenges, all of a sudden unexpected challenges , if everything remains smooth and constant. Of course, these numbers, you can see growth further going forward in next financial year.

But otherwise, despite challenges like West Asia challenges, again, it is looming large now. We are pretty confident that NIM will be able to maintain at around 3.3% to 3.40% because of our inherent strength and the type of efficiency we have brought into the system. ROA also around -- between 1.4% to 1.5%, we do expect in the foreseeable two to three quarters going forward.

Regarding assets and liabilities, digital side, of course, without digital, nothing moves in the system, in the banking system also. And so everything from asset side also and liability side, most of the things have already been shifted to the digital part . We engaged one of the Big Four consultants 3 -4 years back and the entire digital product processes, software, everything has got revamped to match with the latest expectations and requirements.

So as on date around 96% of the total transactions happen digitally in the system. Across -the-counter tran

sactions are hardly 2% to 3%. And a lot of efficiency has come in through mobile banking, through net banking. Of course, everyone does UPI . We have created products and systems where people can apply for loan also sitting at home and sanction later, they can get it within 10 minutes on their laptop or mobile.

Throughout the country, anywhere , anyone can get a locker allotted digitally in 2 minutes' time.

Account opening, customer onboarding, whatever happens, around 75% of the onboarding happens digitally. A lot of initiatives have been taken place. And digital is that area where we cannot say that whatever we have done, that is sufficient. So every day is a new challenge. Every day is a learning process, and we are on it, I can say.

Sumera Choksi: Understood, sir. And just one more question, sir. I believe in the news recently and maybe you would like to shed some color on this. I think in terms of our international operations, we received the IFSCA license for GIFT City. So how are we looking at monetizing specifically more on our international ops as well? If you could just shed some color on that?

Ajay Kumar Srivastava : So we got this approval around 3 to 4 months back , and we have started the process of opening it. Maybe in another 2 months, it will come into physical existence. We will start the process.

And we are loo king to build a book of around 500 million by the end of this financial year through this GIFT City branch. 500 million is the internal budget.

Ashlesh Sonje : If I go back to this INR 10,000 crores exposure, I'm sure you would have thought about whether we should continue the pricing competition. How did you arrive at it, and then what was the thought process in eventually letting it go? What is the objective function? What are you trying to maximise here?

Ajay Kumar Srivastava : See, we do not want to do any loss -making business. It's very clear. And for us, you look at the credit growth numbers, we have grown by 22%. Whether that is coming from corporate or retail or RAM or overall book, that is not material to that extent as to compare against that at what pricing we are growing.

Just for the sake of increasing corporate book at sub 7% rate of interest, we are certainly not interested into that. And this strategy we are following over the last more than 2 years very, very successfully. So the idea is to maximize income and at good price where we have been able to match our cost of fund, cost of deposit.

We are lending subject to, of course, asset quality should be good and stress and all those things are not visible. Very successfully we have been doing over the last 2 quarters. You can see slippage ratio, hardly any slippage happens. That's so much about the underwriting capabilities.

Credit growth of 22% is happening. Colour of money is same, whether we are growing in corporate or retail or whether we are earning fr om corporate or retail or MSME. O verall, NII is increasing, NIM is increasing, ROA is increasing. So, we are more focused on fundamentals.

And that -- again, I will come back to that point only that any loss -making activity where that business does not make any sense to us, we generally d o not venture into that.
Ashlesh Sonje : Understood, sir. That helps. And lastly, what is your plan on mobilizing FCNR deposits? How much have you mobilized already?
Ajay Kumar Srivastava : We have already mobilised $300 million , since the time this dispensation came and we created a new product on FCNRB. We have 4 overseas centres , and we have more than 4.5 lakh existing NRI customers. We are reaching out to them through personal contacts, through SMS, through emails . We are extensively using our overseas centres and the new customers.
We intend to double it , maybe by the time this dispensation period which is coming to an end in September. By September, we intend t

o double it to $600 million, $650 million. That is the plan.
Aditya Mundra : Sir, just one more bookkeeping question I had on similar lines. For example, like our cost of deposit is about 4.7% and our cost of funds is 4.85%. Generally, we have observed for the banks is that cost of funds is typically lower than the cost of deposits . Any particular reason that we will have a cost of funds more than the cost of deposits? Is there a different formula that we have for it? Maybe we do cost of equity also in that?

Ajay Kumar Srivastava : We have seen many cases where cost of funds is higher than cost of deposits . And cost of fund includes borrowing costs also.
Aryan Rana : Yes. Congratulations to the management for a good set of numbers ; in fact, a very good set of numbers. My question is around capital raising and dilution outlook. I recently approved a plan to raise to INR5,000 crores by equity and INR1,000 crores by our Tier 2 bonds. The Government of Indi a holds a massive 92.44% stake.
So, my question to you, sir, is what is the precise timeline for the INR5,000 crore s equity raises? And will this be executed by QIP or a public offering to help satisfy SEBI's minimum public shareholding goals? Over to you, sir.
Ajay Kumar Srivastava : We intend to go to the market in maybe more than one tranche in Q3 and Q4.
Aryan Rana : Okay. All right, sir. So, my next question would be around the historic asset quality movements.
So, the gross NPA fell to about 1.33% and net NPA at about 0.1%. So, this was supported by a tiny slippage ratio of 0.6%. So, the question that I have is what is the full year credit cost guidance for this coming quarter?
Ajay Kumar Srivastava : Credit cost for June quarter is 0.14%. And we expect that for the full year, the credit cost should be around 0.35% to 0.40%.
Moderator: I would now like to hand the conference over to the management of Indian Overseas Bank for closing remarks.
Ajay Kumar Srivastava: So, thank you everyone for joining the conference and expressing your interest by way of raising the queries on the numbers whatever set of numbers , whatever we have generated quarter on quarter. And I have only to add here that we are very consistent. We are known to be as a very we want to be known as a very consistent bank.
Last 11 quarters of numbers if you see the things which are supposed to show a positive growth that is showing positive growth , and the areas where the numbers which are supposed to show negative growth, degrowth, it is happening accordingly. The consistency is the hallmark of IOB and going forward also I can assure you on behalf of the entire IOB team that the same type of consistency will be visible going forward also.
We intend to grow both sides assets and liabilities by 13% to 14% and as I said that is the minimum. We are committed to ensure good asset quality and slippages will be closer to minimum only. And the capital adequacy ratio of 19.36% that is against mandat ory requirement of 11.50% , that shows the strength of the balance sheet.
And I am very happy to share this information with all of you that those accumulated losses have been made nil by way of internal accrual of net profit plus netting off by share premium. Thanks a lot.